



Deutsche Bank
Research

Securitization Research 2026 The Mid-Year Outlook

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IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. UNTIL 19th MARCH 2021 INCOMPLETE DISCLOSURE INFORMATION MAY HAVE BEEN DISPLAYED, PLEASE SEE APPENDIX 1 FOR FURTHER DETAILS.

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Securitized Mid-Year Outlook

Demand-surge pricing

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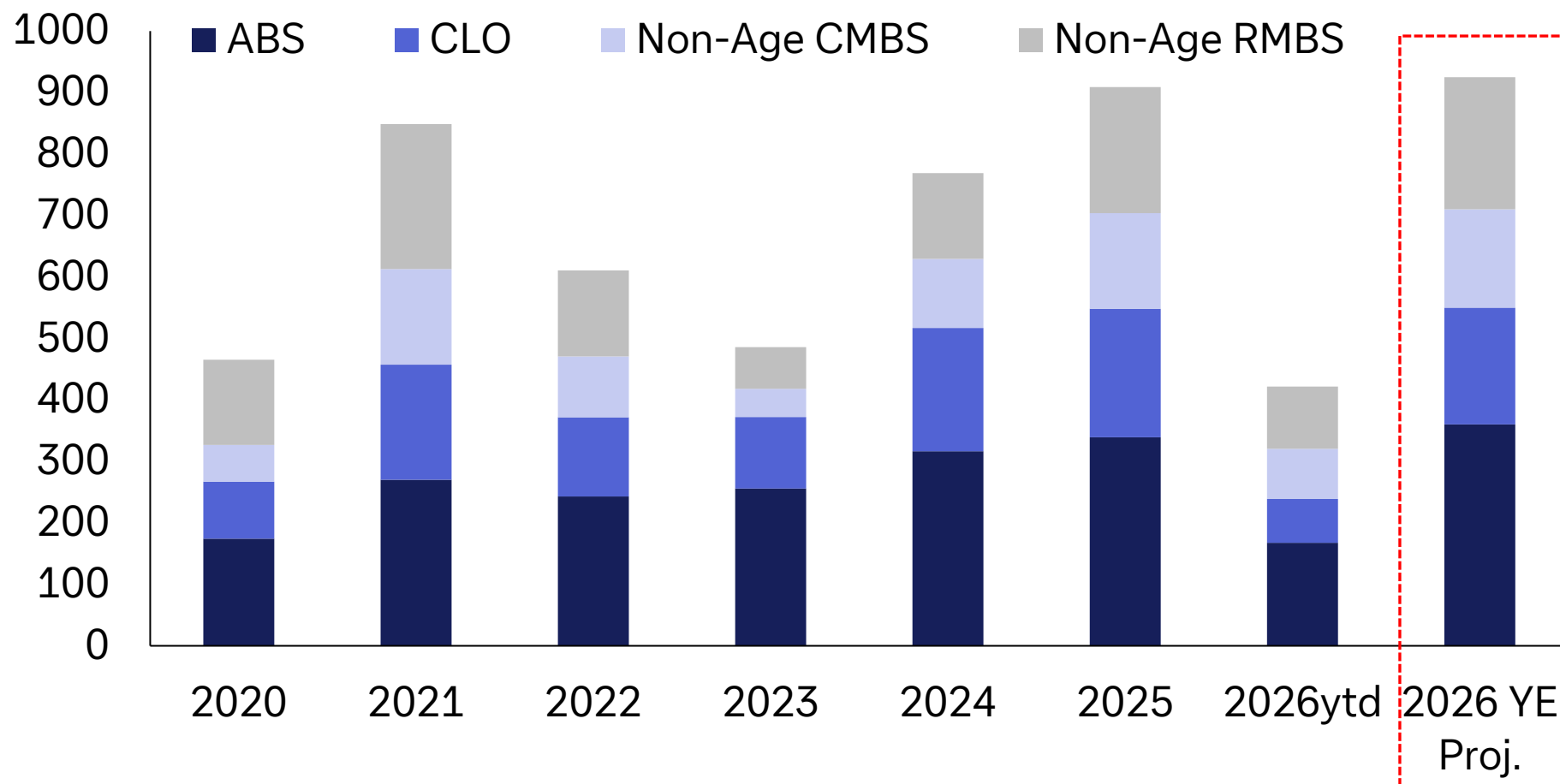
Big Pic: Demand surge pricing



- DB Economics View.
 - Resilient economy: 2.2% real GDP growth forecast. Supported by fiscal policy, financial conditions, and AI investments. Fiscal deficit at 6.6% with risk from war, tariff refunds. Higher oil (\$150/bbl) a risk to consumer spending and could reduce real GDP to 1.75%.
 - Labor: Firmer payroll gains, broader job growth. 4.3% unemployment through 2026.
 - Inflation: Disinflation story less convincing, with core PCE expected to remain at 3.0%.
 - Rates: Fed on hold “indefinitely”; risk skewed towards hikes. 10yr UST forecast: 4.7%.
- Supply. Securitized full-year issuance now projected at \$1tn, **net issuance is only \$270bn**.
- Demand. **\$500bn of inflows into IG credit. \$300bn of projected annuity inflows plus \$200bn IG mutual and bond funds. Securitized likely to garner ~\$200bn.**
- Credit. We downgrade the Consumer slightly from B+ to a B. For securitized, a ‘B’ grade is still a positive backdrop and only impacts a handful of sectors and some deep subordinates.
- Rates. Higher rates normally a headwind for issuance/credit, but strong economy over-riding this challenge. Higher rates will create refi stress for CLOs, CMBS.
- Demographics. Demographics are playing a key role in credit. How? 1) Boomers have strong natural demand for fixed income and have the most assets, 2) Boomers are also home-owners and sitting on significant home equity.
- Relative Value. Take the carry. Securitized will outperform Corporates via carry. Securitized sector forecasts are *slightly* wider. We see Non-QM as an outperformer; CLO carry is compelling. Subordinate securitized bonds will remain a food fight due to insurance demand and annuity inflows.

Private Label Issuance Approaches Record Highs

US Securitized Credit Issuance by Sector, \$bn



Source: CMA, Intex, Deutsche Bank, Bloomberg Finance LLP

- We forecast Private Label issuance to reach \$925bn in 2026 broadly in line with the record volumes observed in 2025 (\$909bn). Including Agency CMBS, total gross issuance will exceed \$1tn.
- Strong capital markets execution and healthy investor demand continue to support issuance across structured credit sectors.

Elon Musk isn't the the only Trillion-dollar game in town

2026 Issuance and Net Supply Projections, \$bn

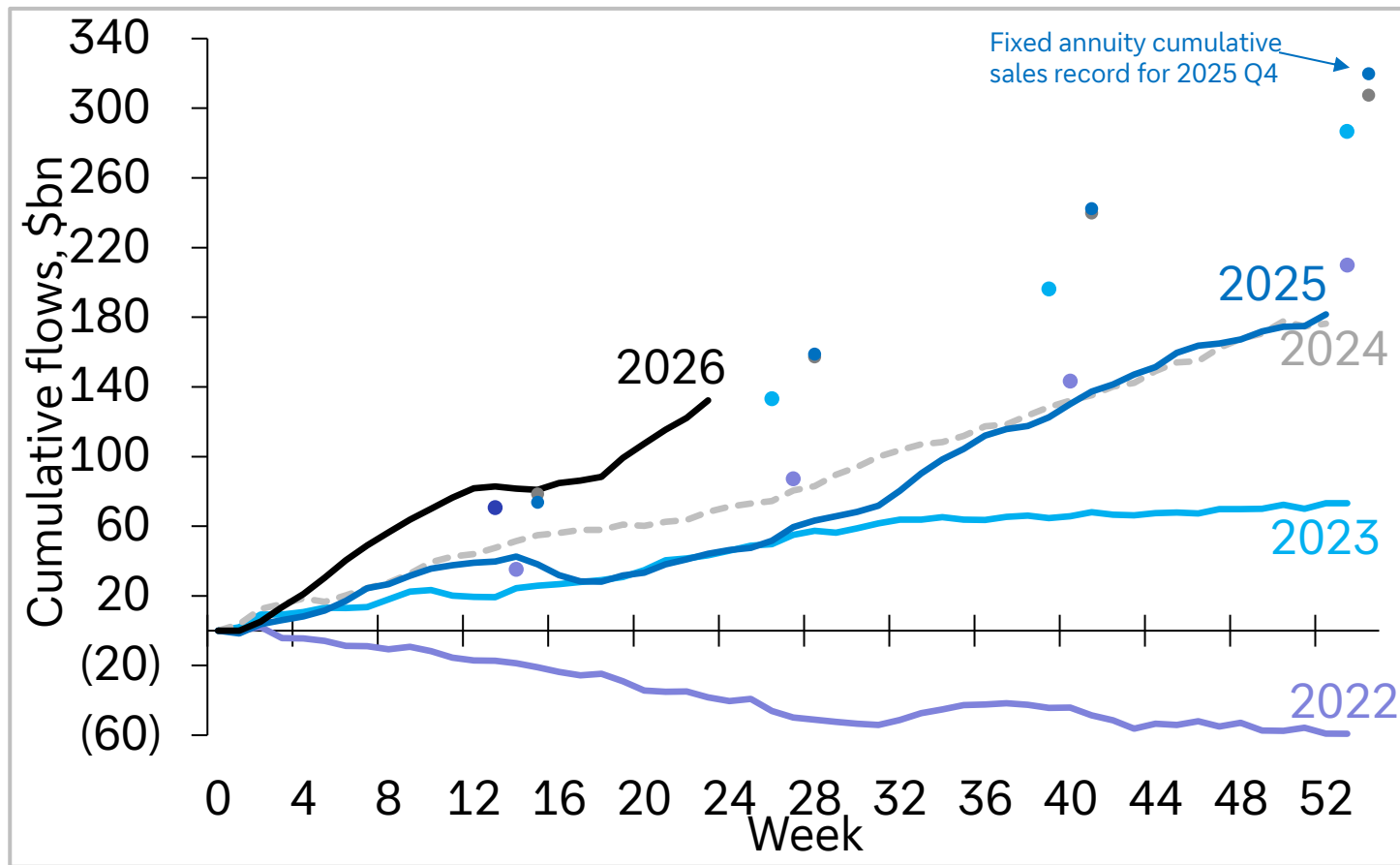
Sector	Issuance, \$bn			Net Issuance, \$bn	
	2025	2026YTD	2026YE	2026 Proj. Paydowns	2026F Net
CMBS Non-Ag	155	82	160	145	15
CMBS Agency	57	39	75	45	30
ABS	339	168	360	305	55
CLO BSL	166	58	145	85	60
CLO Mid Mkt	43	14	45	15	30
RMBS Non-Ag	205	101	215	135	80
Total	966	462	1000	730	270

Source: CMA, Intex, Deutsche Bank, Bloomberg Finance LLP

- Gross issuance projected to exceed \$1tn for the first time.
- ABS and Non-Agency RMBS remain the largest contributors to market growth, benefiting from resilient consumer credit and non-agency mortgage origination.
- Net Supply will only be ~\$270bn, much lower than the \$1tn headline.

Demand-surge pricing: \$500bn inflows into credit

Cumulative IG Fund Flows vs Fixed Annuity Sales \$bn



Note: EPFR data as of 06/03/26. Bloomberg LINSTFA Index. Lines represents cumulative. EPFR fixed annuity funds flows: Dots represents cumulative. LIMRA fixed annuity sales at quarter end. Colors denoted Calendar year.

Source: EPFR, Deutsche Bank

- **Underlying annuity demand:** LIMRA fixed annuity sales will reach ~\$300bn. Higher rates likely to stimulate *more* inflows. Credit bond/mutual funds could bring in *another* \$200bn.
- Insurers buy IG Corp as a staple holding but securitized bonds help deliver the promised annuity yields.

Give Grandma and Grandpa a call...



Life event	Age Bucket	Pop Size, mn	Home Ownership rate	Est. Net Worth excl-Home
	0-9	36		
	10-19	46		
	20-29	45	38%	\$30,000
	30-39	44	49%	\$123,000
	40-49	42	65%	\$266,000
	50-59	43	73%	\$392,000
	60-69	41	77%	\$528,000
	70-79	25	79%	\$538,000
	80+	18		\$425,000

Note: Homeownership uses 50/50 blend of age groups to match with Census Bureau age groupings.

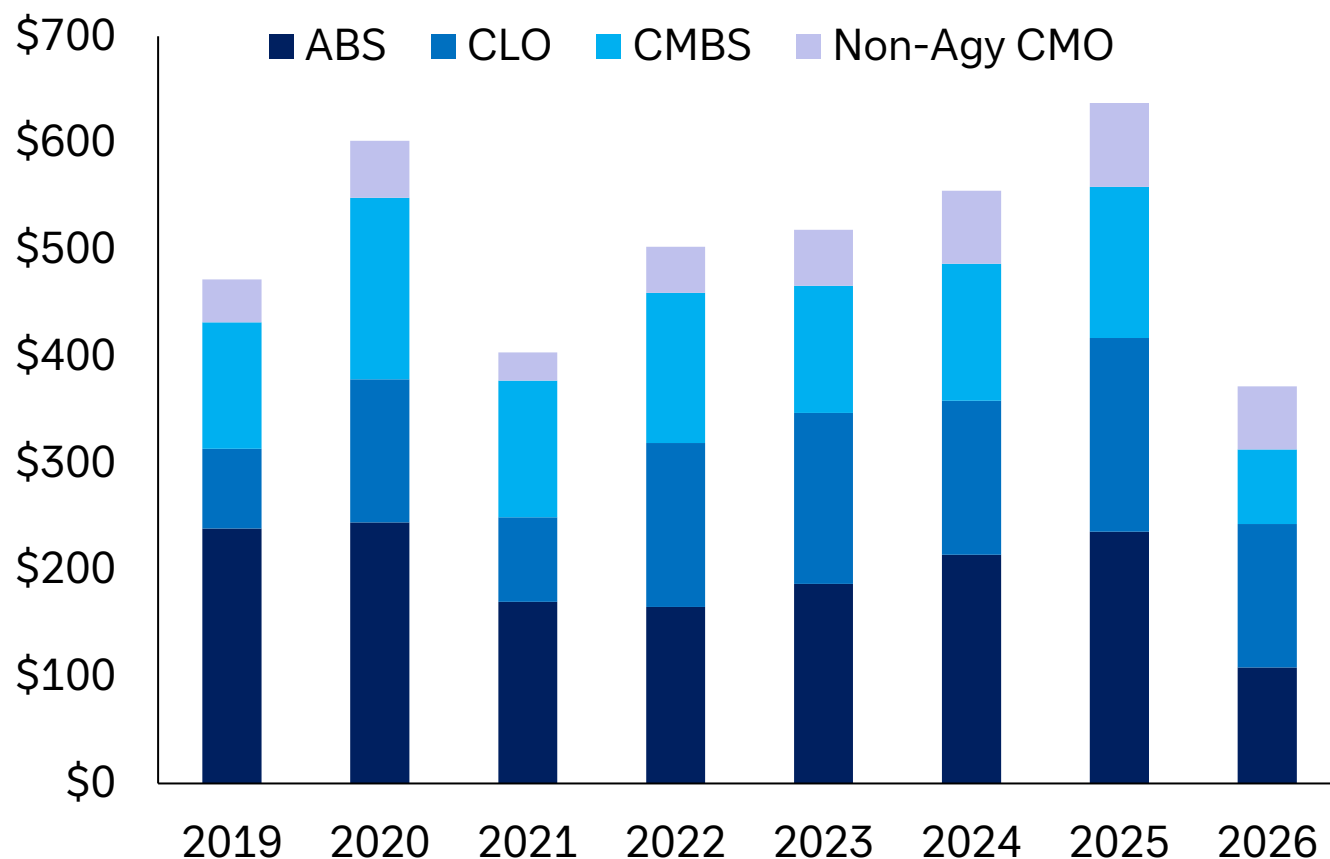
Source: Deutsche Bank, Census Bureau, ICI.

- Grandma and grandpa are doing pretty well for themselves.
- Homes and stocks. Demographics show a 60+ population of 84mn where over 75% own a home, participated in home price appreciation (40yrs: 5.5x increase) and a massive rise in financial wealth (40yrs S&P: 70x increase). Boomers control 60-70% of financial wealth. Big change. In 1990, working age segment controlled that share.
- Next up: Fixed Income. Underinvested in fixed income: coming decade could unleash \$2-4tn in fixed income demand, with some pull forward due to higher rates. Boomers have been waiting for this moment: the average 10yr UST has been 2.9% over the past 20 years.
- Annuity Appeal. Earn high annuity rates today of 5.5%, avoid taxes on this annuity income. Average fixed income annuity buyer is 62 years old.

Securitized trading: Record year in sight!



Investment Grade, Non-Agency Securitization volumes, \$bn



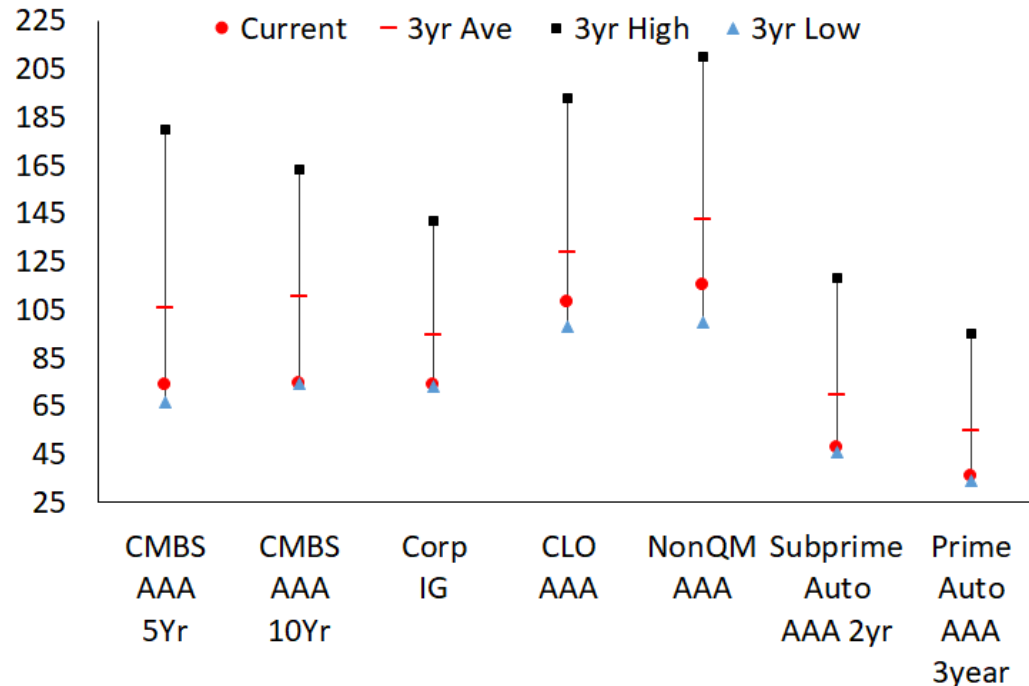
Source: Finra Trace

- 2026 YTD, overall IG trading volumes are \$375bn.
- RMBS and CLO trading activity has accelerated in 2026, with YTD volumes up 57% and 32% respectively vs same period in 2025.
- While ABS (-16%) and CMBS(-13%) volumes have moderated, despite softer ABS and CMBS trading volumes, liquidity conditions remain constructive across structured credit markets.

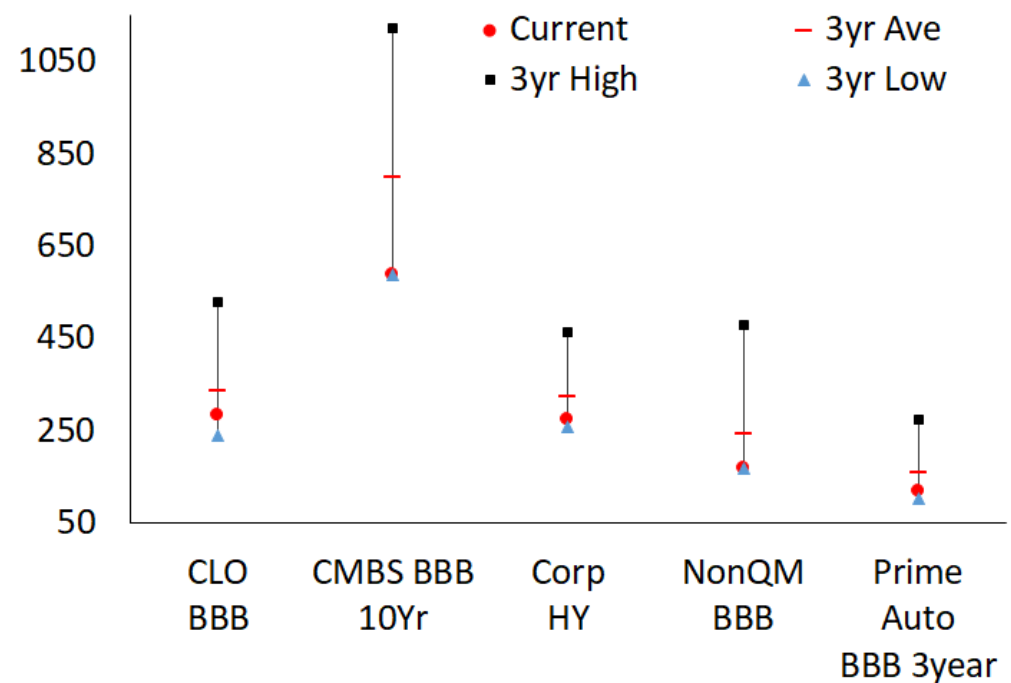
Securitized spreads near historical lows



AAA Spreads vs 3-year trading range, bp



BBB Spreads vs 3-year trading range, bp



Note: Spreads as of 06/12. Min/Max values are within 3year range. US CMBS 2.0 Total Return Index unhedged spreads.
Source: Deutsche Bank, Intex.

- Most credit sectors are pricing on the tight end of a 3-year history.
- IG and HY Corp are close to 25-year tights.
- Carry and security selection are likely to be larger drivers of returns in 2H26.

Securitized Credit Spread Forecast

Securitized issuance, \$bn



Spreads, bp			
Sector	2026 Current (06/11)	YearEnd- 2026 Forecast	Change
Securitized Credit	AAA CMBS	75	0
	BBB CMBS	425	50
	AAA CLO	124	2
	BBB CLO	285	10
	AAA SP Auto 2yr	48	2
	BBB SP Auto	120	5
	AAA Cards	27	3
	AAA PSLABS	90	5
	AAA FFELP	80	0
	AAA Non-QM RMBS	112	-7
	BBB Non-QM RMBS	170	-15
	Fed Funds	3.75%	0.00%
	10 Yr UST	4.5%	0.24%
	IG Corp	74	8
	HY Corp	271	34

Note: Fed Funds is the upper bound of Fed Funds target range.

Source: CMA, Intex, Deutsche Bank, Bloomberg Finance LP

- AAA securitized spreads expected to remain largely stable through year-end. BBB spreads likely to modestly widen amid macro and rate uncertainty.

Insurers: Hoovering up “securitized” bonds



Insurance bond holdings, \$bn

	2025	% Total
Agy CMBS	90	2%
Non Agy CMBS	200	4%
Agy RMBS	324	6%
Non Agy RMBS	186	3%
CLO	311	6%
ABS	398	7%
Corp	2745	49%
UST	394	7%
Other Securities	898	16%
Total	5,547	100%

Note: We exclude \$54bn of Equity-backed ABS from ABS, included in Other securities

Source: Deutsche Bank, S&P Global Market Intelligence, NAIC Schedule D.

“ABS” securitized bond holdings reported to NAIC

Assets	NAIC Category	Total, \$bn	% of Total	Remarks
Financial Assets	Self-Liquidating	165	45%	Traditional ABS, RMBS, CMBS, CLOs
	Not Self-Liquidating	57	16%	
	Equity Backed	52		Fund finance notes; Structured equity investments
	Other	6		Warehouse Facilities / Private Credit Warehouses
Non Financial Assets	Practical Expedient	62	17%	
	Lease Backed	24		Aircraft lease ABS; Solar lease / Solar loan ABS
	Other	39		Music royalties, and and solar/other ABS
	Full Analysis	80	22%	
	Lease Backed	34		Data center ABS / Digital infrastructure ABS
	Other	46		Whole-business ABS and IP/royalty ABS
Total		365	100%	

Note: \$365bn is life insurance holdings only

Source: Deutsche Bank, S&P Global Market Intelligence, NAIC Schedule D.

- Insurers own \$1tn+ of credit-sensitive securitized assets (\$200bn non agency CMBS, \$186bn non agency RMBS, \$311bn CLO and \$398bn “ABS”). ABS is more than just traditional ABS.
- NAIC reporting change gives some further clues on “ABS” bucket: warehouse finance facilities, solar, datacenter, whole business, royalties.

Basel III: Banks will be better buyers



Description	2023 Proposal	2026 Re-Proposal (Mar-26)	Comment
P-factor	1.0 (Punitive)	0.5 (Unchanged from Current)	2023 Proposal to use 1.0 "p factor" in KSSFA formula would increase capital for all tranches. P factor was left unchanged at 0.5
Risk weight floor	20%	15% for senior tranches	Proposal lowers the floor for senior securitization tranche risk weights
Senior tranche "Look-through"	Limited	Banks can use a "look through" to the risk weight of the underlying assets to determine the senior tranche risk weight	Prevents situation where banks hold more capital in a senior tranche than the underlying assets themselves

Source: Federal Basel III proposal.

- Basel III includes **favorable** capital requirements for securitized tranches held by banks.
- Mostly favorable outcomes: Lower risk weight floor of 15% on senior tranches, p factor left unchanged at 0.5. (P factor is an input into the securitized formula called KSSFA, where higher P input increases capital for more senior tranches).
- **Bank demand should improve** via the lower risk weight floor and p-factor staying the same. Banks have been net sellers of securitized products for a couple of years.



CMBS 2026 Mid-Year Outlook

Supportive technicals, accelerating credit resolution

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Rupesh Shrivastav, Research Associate

15th June 2026

Big Pic: Supportive technicals, accelerating credit resolution



- **Supply runs hot, but the market is rate-constrained.** We forecast \$160bn of private-label CMBS issuance in 2026, with SASB and CRE CLO activity carrying the momentum while conduit remains capped by borrower refi economics and rate volatility.
- **Spreads.** Technicals remain constructive. Limited net supply and higher rates will keep demand firm. We expect AAA spreads to remain range-bound at 75-80bp, with BBB spreads widening by roughly 50bp.
- **Relative value.** Prefer SASB mezz over conduit due to better collateral transparency and sponsor selection, even though risk is binary.
- **Credit stress is moving from extension to realization**
 - Conduit 60+ delinquency continue to rise. Legacy office and recent multi-family loans are the primary delinquency driver.
 - Headline delinquency understates stress. SASB delinquencies remain contained, but proactive extensions, modifications, and denominator growth have helped keep delinquencies low. Office needs more A/B modifications to reflect the basis reset.
 - Liquidation volume/severity are increasing as special servicers work through the distressed backlog. Loss severity is a key trend to watch over the next year.
- **CMBS governance is a structural weak link.** Workout outcomes hinge on conflicted control rights, opaque modifications, and delayed loss recognition. We propose cleaner incentives, proper accountability, faster transparency, and clearer documentation that limits discretion in workout outcomes.



Issuance Forecast, \$bn

		2024	2025	2026	
		Full	Full	YTD	YE
Private Label	Conduit	33	34	12	30
	SASB	70	91	44	95
	CRE CLO	9	31	22	35
	Total	112	155	78	160
Agency	Freddie	33	39	21	40
	Fannie	3	3	10	20
	Ginnie	9	16	7	15
	Total	45	57	38	75
	Total CMBS	157	213	117	235

Note: all numbers in \$bn. Agency CMBS includes only structured securities. Data as of 06/04/2026

Source: Deutsche Bank, CMA

- We have increased our forecast for **PL CMBS supply to \$160bn** (from \$155bn), we lower Conduit and increase CRE CLO issuance, in line with recent activity.
- **CRE deal activity** is up 14% YTD YoY, but transaction activity slowed in April after a strong Q1.
- **Downside risk for issuance.** Higher-for-longer rates (DB year-end forecast: 10yr UST 4.7%, Fed funds on hold “indefinitely”), recent rate vol, and stress in broader/private credit could pull realized supply below forecast.



	Conduit						SASB				
	Insurance	Money Manager	Hedge Fund	Bank	Pension		Insurance	Money Manager	Hedge Fund	Bank	Pension
	2026 YTD						2026 YTD				
Short/Mid AAA	20%	53%	16%	8%	2%	AAA	25%	56%	7%	11%	1%
Long AAA	15%	59%	5%	17%	3%	AA	36%	51%	9%	3%	1%
AM / AS	31%	62%	6%	0%	2%	A	29%	42%	26%	2%	1%
AA	24%	60%	15%	0%	1%	BBB	14%	50%	35%	0%	1%
A	38%	36%	27%	0%	0%	BB	7%	53%	39%	0%	1%
BBB	19%	9%	72%	0%	0%	B	1%	57%	42%	0%	0%
	2025						2025				
Short/Mid AAA	30%	55%	6%	6%	3%	AAA	19%	63%	9%	8%	1%
Long AAA	19%	65%	5%	6%	4%	AA	29%	42%	24%	3%	3%
AM / AS	27%	55%	16%	0%	2%	A	19%	44%	35%	2%	1%
AA	52%	39%	8%	0%	2%	BBB	10%	44%	42%	1%	2%
A	32%	42%	25%	0%	1%	BB	11%	41%	44%	0%	3%
BBB	6%	15%	78%	0%	1%	B	16%	20%	64%	0%	0%
	2024						2024				
Short/Mid AAA	39%	46%	7%	5%	3%	AAA	20%	58%	13%	8%	1%
Long AAA	28%	64%	5%	1%	3%	AA	20%	50%	29%	1%	1%
AM / AS	24%	54%	19%	0%	3%	A	12%	43%	45%	0%	0%
AA	35%	50%	13%	0%	1%	BBB	4%	36%	59%	0%	1%
A	10%	56%	33%	0%	1%	BB	2%	38%	54%	0%	6%
BBB	4%	12%	80%	0%	4%	B	0%	2%	97%	0%	0%

Note: 5yr Conduit LCF is classified as Short/Mid AAA. Source: Deutsche Bank Syndicate, Bloomberg Finance LP

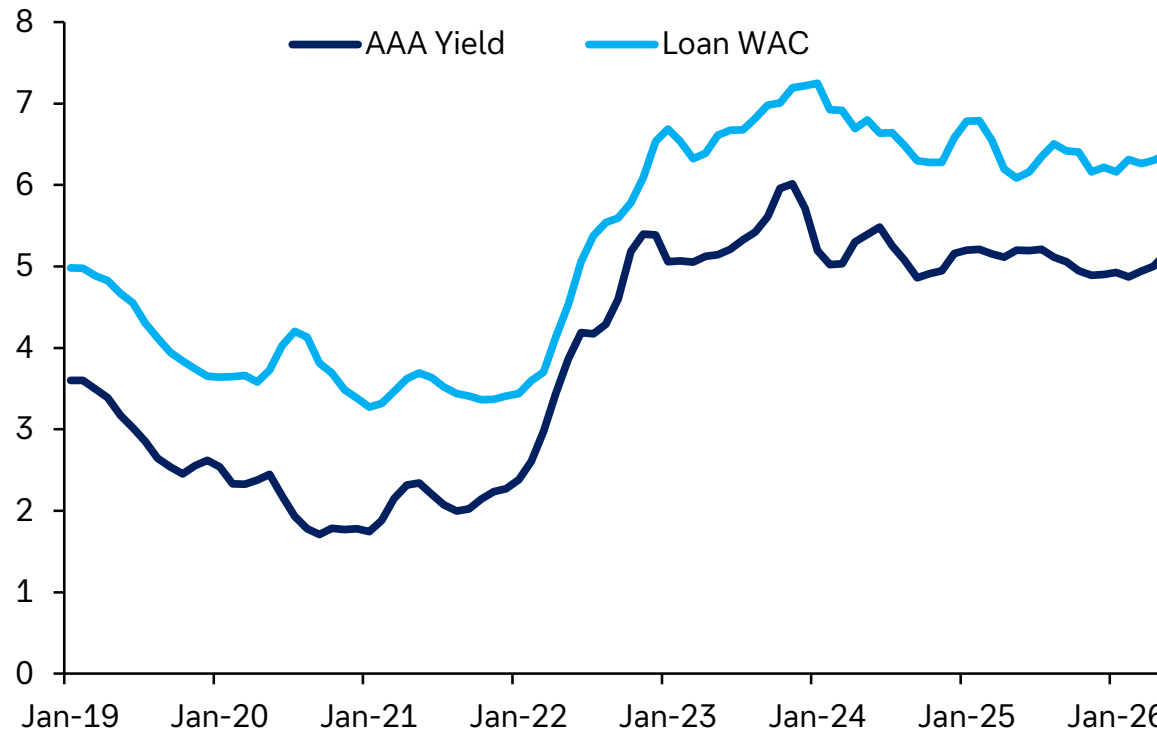
- Banks' participation has improved at the top of the stack, especially in AAA paper.
- Money managers remain the dominant buyer across capital stack.
- Insurance buyers are increasingly active beyond senior paper, while hedge funds anchor the bottom of the stack.

H
supply

, but higher rates cap



Conduit loan rates vs CMBS LCF AAA yield, %



Source: Deutsche Bank, Intex, Bloomberg Finance LP

- **Higher-rate regime intact:** Conduit loan mortgage rates are hovering near ~6.3%, while CMBS LCF AAA yields are near ~5.0%.
- **Demand firm:** Higher AAA yields continue to support demand, particularly from insurance and annuity buyers.
- **Supply constrained:** 2015-2016 vintage maturing loans face refinancing costs 150+ bps higher than original coupons, keeping refi economics challenged.



New issue CMBS priced deals vs Corp

Rating	Conduit			SASB			Corp
	BANK 2026- BNK52	BBCMS 2026-5C42	BANK5 2026-5YR22	BX 2026- VLT10	JPMCC 2026-FUN	HY 2026- 10HY	
AAA	75	74	79	J+140	165	J+95	
AA	120	120	135	J+250	190	J+120	57
A	175	185	175	J+300	210	Preplaced	79
BBB-	410	425	535	J+375	275		107
BB					355		168
B							302

Note: Corp Spreads as of 06/09/2006

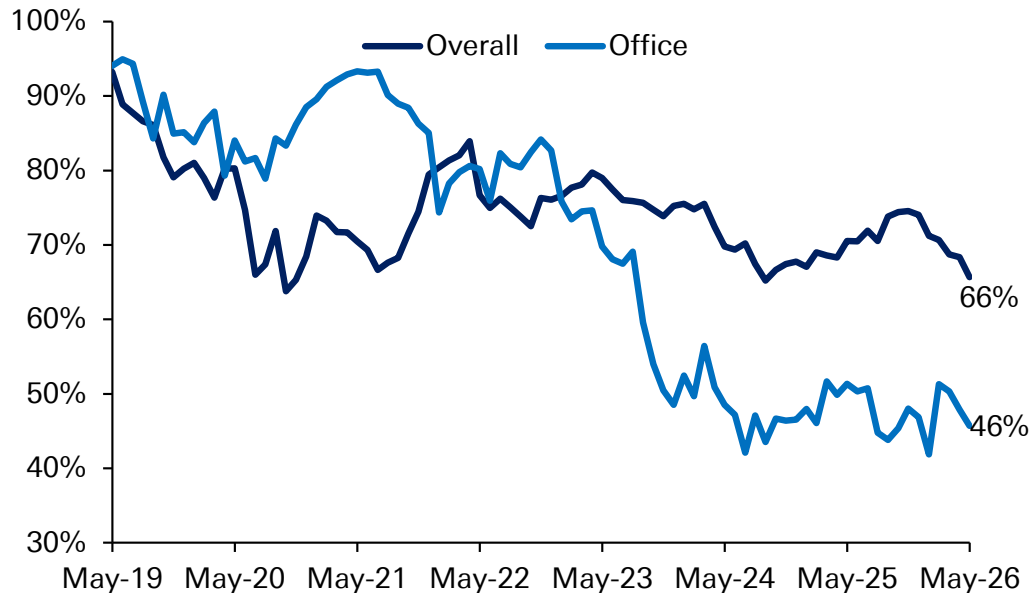
Source: Deutsche Bank, Bloomberg Finance LP, ICE BofA.

- Recent conduit AAA priced around 75-80bp, broadly comparable to single-A corporate spreads.
AA/A Conduit Spread Pickup: AA/A-rated conduits, priced at 120-190bps, offer a significant spread pickup of 40-110 bps over single-A corporate.
- BBB- Conduit tail risk:** Wide pricing on BBB- conduit tranches (410-535bps) indicates significant perceived tail risk. Spreads effectively reflect the fat tail, even if ratings do not.
- SASB dispersion remains property/sponsor driven, but deals exhibit a much flatter credit curve vs conduit deals.
- Relative value.** Prefer SASB mezz over conduit due to better collateral transparency and sponsor selection, even though risk is binary.

Conduit refi success rate at 66%



Conduit refi success rate, %



Note: Numerator is loan (original) bal NOT defaulted AND Payoff date within original maturity. Denominator is original maturity. Calculation is trailing 6mo numerator/6mo denominator. *Default: Loans paid off with status of FC Sold or REO sold and loss >=1% of original balance. SASB uses YTD refi success rate.

Source: Intex, Deutsche Bank

60+ dlq. by property

Property	Conduit	SASB
Retail	4.2%	3.4%
Office	11.3%	6.3%
Hotel	6.0%	2.7%
Multi-Family	4.5%	3.1%
Industrial	1.8%	0.0%
Other	5.3%	2.7%
Overall	6.5%	3.5%

Note: CMBS data is for May-2026 remit.

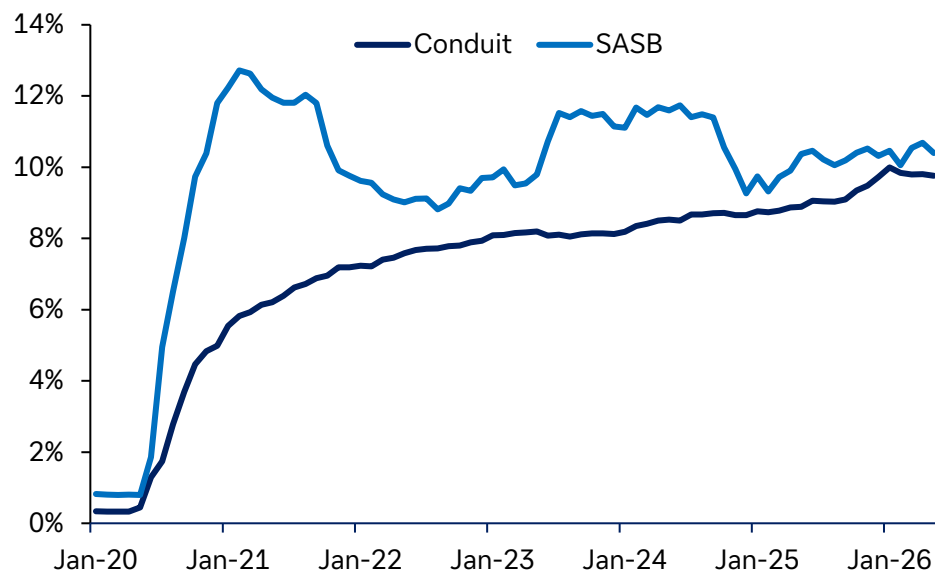
Source: Deutsche Bank, Intex

- The overall 6-month average on-time refi success rate is now in high 60% area; Office refi success is in the 45-50% area.
- Conduit 60+ delinquency has climbed to ~6% from ~4.5% at the start of 2025; office is the primary driver, with 60+ at ~11% vs ~7% in Dec-2024.
- SASB 60+ delinquency is holding around ~3.5%; proactive modifications/extensions and net heavy supply have helped keep delinquencies low.
- **Outlook:** Elevated rates will keep refi success rate depressed.

Loan mods near 10% keep delinquencies contained



Mod balance, %



Source: Deutsche Bank, Intex

Property types with loan mods

Property	Maturity Extension	Non-cashflow mods	Combination	Forbearance	Total, \$bn	Total, %
Retail	25%	25%	27%	23%	13	20%
Office	41%	25%	24%	9%	20	31%
Hotel	10%	32%	12%	46%	14	21%
Multi-Family	16%	67%	3%	14%	2	3%
Other	40%	33%	18%	9%	16	25%
Overall	31%	30%	20%	20%	65	100%

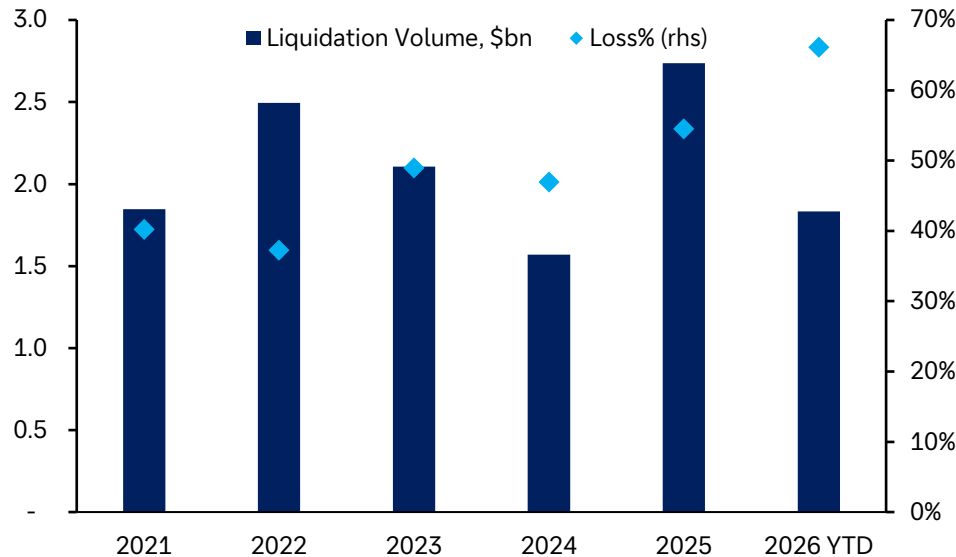
Note: Data includes Conduit and SASB
Source: Deutsche Bank, Intex

- Conduit loan mods have steadily increased, while SASB mods have stabilized; both are now converging near ~10% of balances.
- Office is the largest modified cohort, accounting for ~\$20bn, or ~31%, of modified loans; **more A/B modifications is needed** to reflect the basis reset in office collateral values.
- Repeated extensions can defer loss recognition and reduce price discovery, particularly for structurally challenged assets.

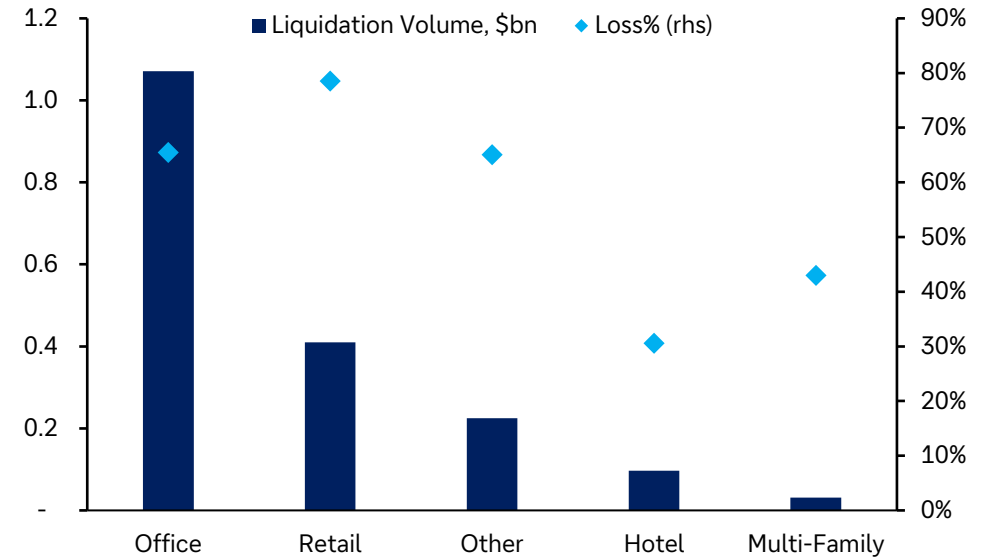
Liquidation losses trending higher



Liquidation Volume and Loss Severities by Year



Liquidation Volume and Loss Severities by Property in 2026



Note: Conduit only. Liquidation volume = loans resolved as REO Sold or FCL Sold. Loss% calculated as of balance at liquidation. RHS = Right hand side axis
Source: Deutsche Bank, Intex.

- **\$1.8bn liquidated YTD** annualizes to ~\$4.3bn, ~60% above 2025's \$2.7bn. Elevated disposition volumes suggest special servicers are prioritizing clearing the distressed backlog over modify-and-extend strategies.
- **Loss severity continues to rise:** 2026 YTD liquidations are showing roughly 66% loss severity (based on balance at liquidation), well above the ~40% area in 2021–22 and higher than 2025's already elevated ~55% level.
- **Office drives volume, Retail drives severity:** Office accounts for the bulk of YTD liquidations (~\$1.1bn of the \$1.8bn total) with severe ~65% losses, while Retail (~\$0.4bn volume) prints the highest severity across all sectors at nearly 80%.
- 2026 YTD, one SASB loan, 600 California street liquidated through note sale with ~60% loss severity.

S distress

Top 15 Office market

yet to materialize in



City	Bal, \$bn	60+	SS	Vacancy	Rent*, \$	Supply*
New York	74	3%	9%	18%	87	1.4%
Los Angeles	11	8%	18%	31%	50	1.1%
San Francisco	9.5	5%	9%	32%	74	0.0%
Chicago	8.0	23%	32%	26%	41	0.1%
DC	7.2	8%	26%	23%	62	0.0%
San Jose	7.1	0%	2%	15%	64	0.5%
Boston	5.0	4%	4%	19%	52	0.2%
Seattle	4.8	8%	11%	33%	51	0.0%
Philadelphia	3.9	32%	36%	19%	31	0.3%
Houston	3.6	12%	27%	25%	40	0.3%
Miami	3.4	0%	0%	15%	72	1.5%
Atlanta	1.6	20%	25%	25%	36	0.1%
Dallas	1.5	20%	26%	26%	40	0.8%
Phoenix	1.4	2%	9%	26%	37	0.5%
Denver	1.4	27%	69%	27%	38	0.4%
Overall US	164	10%	17%	20%	44	0.4%

Note: Data for Conduit and SASB. New York vacancy, rent and supply data is for NYC Midtown.

Rent is \$/sqft for Class A office space.

Supply is under-construction as % of inventory.

Source: Deutsche Bank, Intex, Cushman

- 60+ delinquencies are concentrated in some markets: Philadelphia stands out with 32% 60+ delinquent and 36% in special servicing, followed by Denver and Chicago.
- West Coast office distress has not fully transmitted into credit metrics.** San Francisco, Seattle, and Los Angeles show extreme vacancy pressure at 32%, 33%, and 31%, respectively, but 60+ delinquency rates remain contained at 5-8%.
- New construction is limited** across most markets, with overall supply at only 0.4% of inventory.

Multi-Family distress concentrated in Houston and Portfolio loans



Conduit Multi-Family 60+ dlq.

Vintage	Overall	NY	Top MSAs	
			Portfolio loans	Houston
Pre 2022	4%	3%	5%	8%
2022	2.7%	0%	6%	0%
2023	22%	2%	18%	37%
2024	7.7%	0%	19%	0%
2025	1.1%	0%	5%	5%
Overall	4.7%	2%	8%	7%

Note: Data includes Conduit and SASB

Source: Deutsche Bank, Intex

- Delinquency rates in recent Multi-Family vintages are accelerating, becoming a major concern for investors.
- **Houston and Portfolio loans** stand out with notably higher 60+ delinquency relative to exposure. **Chicago and Philadelphia** also have elevated delinquency worth monitoring.
- This deterioration is critical as Multi-Family exposure in Conduits is growing: Multi-Family collateral increased from ~10% of deal balance in 2023 to ~25% in 2024-25.

Potential fixes for CMBS market?



Post-GFC CMBS structures improved, but governance remains the weak link. The market is still exposed to conflicted control rights, opaque loan modifications, delayed loss recognition, and documentation that leaves too much room for interpretation.

- **Reduce special-servicer conflicts.** Separate B-piece economics from special-servicer appointment rights. Use an independent special servicer with no controlling-class affiliation to reduce conflicts in workout decisions.
- **Make modifications accountable.** Require ex-ante recovery estimates for every material modification (e.g., the expected recovery from a mod). Tie a portion of workout/liquidation fees to realized recovery versus prior estimate. After two modifications or 24 months of cumulative extension, further relief should require operating advisor consent or certificate-holder negative consent.
- **Accelerate transparency and price discovery.** Require independent appraisals within 60 days of delinquency, engaged by the trustee rather than the special servicer. Disclose all material modification terms within five business days.
- **Improve documentation clarity.** Simplify waterfall, control-rights, appraisal-reduction, and workout-fee language, so key economic outcomes are mechanical, auditable, and less dependent on interpretation. Standardize disclosure templates for modifications, extensions, fee reimbursements, and realized-loss calculations.

CMBS does not need another full structural overhaul. It needs cleaner incentives, proper accountability, faster transparency, and clearer documentation that limits discretion in workout outcomes.

These are broad, directional ideas. Implementation would require comprehensive refinement and stakeholder alignment. Happy to hear your thoughts.



Appendix



	2026	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Issuance Size (\$mn)	13,647	33,409	32,873	19,698	22,795	30,150	27,816	49,008	40,292	47,515	47,084
Deal Count	18	44	38	26	24	30	32	52	44	51	55
Avg Deal Size	758	759	865	758	950	1,005	869	942	916	932	856
Credit Support % :											
AAA (Ultra)	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%
AAA (Jr)	20.0%	20.2%	18.6%	18.3%	20.2%	21.4%	20.1%	20.8%	21.1%	21.2%	23.0%
AA	15.0%	15.2%	13.8%	13.6%	15.6%	16.8%	15.2%	16.2%	16.5%	16.3%	17.7%
A	11.2%	11.2%	10.2%	10.0%	11.4%	12.4%	11.0%	11.8%	12.1%	12.0%	13.1%
BBB-	7.9%	7.7%	7.1%	6.8%	6.8%	7.2%	6.4%	7.0%	7.1%	7.0%	7.8%
Top 10 Loan	62%	61%	61%	63%	55%	51%	58%	51%	50%	53%	54%
Avg. Loan Size (\$mn)	23	22	25	26	21	19	24	21	19	21	19
# of Loans	37	37	37	31	51	59	52	50	51	49	51
Collateral Mix											
Office	21%	20%	17%	25%	35%	34%	44%	35%	32%	34%	27%
Retail	18%	20%	27%	30%	23%	21%	16%	23%	27%	22%	28%
Multifamily	20%	26%	24%	10%	14%	17%	16%	18%	12%	8%	11%
Hotel	15%	13%	11%	12%	7%	3%	9%	12%	15%	15%	16%
Industrial	12%	7%	9%	14%	10%	12%	9%	7%	7%	6%	6%
Other	14%	13%	11%	10%	11%	12%	6%	6%	8%	14%	11%
% Shadow-rated Investment Grade	8%	13%	15%	18%	15%	14%	31%	15%	14%	12%	8%
% Having or Allowing Additional Debt	24%	23%	17%	21%	22%	30%	39%	28%	29%	31%	27%
% Interest Only Full or Partial	87%	90%	93%	91%	88%	87%	90%	83%	78%	75%	67%
% Interest Only (Full)	83%	86%	90%	85%	78%	71%	73%	61%	52%	47%	33%
% Interest Only (Partial)	5%	4%	3%	6%	10%	16%	17%	22%	27%	28%	34%
Issuer LTV	58%	57%	55%	52%	53%	55%	54%	58%	58%	57%	60%
Issuer DSCR	1.95	1.83	1.80	1.80	2.61	2.91	2.94	2.31	2.07	2.18	2.01
Fitch LTV	97%	98%	92%	88%	99%	103%	96%	103%	102%	102%	105%
Fitch DSCR	1.34	1.30	1.31	1.24	1.34	1.40	1.34	1.29	1.22	1.26	1.21
S&P LTV	86%	87%	81%	80%	88%	95%	91%	92%	88%	83%	85%
S&P DSCR	1.70	1.57	1.53	1.53	2.24	2.30	2.53	2.05	1.88	1.87	1.91
Moody's LTV	109%	110%	101%	97%	100%	105%	106%	110%	112%	112%	113%
Moody's DSCR	1.07	1.06	1.10	1.15	0.98	1.09	1.04	1.02	1.00	1.00	0.99
AAA NCF Debt Yield	15.9%	15.2%	15.1%	15.3%	14.4%	14.2%	14.3%	13.5%	14.3%	14.3%	13.9%
BBB NCF Debt Yield	13.8%	13.2%	13.3%	13.4%	12.3%	12.0%	12.2%	11.5%	12.1%	12.1%	11.6%
AAA LTV	46.0%	45.7%	45.1%	42.5%	42.3%	43.1%	42.7%	46.1%	45.5%	45.0%	46.1%
BBB LTV	53.0%	52.8%	51.5%	48.5%	49.4%	50.9%	50.1%	54.2%	53.6%	53.1%	55.2%
NCF Debt Yield	12.7%	12.2%	12.3%	12.5%	11.5%	11.2%	11.4%	10.7%	11.2%	11.2%	10.7%

Note: Presale Reports, Intex, Trepp, Bloomberg Finance LP

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SASB Underwriting Trend by Vintage

	2026	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Issuance (\$mn)	49,763	90,554	70,401	19,585	45,719	79,128	23,853	45,390	35,520	36,500	19,339
Deal Count	68	125	108	35	54	110	47	83	74	66	40
Avg Deal Size	732	724	652	560	847	719	508	547	480	553	483

Credit Support % :

AAA	44%	45%	45%	41%	53%	59%	45%	56%	58%	57%	52%
BBB-	13%	14%	14%	13%	24%	35%	23%	30%	27%	26%	18%

Collateral Mix % :

Office	29%	27%	5%	2%	15%	23%	36%	26%	24%	40%	42%
Hotel	20%	18%	31%	31%	23%	16%	17%	25%	41%	46%	26%
Retail	11%	14%	8%	29%	10%	6%	7%	8%	15%	7%	20%
Multifam	10%	7%	16%	0%	11%	16%	4%	10%	3%	1%	1%
Industrial	30%	33%	31%	36%	39%	31%	31%	9%	10%	4%	3%
Others	1%	1%	9%	2%	1%	9%	5%	23%	7%	1%	8%

Financials :

Issuer LTV	66%	63%	60%	56%	59%	66%	60%	62%	59%	57%	50%
Issuer DSCR	1.6	1.5	1.4	1.5	2.3	3.3	3.2	2.4	2.5	3.4	3.3
Fitch LTV	99%	98%	100%	84%	113%	123%	109%	105%	103%	94%	90%
Fitch DSCR	1.0	1.0	0.9	1.2	0.9	0.8	0.9	1.0	1.0	1.0	1.1
S&P LTV	82%	89%	88%	90%	106%	119%	89%	97%	97%	91%	81%
S&P DSCR	1.5	1.3	1.2	1.2	1.3	1.3	1.7	1.5	1.6	1.9	2.2
Moody's LTV	109%	106%	107%	104%	123%	138%	103%	114%	111%	97%	91%
Moody's DSCR	0.8	1.0	0.9	1.0	0.8	0.7	1.1	0.9	0.9	1.1	1.4
Kroll LTV	104%	98%	98%	78%	113%	123%	112%	94%	92%	90%	79%
Kroll DSCR	1.4	1.3	1.1	1.3	1.9	2.8	2.4	2.4	2.5	2.7	2.9
DBMS LTV	92%	85%	82%	81%	85%	106%	76%	96%	102%	86%	82%
DBMS DSCR	1.3	1.3	1.3	1.2	1.9	3.2	3.0	2.3	2.0	2.1	2.4
Issuer NCF Debt Yield	9.2%	9.8%	10.1%	11.1%	9.0%	8.0%	9.7%	9.3%	11.0%	11.8%	13.6%
AAA LTV	37%	35%	33%	33%	28%	27%	33%	27%	25%	24%	24%
BBB LTV	58%	54%	52%	49%	45%	43%	46%	43%	43%	42%	41%

Note: Presale Reports, Intex, Trepp, Bloomberg Finance LP



CRE CLO Manager Performance - Top 20

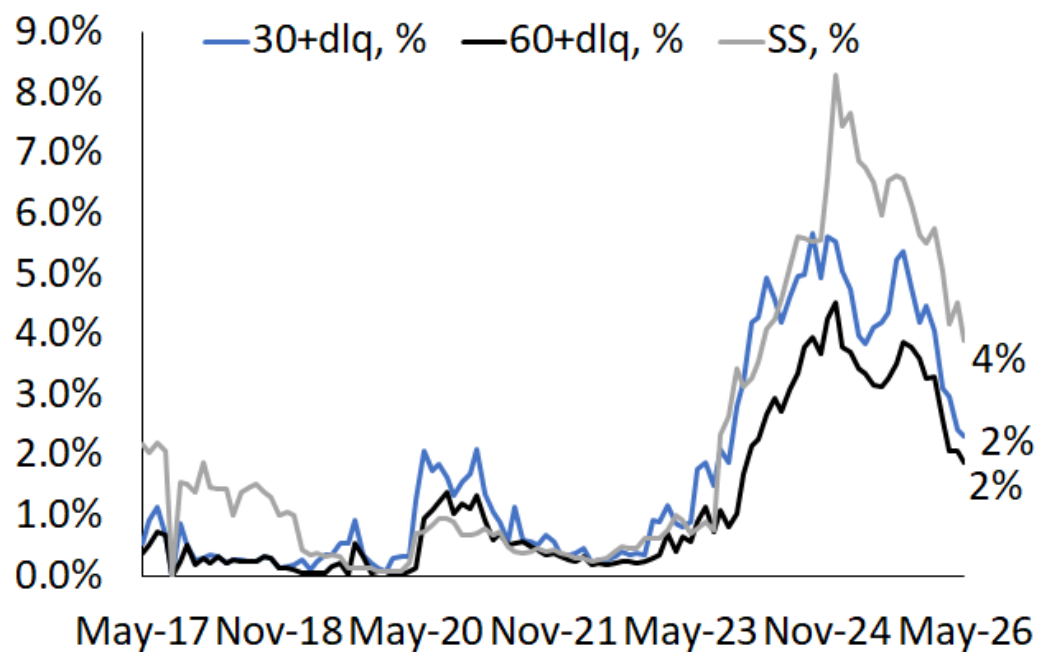
Collateral Manager	Orig Bal, \$bn	Curr Bal, \$bn	Pool Type, %		Performance				Modification%			Payoff Status (Orig Bal,\$bn)				Office %	Multi -Fam%
			Managed	Static	30+d%	60+d%	SS%	WL%	Loan Mods	*Sofr Mods	Total Mod	Repurchase	Liquidated	Paid off	Active		
MF1 REIT	\$28	\$15	100%	0%	2.5%	0.9%	6.0%	60.1%	19%	3%	22%	0%	0%	49%	51%	0%	100%
Benefit	\$19	\$7	100%	0%	0.9%	0.9%	2.3%	0.0%	17%	1%	19%	0%	0%	64%	36%	0%	73%
Bridge	\$14	\$5	87%	13%	0.0%	0.0%	0.0%	11.7%	0%	1%	1%	5%	0%	60%	35%	0%	96%
Rialto	\$11	\$4	100%	0%	6.3%	5.1%	14.4%	15.2%	26%	2%	29%	0%	0%	67%	33%	7%	57%
Arbor	\$22	\$4	100%	0%	1.1%	1.1%	8.5%	0.0%	20%	25%	45%	6%	0%	78%	16%	0%	99%
TPG	\$10	\$4	100%	0%	0.0%	0.0%	0.0%	0.0%	6%	0%	6%	2%	0%	63%	35%	16%	47%
Argentia	\$9	\$4	50%	50%	2.9%	2.9%	2.7%	43.4%	44%	0%	44%	0%	0%	59%	41%	7%	63%
Blackstone	\$7	\$3	58%	42%	2.7%	2.7%	2.7%	15.7%	33%	9%	42%	1%	0%	56%	43%	20%	35%
Prime	\$11	\$3	75%	25%	0.0%	0.0%	0.0%	9.1%	7%	0%	7%	1%	0%	73%	26%	5%	73%
LoanCore	\$12	\$3	100%	0%	0.0%	0.0%	0.0%	0.0%	5%	0%	5%	13%	0%	63%	23%	14%	57%
VMC	\$7	\$3	73%	27%	5.8%	5.8%	8.9%	14.0%	6%	1%	8%	1%	1%	56%	42%	18%	43%
Invesco	\$3	\$2	100%	0%	0.0%	0.0%	0.0%	0.0%	5%	0%	5%	0%	0%	8%	92%	2%	63%
Starwood	\$5	\$2	100%	0%	0.0%	0.0%	0.0%	40.7%	3%	0%	3%	14%	0%	50%	36%	19%	67%
ACRES Capital	\$4	\$2	52%	48%	0.0%	0.0%	0.0%	0.0%	0%	0%	0%	1%	0%	56%	43%	0%	87%
ACRE	\$2	\$2	100%	0%	0.0%	0.0%	0.0%	0.0%	3%	0%	3%	0%	0%	13%	87%	0%	100%
BrightSpire	\$3	\$2	100%	0%	0.0%	0.0%	0.0%	22.8%	14%	0%	14%	1%	0%	39%	60%	1%	89%
Barings	\$1	\$1	73%	27%	0.0%	0.0%	0.0%	0.0%	0%	0%	0%	0%	0%	3%	97%	13%	29%
Greystone	\$7	\$1	100%	0%	0.0%	0.0%	0.0%	42.6%	0%	0%	0%	2%	0%	82%	16%	0%	90%
LaSalle	\$2	\$1	100%	0%	1.2%	1.2%	1.2%	0.0%	1%	0%	1%	0%	0%	56%	44%	0%	88%
Acore	\$1	\$1	100%	0%	0.0%	0.0%	0.0%	8.4%	0%	0%	0%	0%	0%	0%	100%	8%	58%
Overall Market	\$245	\$79	89%	11%	2.3%	1.9%	3.9%	19.5%	16%	3%	19%	2%	0%	66%	31%	7%	73%

Note: We separate out Mod code # 8 loan modifications because they frequently relate to changes in the floating rate loan index from LIBOR to SOFR. Pool type % is as of outstanding balance.
Source: Intex, Deutsche Bank

- Bridge Investments is best-performing manager with ~\$5bn outstanding with no delinquency, no SS, no loan mods and payoff rate is 60%.
- Prime, Starwood, ACRE, ACRES, Barings, Invesco have also shown better performance.
- VMC (5.8%), Rialto (5.1%), Argentia (2.9%) and Blackstone (2.7%) have slightly higher 60+ delinquency rates.

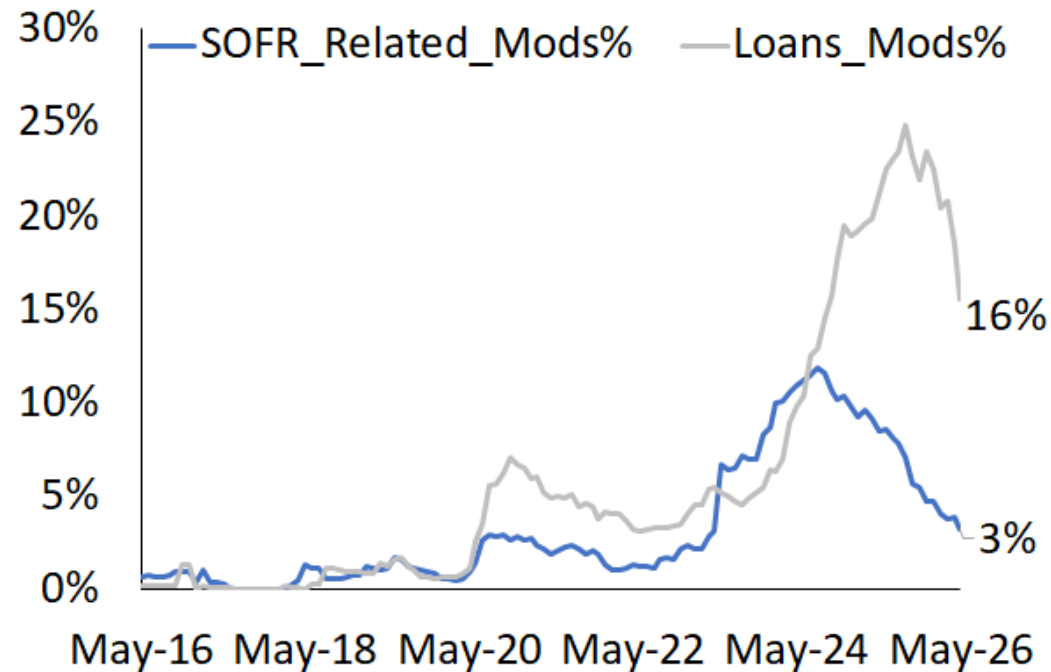


Credit Performance, %



Source: Intex

Modifications, %



Note: we separate out Mod Code # 8 loan modifications because they frequently relate to changes in the floating rate loan index from LIBOR to SOFR.
Source: Intex, Deutsche Bank

- 60+ day delinquency have fallen from a high of ~5% to 1.9%. Key Drivers: loans mods, deal calls and repurchase activity, office exposure declining.
- CRE CLO delinquencies have generally remained lower than conduit and SASB due to: 1) 70% Multi-family exposure, 2) actively managed collateral, and 3) manager skin in the game. We remain positive on long-term multifamily fundamentals due to stretched housing affordability and slowing new construction of Multi-family.



US CLOs

June 15, 2026

Reflections at the midpoint

The first six months of the year has offered several twists to the market – unpacking them helps to anticipate how the second half is likely to unfold

Jamie Flannick | Conor O' Toole



Midyear Summary



The TL;DR –

Mid-year summary:

1 / Primary market – room for catchup in H2. Deal activity has been slower in 2026 – New Issue and Reset deal volume are both down by 20%. Refis, however, have been a bright spot, surging ahead of last year's level by 20%. And Private Credit CLOs have also fared relatively well so far, despite the headlines surrounding BDCs, and are trailing last year's levels by roughly 10%. The market faced several macro headwinds in H1 that are dissipating, and there's room for catchup in H2.

2 / Secondary market – acceleration in trading activity and retail flows. Although primary market deal volume has seen a pullback, the secondary market continues to move at an accelerated pace – Trace deal activity is higher YoY by 35% and retail flows into US CLO ETFs are nearly 25% more robust. Pricing, however, remains challenged for junior debt, with BBBs and BBs trading wider than start of year levels – with credit tail risk growing, this trend looks set to continue.

3 / Loans – a bifurcated market. Secondary loan prices are being impacted by three factors – sector, size, and credit rating. This has created significant dispersion in the market, which should lead to a greater performance gap between manager portfolios over the course of H2.

Reflections at the midpoint

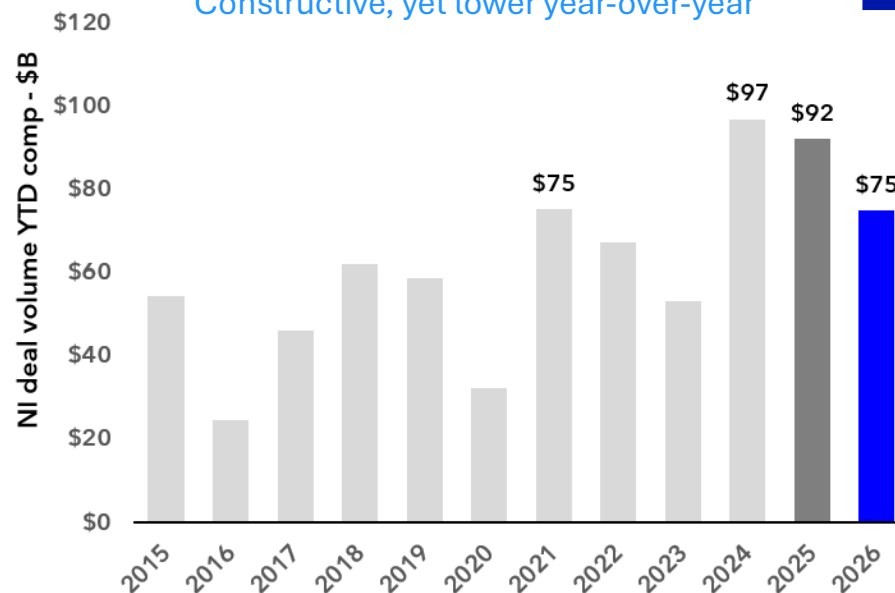
The first six months of the year has offered several twists to the market – unpacking them helps to anticipate how the second half is likely to unfold

Coming into 2026, a few market themes were evident that shaped our expectations for the year ahead –

- Although private credit concerns arose in September in the wake of several high-profile defaults, five months following a spike in geopolitical concerns in April stemming from the Liberation Day tariffs, CLO demand had remained persistently strong with new issue deal volume broaching the \$200B mark for the second straight year and new issue spreads pricing within a close range to their historical tight. Without a catalyst in sight to check this momentum, H1 2026 looked like a continuation of Q4 2025 in both deal volume and pricing.
- The read on the leveraged loan market coming into the year was relatively similar. Like CLOs, primary market activity was well positioned to continue into H1. After a sluggish Q1, Institutional deal volume ended 2025 north of \$400B. Although below 2024's \$500B, it was nearly double deal volumes in 2022 and 2023 when pricing became turbulent due to the meteoric rise in interest rates. And with interest rate cuts likely coming into 2026, marginal debt burden relief seemed to be in site for a cohort of borrowers that were seeing credit



Constructive, yet lower year-over-year



- downgrades. Although loan prices at the headline in the LLI remained lower than where they began in January 2025, interest rate cuts combined with fiscal stimulus stemming from the One Big Beautiful Bill looked set to lift prices back toward a 98-handle trajectory.
- The relatively strong fundamentals in both loans and CLOs pointed to a Credit environment that would remain firm in the first half of 2026 – a moderating loan default figure that as of November 2025 was still well north of 3%, continued improvement in the downgrade / upgrade ratio which had dipped below 2.0 after averaging closer to 3.0 for the first 10 months of the year, and a distressed ratio (loans priced sub-80) that was well contained at 4%. The improving credit landscape in loans had put CLO

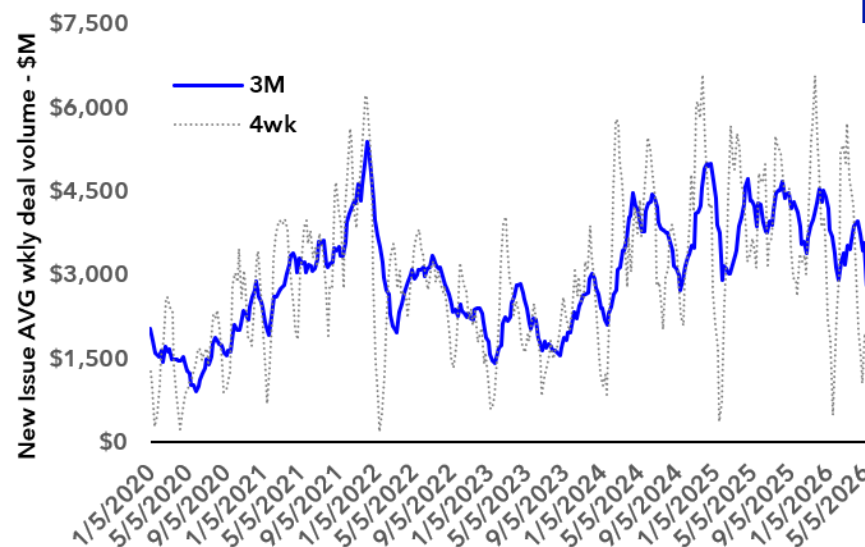
- credit metrics in a firm position, with Q4 2025 marking an improvement in WARF, CCC exposure, and BB OC cushions after some softening in the wake of April's market dislocation.
- And finally, from a Macro context, headline consumer inflation in late Q4 was descending towards the Federal Reserve's stated 2% target, after reaching a peak of 3% in September due in part to elevated prices resulting from an increase in tariffs. With fears growing throughout H2 2025 of a slowing labor market, and the FOMC deciding to cut the benchmark rate for the 3rd time in December 2026 looked set to be a year of a lower, and more stable rate environment.

But as we near the midpoint for 2026, several surprises have arisen which have skewed the market's trajectory.

First, geopolitical uncertainty has once again impacted the market. Similar to the introduction of a revamped tariff policy in April of last year, this year's conflict in the Middle East was unexpected in both the scale and duration. And similar to last year, this year's most poignant geopolitical event led to a price dislocation which impacted both CLO and lev loan issuance, putting both markets in negative territory when comparing year-over-year activity.

A second surprise in 2026 has been the selloff in the Software sector. This began in February following high profile releases by Anthropic surrounding enterprise use cases and the capability of a generalized AI model in addressing what had traditionally been verticalized

New issue momentum has softened in 2026



services provided by domain-specific software players ranging from CRM, HRM, and software development. The impact was a cratering of Software loan prices, dragging the average from 95 at the start of the year to below 88 by the end of February. The selloff also dented the market value of publicly traded BDCs, given their broad exposure to the sector, and led to a significant uptick in redemptions at the end of Q1, reigniting concerns over the private credit market that had not totally subsided since last September.

Finally, a third surprise in H1 has been the repricing of the rate curve. Due to what has been stronger than expected employment data mixed with worsening consumer price data, the result of higher energy prices, longer term SOFR rates are now priced higher than near term rates, reflective of expectations of an FOMC at least on hold, if not hiking rates by the end of the year.

This shift in market context explains several trends related to the CLO and Leveraged Loan markets that have risen to the surface in the first half of the year and are worth highlighting.

This shift in market context has had an impact on the CLO and Leveraged Loan markets. We highlight a few key takeaways from the market in H1, as well as expectations for the second half of the year.

Primary Market – room for catchup in H2

The first immediately noticeable data point related to the primary market is New Issue volume, which is tracking lower year-to-date – \$75B priced through last Friday compared to \$92B at this time a year ago, a nearly 20% gap.

The softer YoY comp is due to several reasons already mentioned – concerns over software (a large sector when it comes to exposure in CLOs and Lev Loans), fallout from the Iranian conflict and the higher energy prices its produced, and a challenged arbitrage environment due to what remains a strong bid for leveraged loan debt.

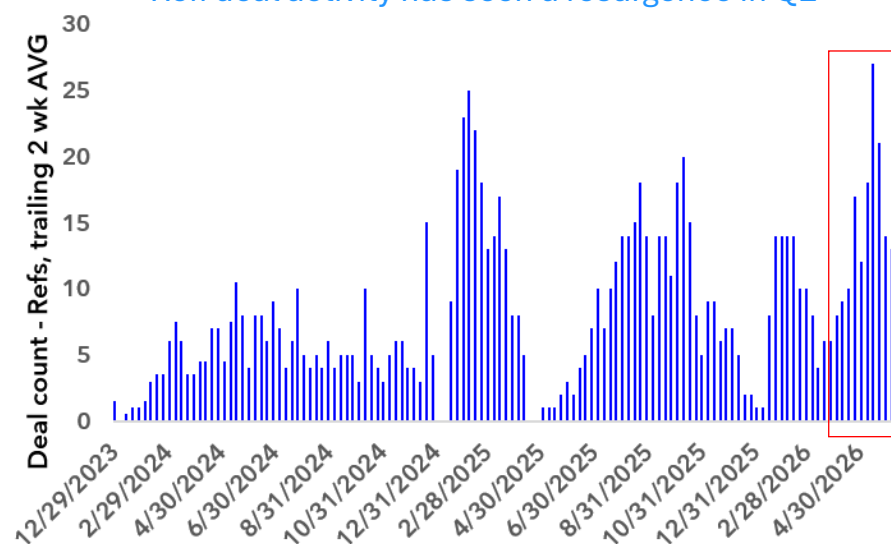
Although loan spreads have marginally widened over the last month compared to CLO primary spreads which have tightened, the current level of loan spreads for a modeled new issue CLO are still 40 bps tighter than the 5-year average, causing many CLO managers to prioritize repricings in the current environment rather than new deal creation.

However, the CLO repricing market has also been challenged in parts – like NI, Resets are also softer YoY, down by 21%, \$73B vs \$93B at this time a year ago.

Since the start of May, however, Reset deal activity has strengthened, averaging \$5.1B per week and narrowing the gap with last year's volume. And given where NI spreads were at this time in 2024, the vintage most in scope for a Reset option – 150 / 188 bps for AAAs / WADMs compared to Reset spreads today – 122 / 156 bps – Reset volume should continue to see a re-acceleration in H2, although likely remaining well off of last year's levels.

Refis are the one part of the primary market which is outperforming 2025, up 20% YoY - \$47B vs \$56B a year ago. Refis tend to perform well during periods of choppy pricing, like we have seen this year, given their ability to offer a partial repricing of the debt stack. Junior debt becomes more difficult to place when price levels are uncertain, enabling Refis to serve as a deal catalyst during conditions like we have seen in H1.

Refi deal activity has seen a resurgence in Q2



Given a setup in which price levels have now mostly stabilized, we see primary deal volumes staying near the range that we forecasted coming into the year – New Issue contracting by around 10% (ending at \$190B compared to \$209B in 2025), Resets softer by 25-30% and ending at \$170B compared to \$232B in 2025.

Where we think activity could continue to remain to the upside is Refis, particularly if additional market surprises are in store in H2, which would challenge pricing again.

In terms of spreads, pricing has come into better balance over last month – in New Issue, current levels are through start of year levels – 124 bps / 280 for AAAs / BBBs.

Refis, by comparison, are still priced wider from start of year levels – 118 bps / 347 for AAAs / BBBs currently compared to 113 / 290 at start of year. The uptick in Refi supply is part of the story, as well as the greater credit tail risk that is inherent for longer-dated loan pools with greater par loss.

Looking forward, price levels for New Issue should remain constructive and relatively range bound – concerns over the Software sector should remain balanced, and a passable resolution for the markets (in the near term) to be reached for the Iranian conflict. However, there will likely be growing concerns over credit tail risk heading into end of this year, putting a floor to how tight levels can go from here. Due to this, we are forecasting New Issue AAAs to end the year at 126 bps and BBBs at 295 bps, within a tight range of current market pricing.

US CLO Issuance Forecast (\$B)

	2024	2025	2026 Forecast	YoY (est)
BSL	\$163	\$166	\$145	-13%
MM	\$39	\$43	\$45	5%
Total	\$202	\$209	\$190	-9%
Refi	\$84	\$105	\$100	-5%
Reset	\$223	\$232	\$170	-27%
Total	\$307	\$337	\$245	-27%

Upside risks to issuance forecast include:

- LBO / M&A activity accelerates even more than anticipated in 2026 due to greater macroeconomic certainty
- Geopolitical, trade, and inflationary uncertainty remain contained, producing a benign credit backdrop
- CLO ETF inflows push past the \$20B mark in 2026, serving as a CLO NI demand driver

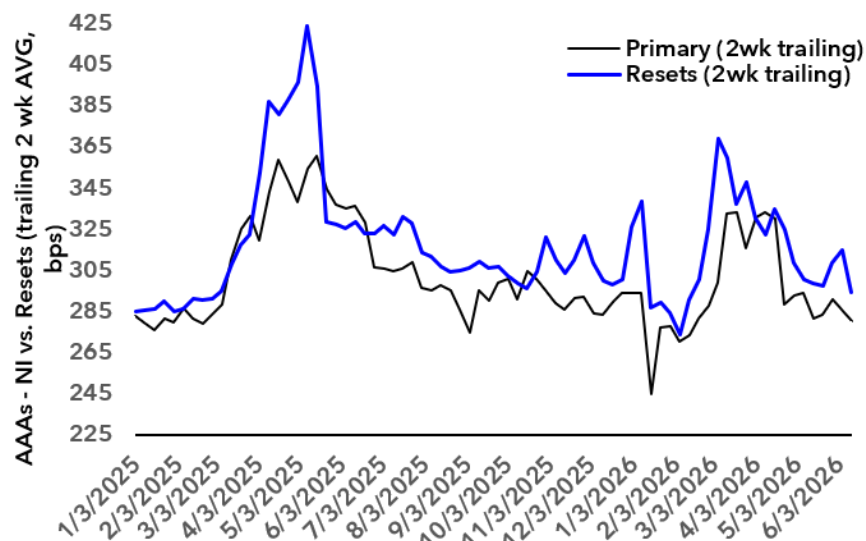
Downside risks to issuance forecast include:

- Dual-sided risks of a slowing labor market and persistently high inflation, exacerbated by USD weakening, putting further strain on consumers
- The Middle East conflict persists into H2, leaving energy costs higher and feeding into consumer good prices
- Software fears once again reignited due to a model release by a frontier lab, further cratering loan prices for borrowers in the sector and increasing the default probabilities for 2028 maturities.





BBB Resets are pricing at a discount to New Issue and are a relative value buy for newer vintages



For an investor, we see relative value in Repricings – particularly BBB in Resets for recent vintages, which are pricing wide of New Issue (+20 bps average over the last month).

AAA through As in Refis also look attractive and are pricing wide to comps in secondary: +8 / 16 / 29 bps.

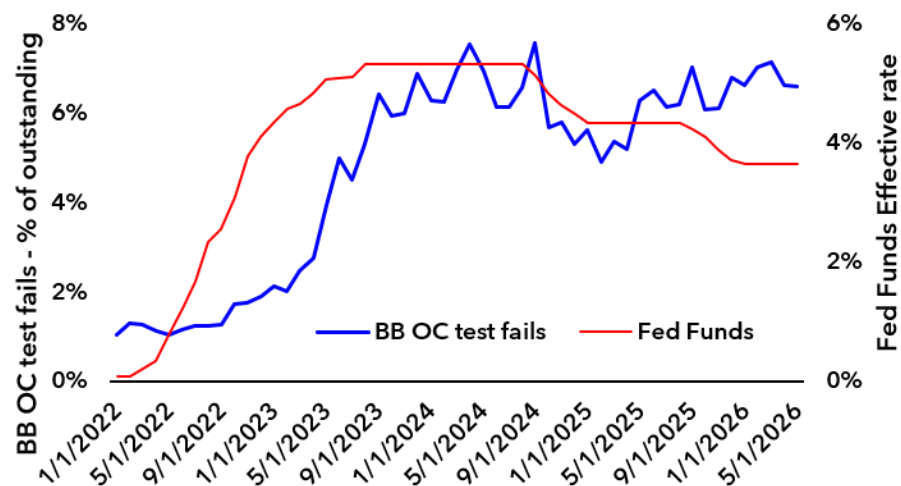
Although New Issue volume should remain constructive, deals will likely continue to price at a premium to repricings and therefore offer less of a compelling entry point for investors than Repricings. A likely continuation of the challenged arb setup should put a ceiling on NI supply.

Secondary – acceleration in trading activity, retail flows

Unlike the primary market, in which spreads across the debt stack are tighter since start-of-year levels, Secondary CLO prices are bifurcated – AAA to As are priced tighter than early January levels, with As seeing the greatest focus, 15 bps tighter YTD. Junior debt, however, has struggled on the year, with BBBs and BBs currently pricing 7 / 104 bps wider since the year began. The lower credit rating combined with the longer WAL in an environment in which credit tail risk is growing has made these profiles on average less appealing.

Although BB OC cushions remain constructive on average across CLO portfolios, the number of test fails remains elevated, above 6%. The uptick in junior OC breaches coincided with the rise in interest rates, and with the rate normalization cycle likely on pause until 2027, the most junior part of the debt stack will likely remain under pressure in pricing.

BB OC test fails surged with a spike in interest rates



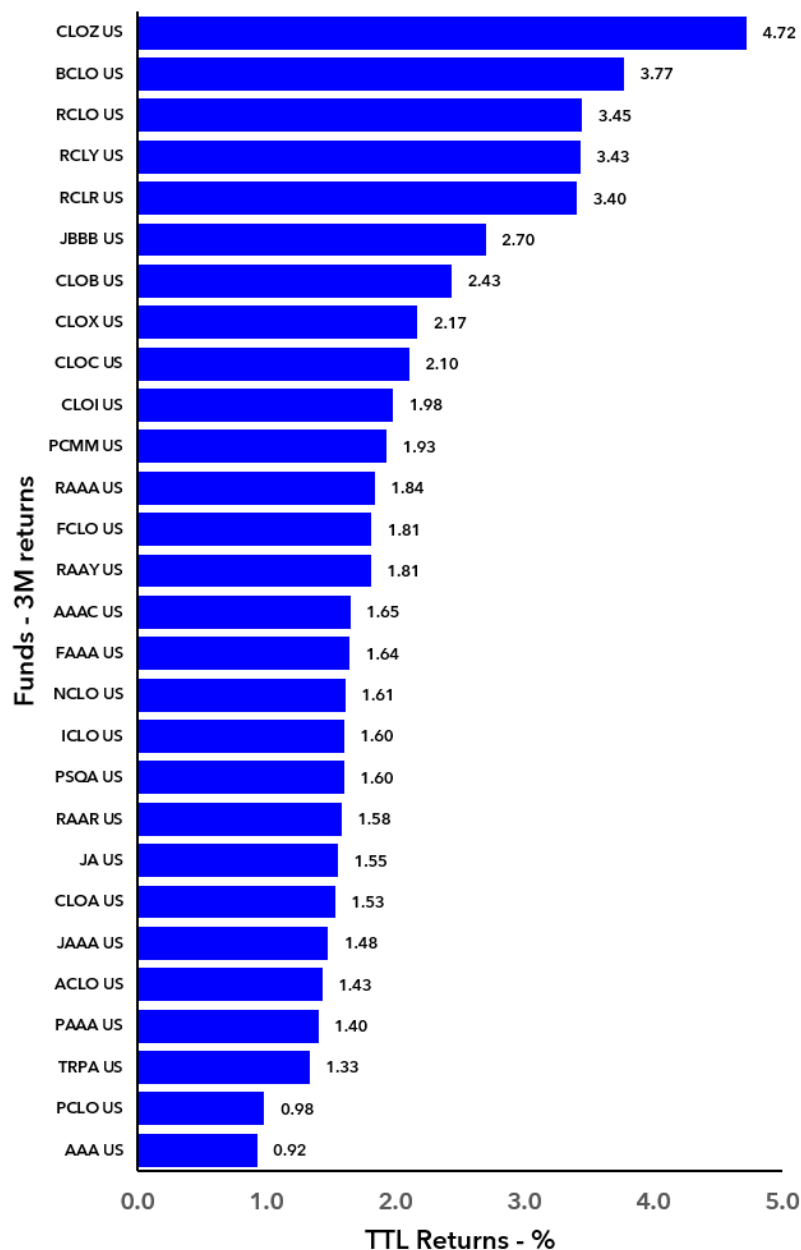
Trader volume (TRACE) has been robust YTD, 35% growth YoY growth – \$130B vs \$95B a year ago. This points to growing liquidity in the secondary market, indicative of more investors entering space due in part to higher yields.

But a second reason for the elevated trading volume aside a deepening of the market is the elevated volatility seen this year, particularly in February through April. Given the wide price dispersion in sectors within the leveraged loan market, the secondary market has been robust due to the relative value trades that have opened in pockets this year given the headline concerns and volatility stemming from the Middle East, Software, and Private Credit.

CLO ETFs have also seen elevated volumes so far in 2026, with roughly \$9.5B of inflows so far on the year compared to \$7.7B at this time a year ago. This has mostly been due to a surge of inflows for AAA / AA funds, which continue to attract the most investor attention. However, BBB-focused funds have continued to see a marked improvement in both fund flows and returns since early May, providing an additional tail wind to ETF growth as well as primary market deal volume, where the underlying bonds are originally sourced.

With the Fed likely on hold for the rest of the year, we see CLO ETF inflows remaining resilient through year's end with a full year level approaching \$20B, surpassing the \$15B in 2025.

BBB-focused funds are offering elevated returns

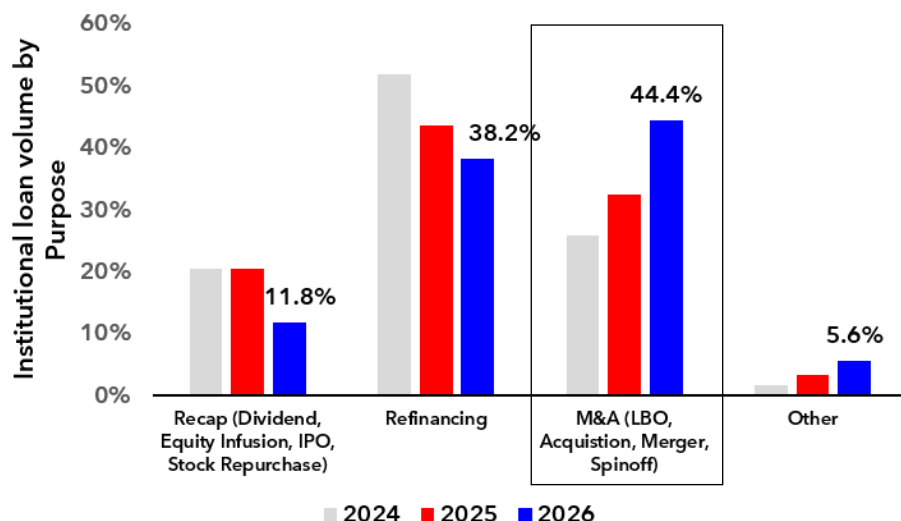


Loans – a bifurcated market

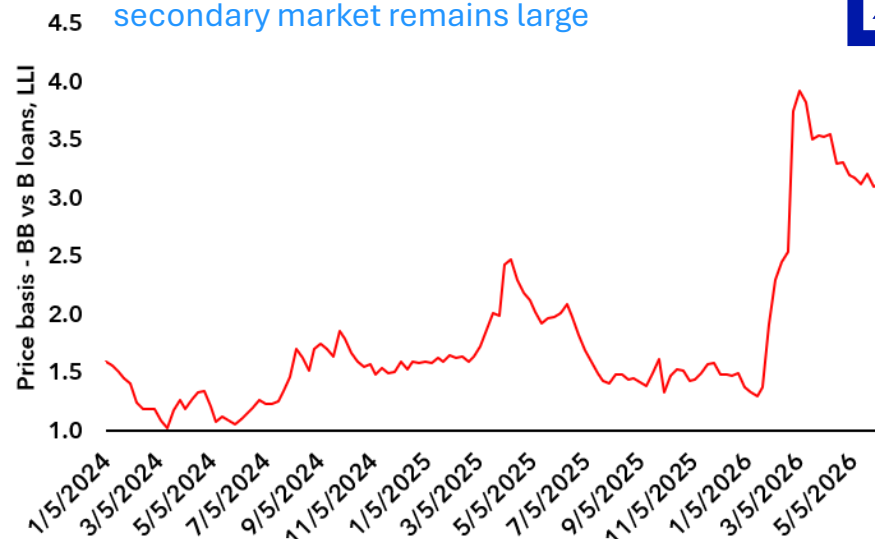
Primary market Institutional loan activity is marginally softer YoY – \$195B priced compared to \$208B at this time a year ago, a 6% YoY difference. In large part this is due to a softer April, due to the same reasons which slowed the CLO market during the same period. Since then, however, deal activity has once again accelerated with May's \$43B of issuance and June tracking at the same pace.

For the CLO market, perhaps the most promising aspect to primary market activity has been the composition of the deal volume – 2026 has seen an uptick in LBO / M&A activity, which YTD accounts for 44% of Institutional loan volume compared to only 32% for 2025. This means that the flywheel of refinancings, which has been one element of primary market pricing that has challenged the CLO NI arbitrage, is slowing on the margins while

LBO / M&A activity is healthier in 2026



The price gap between BB and B loans in the secondary market remains large



net-new loan creation is accelerating. This setup should be supportive of CLO New Issue on the margins moving forward into H2.

In the secondary market, price dispersion is visible on three levels – ratings, sector, and size.

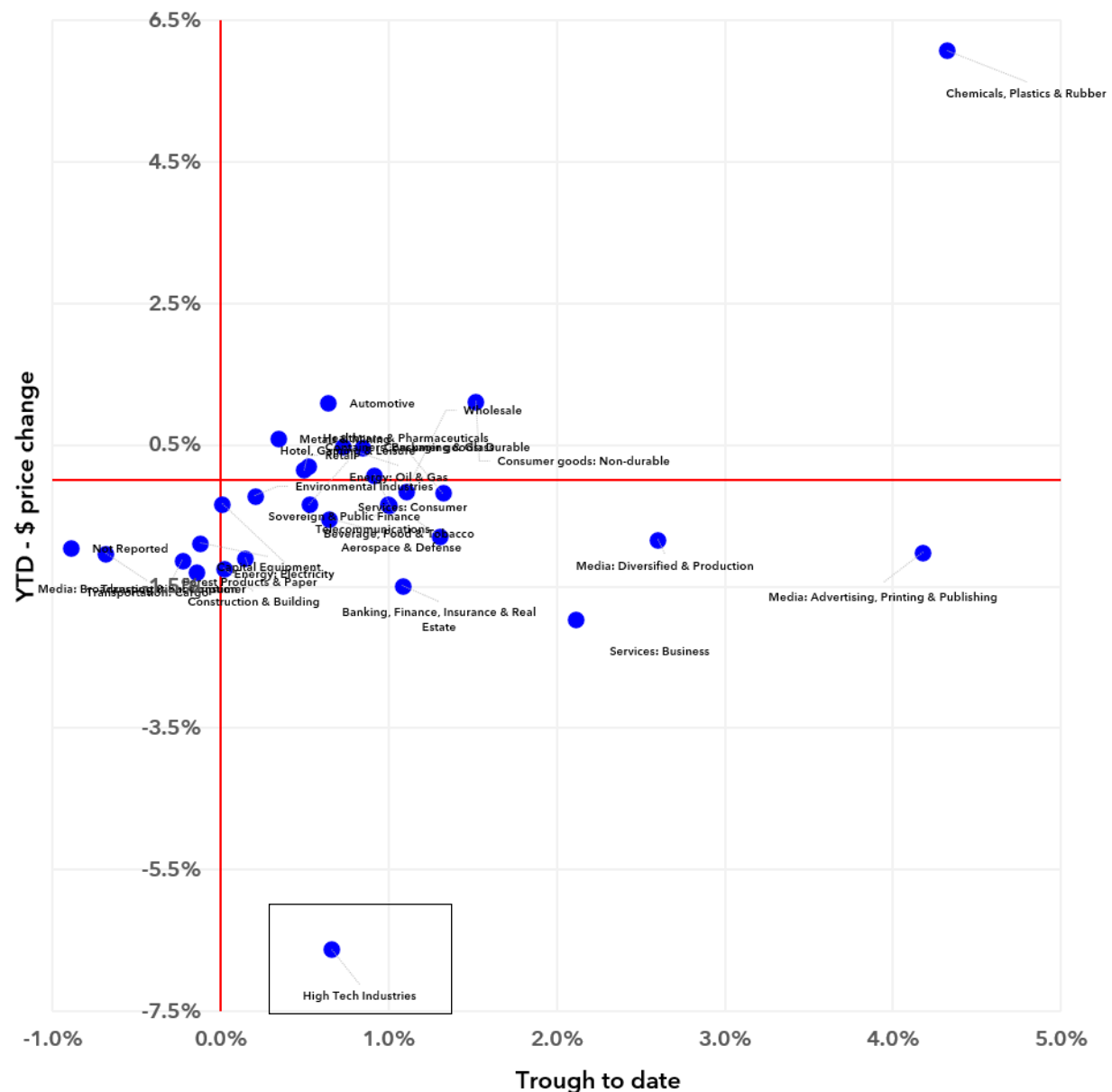
Lower ratings (particularly Bs / CCCs) are underperforming BBs. This is visible when looking at the price differential between credit ratings, which has growing throughout the year – the difference between BBs and Bs is currently 3.2 points compared to 1.4 at the start of the year. And the price gap between Bs and CCC rated loans in secondary is even more disparate – 25.3 points compared to 22.2 points in January. This number has consistently climbed since August 2025, when investor concerns over the private credit market were ignited following the Tricolor and First Brands defaults.

In terms of loan dispersion from a sector level, Software continues to trail other industries from a YTD perspective – down 6.6% when using the Moody's industry classification. However, concerns over the sector have come into a better balance over the last 2 months since March, with the sector gaining 66 bps since then. Most investors by this point seem to have a thesis of potential winners and losers in the sector, allowing for a moderation in what had initially been an almost blanket selloff of the sector.

Finally, dispersion in the secondary loan market is happening along debt size. From a pricing perspective, the largest loan instruments in the Morningstar Leveraged Loan Index have sold off more than the broader index, a 2.7% decline compared to a 1.6% pullback for all loans. This is partly due to some of the largest names in the index also being names tied to the Software sector, and which have sold off on the year – McAfee, CDK Global, Kaseya Inc., and Qlik Technologies.

However, from a distressed pricing perspective, smaller loans are under more pressure when viewing the LLI distressed ratio.

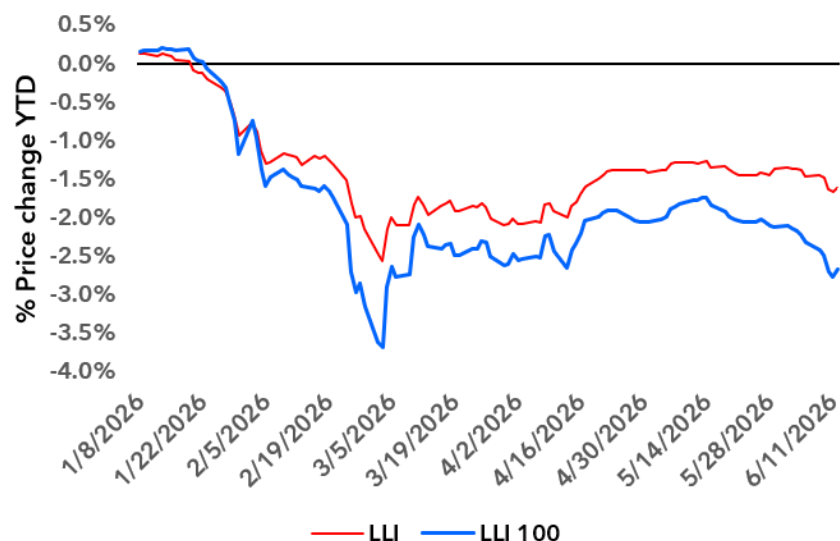
Since March, Software (Tech) loan prices have shown greater stability



The number of loan borrowers with debt pricing sub-80 is higher than the par amount of the index pricing sub-80 – a distressed ratio of 8.2% by issuer count compared to a distressed ratio of 6.5% by par amount. The higher distressed ratio by issuer count implies that smaller borrowers are under more pressure on average than larger borrowers, posing a tail risk for investors.

This dispersion in the market – along ratings, sector, and size – is both an opportunity and a risk for CLO managers. We see this contributing to differing outcomes in credit and price metrics for platforms in the quarters ahead and should therefore begin to see the broader dispersion in the loan market be more fully expressed in differences between CLO portfolio metrics in the back half of the year.

The largest loans in the index are underperforming



Credit – growing dispersion in manager performance

CLO credit metrics remain firm at the headline across portfolios – WARF, CCCs, and current defaults show a marked improvement YoY.

However, like in the loan market, there is growing dispersion – when considering the Max vs Min, several credit metrics are showing a greater gap between the outperforming vs underperforming CLO portfolios. And when moving beyond credit and considering key market value metrics, such as Weighted Average Portfolio price and the number of assets priced sub-80, the gap in performance is also evident.

CLO equity performance at the manager level is also showing growing dispersion. Quarterly payouts are driven by several factors, such as vintage, initial pricing, and composition of the loan portfolio at the time of pricing. Gaps in performance tend to arise over time due to differing outcomes by Managers when it comes to avoiding loan losses and par erosion. When considering the trailing 2 year quarterly average for payouts, the range between the top and bottom for platforms with at least \$5B in AUM is quite stark – 7.6% at the high end compared to 2.3% at the low end.

So, at the headline, CLO credit metrics are showing relative stability. Yet, the average is masking the underlying dispersion between portfolios.

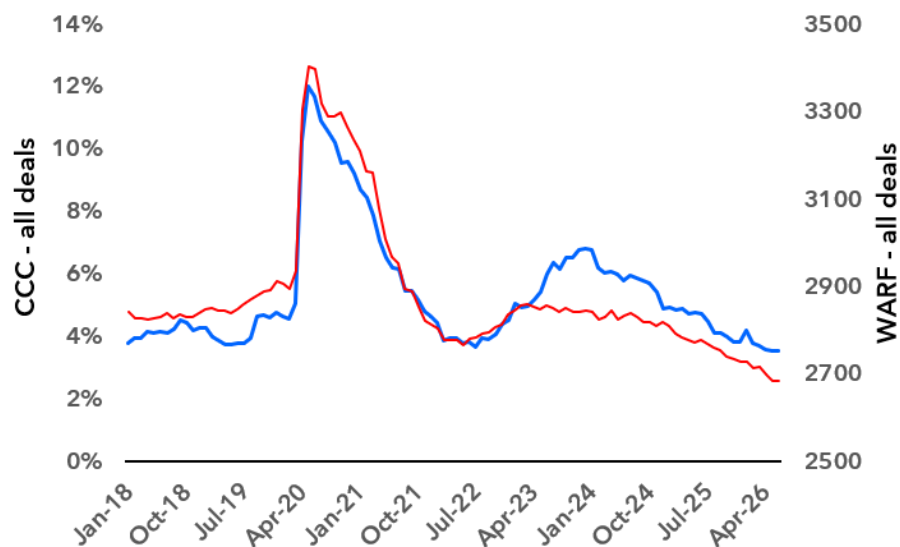
When looking at the loan market, default rates have been moderating – 3.1% in the LLI (nominal) compared to 4.4% at this time a year ago.

But the distressed ratio, an indicator of the percentage of loans of the LLI priced sub-80, remains at elevated levels from both a nominal and par value perspective. This is an important leading signal of credit distress – when the distressed ratio rises, it typically signals that defaults will rise in the 6-9 months following.

Given a few factors – (1) rates remaining elevated and on hold, (2) mounting pressure on Software borrowers with maturities in 2028, (3) likely signs of consumer weakening for the middle and bottom earning cohorts – we see the likelihood of this trend to hold and for loan defaults to once again begin to drift higher by year's end.

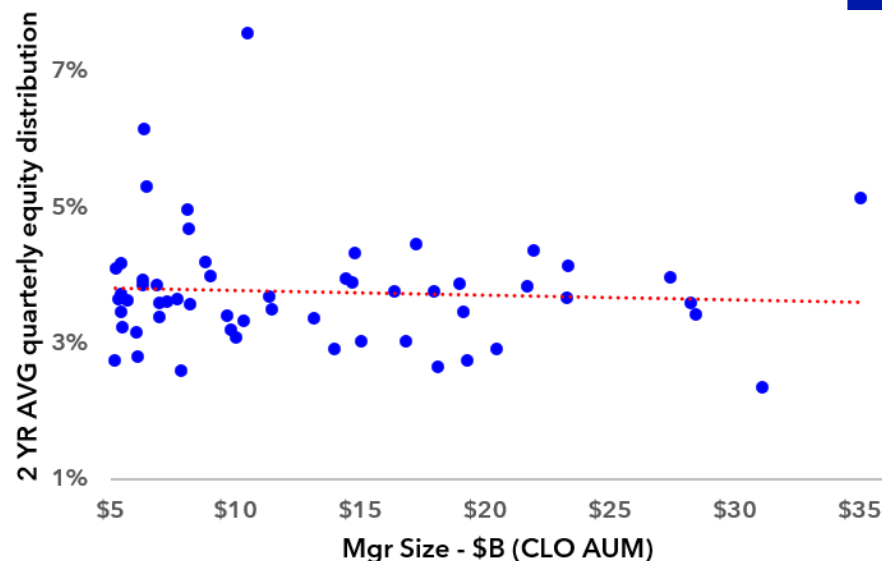
The knock-on effect will be greater loan losses, which will weigh on the Jr OC cushions for some portfolios and ultimately equity cash payouts. This divergence in outcomes reinforces the need for CLO investors to re-underwrite the platforms they are allocating to in the back half of this year.

A constructive equilibrium – WARF, CCCs moderating

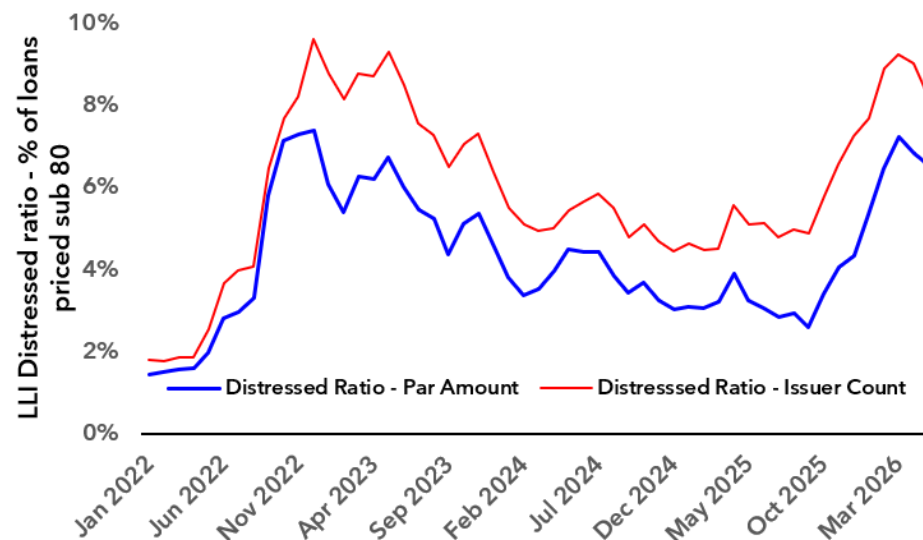


Source: PitchBook, Intex, Bloomberg Finance LP, Deutsche Bank

Performance dispersion is evident in Equity payouts



Distressed ratios remain elevated, pointing to tail risk





ABS 2026 Mid-Year Outlook

Rising issuance, mixed picture on credit

Kayvan Darouian, Director

Nick Huang, Research Associate



- **Key takeaways;** Issuance to hit new record in 2026, spreads to widen slightly through year-end, collateral performance to weaken incrementally on nonprime stress.
- The ABS market has shown impressive resilience in response to macro shocks as we head into H2, as spread volatility, rising rates, and pockets of consumer weakness have not slowed the new issue market which is on pace for a new record.
- ABS offers compelling relative value to corporates at current levels. We think ABS spreads will be flat to incrementally wider through year-end.
- How healthy is the U.S. consumer? If we were giving letter grades, we would call it a B at present, down slightly from a B+ when we published our 2026 year-ahead outlook. While the unemployment rate has decreased and the economy continues to grow, consumer delinquencies point to weakness at the lower end of the income/credit spectrum. Inflation is on the rise again as food and gas prices put a strain household budgets. With a solid labor market and rising inflation, rates cuts are not in the forecast.
- Auto ABS continues to pace the market, but issuance has been roughly flat vs 2025 for most of the year so far. Affordability remains a drag on the new vehicle market, while stabilization in used vehicle prices has been helpful. Continued year-over-year weakening in performance, across both prime and non-prime pools, has been disappointing.
- Esoteric ABS, including digital infrastructure, transportation, whole business and others, has been the primary driver of growth in new issue supply this year. That said, data center issuance is behind our forecasted pace at present.
- Consumer ABS performance has been mixed year-to-date, but we expect some weakening from current levels through year-end for the more credit sensitive asset types.
- **Risks to our view?** Issuance could come in below our forecast if data center supply doesn't meet expectations. Consumers, who are already facing negative real wage growth could come under more pressure if gas prices and inflation do not subside, or if the labor market weakens.

We revise our ABS issuance forecast upward to \$360 billion for 2026

in \$Bn	Autos	Student Loans	Credit Cards	Equipment	Esoteric	Total
2025	170	11	22	24	112	339
2026 YTD	81	6	6	11	63	168
2026 Forecast	170	14	18	25	133	360
% change vs 25'	0%	32%	-19%	5%	18%	6%
Paydown	150	16	22	22	95	305
Net issuance	20	-2	-4	3	38	55

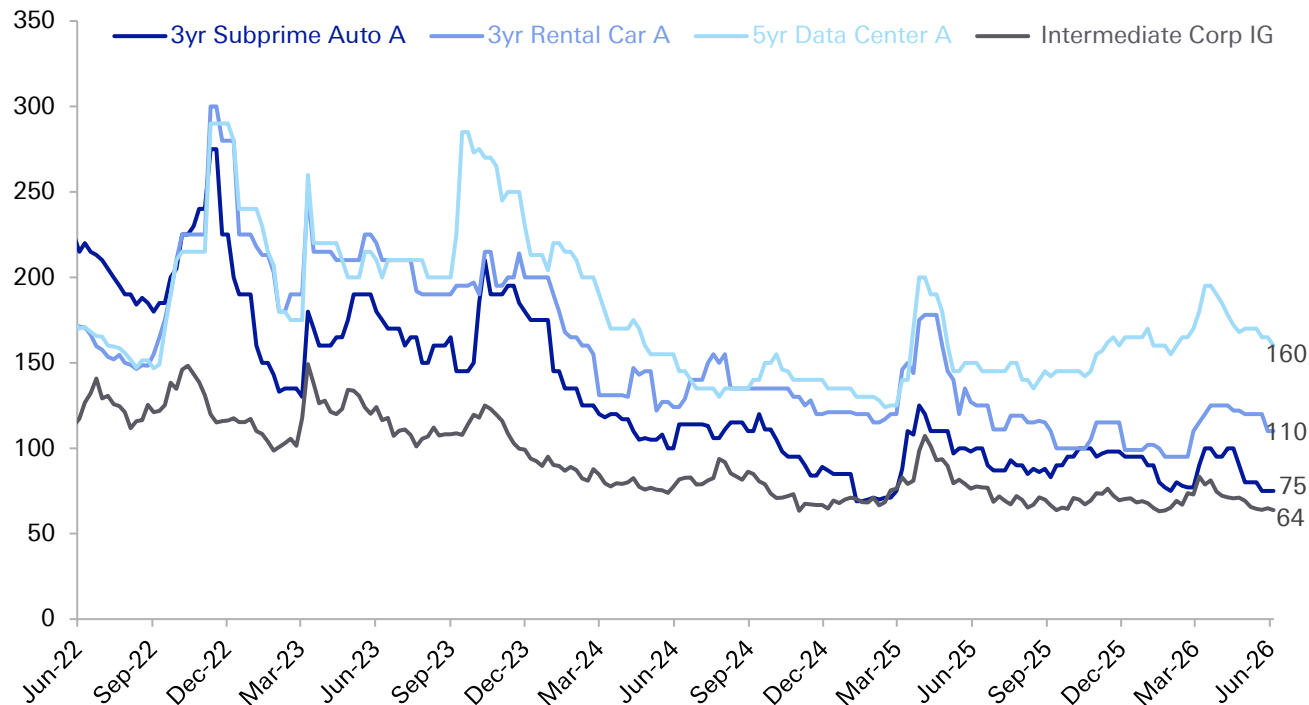
Source: Deutsche Bank, Bloomberg Finance LP

- We are increasing our full-year 2026 ABS issuance forecast to \$360 billion from \$345 billion previously, as the new issue market has had a very strong first half of the year. This would represent a 6% increase over 2025's full-year total and would be a new record for the market.
- We have increased our forecast for esoteric/other ABS issuance to \$133 billion from \$120 billion, as the rise in issuance for this sector has driven the growth of ABS issuance year-to-date.
- We reiterate our full-year forecasts for data center ABS and CMBS, of \$25 billion and \$15 billion, respectively, and consumer loan ABS of \$30 billion.
- Considering these increases and making some adjustments to our paydown assumptions, we are now forecasting \$55 billion in ABS net issuance.

ABS offers significant spread pick-up to similarly-rated corporates



Single-A ABS spreads vs intermediate Corp IG (bp)



Asset type	12-Jun	End-2025	Chg (bp)
3yr Subprime Auto A	75	95	-20
3yr Rental Car A	110	99	11
5yr Data Center A	160	165	-5
Intermediate Corp IG	64	69	-5

Source: Deutsche Bank, Bloomberg, L.P.

- Top-tier triple-A consumer ABS trade inside of corp IG, but when you account for ratings and tenor, ABS looks compelling.
- At present, similarly-rated ABS offer attractive relative value with roughly 10-95 bps of spread pick-up to the intermediate Corp IG index.

Relative value: ABS looks attractive as tightening has lagged corporates

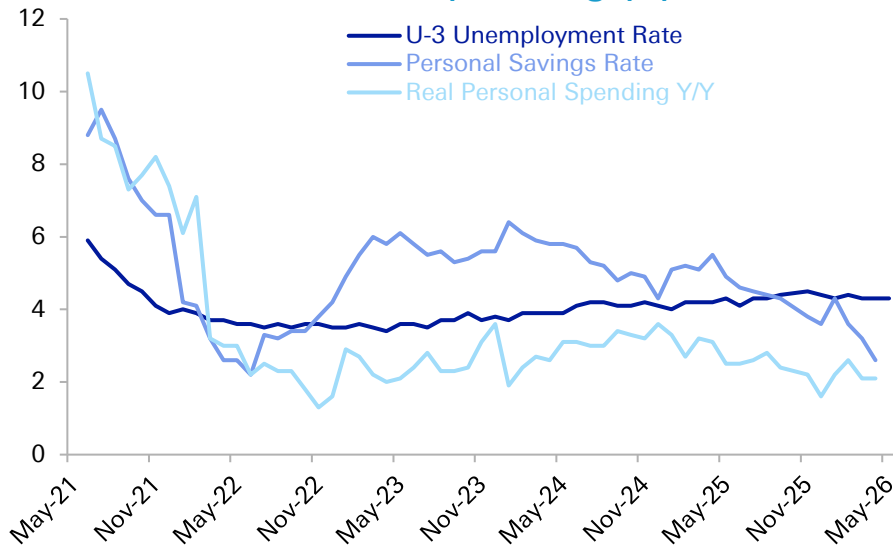


- **Prime Auto ABS seniors** – We like top-tier OEM names for the spread pick-up to bankcard seniors and think that some of the smaller shelves' seniors look attractive at current levels.
- **Equipment ABS seniors** – Performance has been stable and we like the incremental spread pickup to prime auto and bank card ABS for top-tier names.
- **Rental car seniors and IG subs** – Stable used vehicle prices and the spread pick-up to other auto ABS subsectors make rental car ABS attractive. Single-A subs haven't fully re-traced spread widening from beginning of 2026 and we think they have room to tighten.
- **Private SLABS seniors** – We think that 100+ bp spreads in triple-As, high FICOs, and co-signers outweigh the headline risks which primarily originate from the federal student loan program.
- **Subprime auto subs** – We like the IG part of the stack from programmatic issuers. Collateral performance has been a little disappointing, as the tax refund season didn't halt year-over-year weakening in collateral performance. Most deals are performing within expectations, however.
- **Data center seniors** – While data center senior spreads have come in from their year-to-date wide, we still like the 95+ bp pick-up to corporates for top-tier hyperscale single-As.



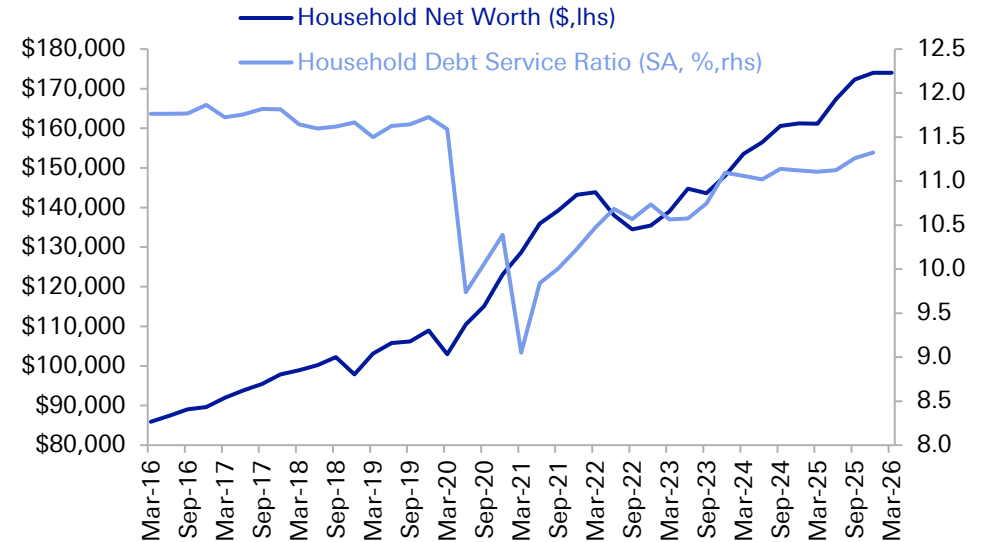
have held up...

Unemployment, Personal Savings Rate, and Real Personal Spending y/y (%)



Source: Bloomberg Finance LP, Federal Reserve, BLS, BEA

Household net worth and leverage (%)



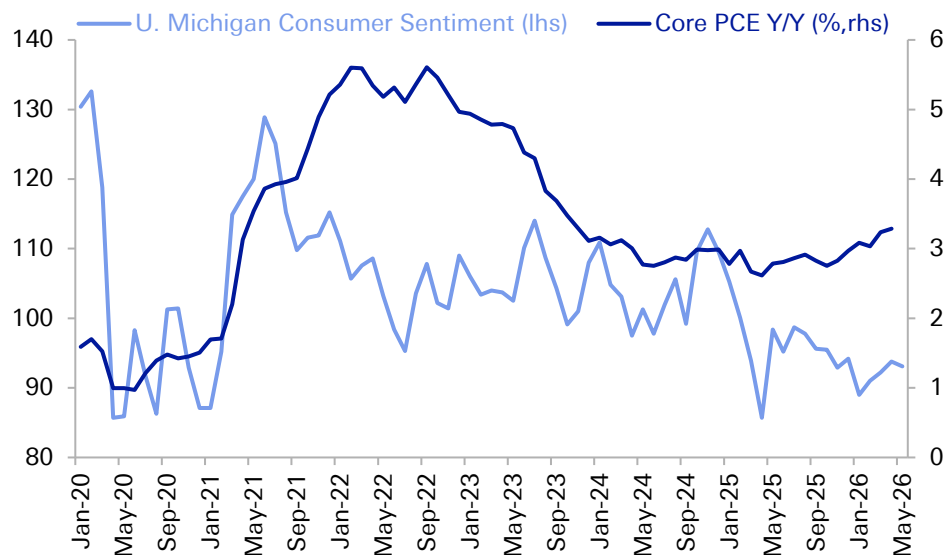
Source: Bloomberg Finance LP, Federal Reserve

- On balance, we rated the financial health of the U.S. consumer a B+ in Q4 2025, but we think that the headwinds facing the consumer outweigh the slight drop in the unemployment rate since Q4, reducing the overall letter grade to B. Still solid but reflects the additional stress on lower income households. With the bifurcated, or K-shaped narrative in mind, we'd break this down further:
 - **Prime Consumer:** Grade A-/B+. Benefitting from asset price inflation and a solid labor market but still facing inflationary pressures.
 - **Non-Prime Consumer:** Grade C. Bearing the brunt of inflation, higher interest rates, and depleted savings, as evidenced by rising delinquencies in subprime auto.
- On the positive side, the labor market remains solid with unemployment dropping slightly this year and holding steady at 4.3%. Household leverage is ticking higher but remains below pre-pandemic levels. The economy is still growing, and household net worth is benefitting from stock market gains and home price appreciation. Consumers are still spending.

...While headwinds build

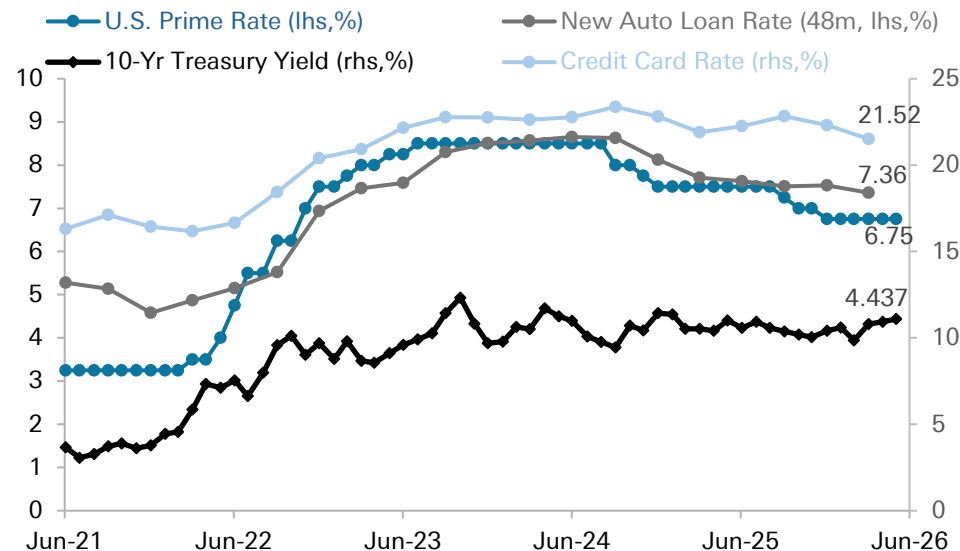


Consumer sentiment and inflation (%)



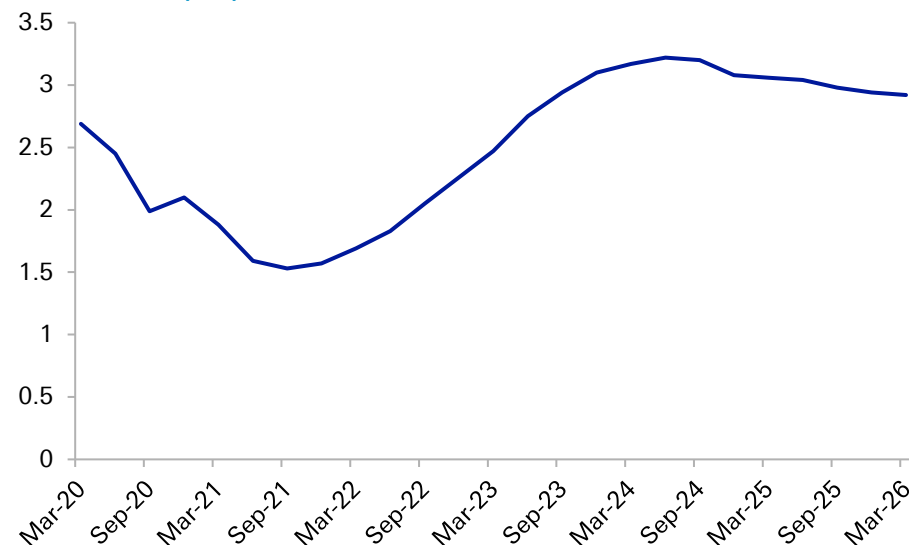
Source: Bloomberg Finance LP, Federal Reserve, University of Michigan

Consumer interest rates (%)



Source: Bloomberg Finance LP, Federal Reserve

Credit card 30+ day delinquency rate, all banks (%)

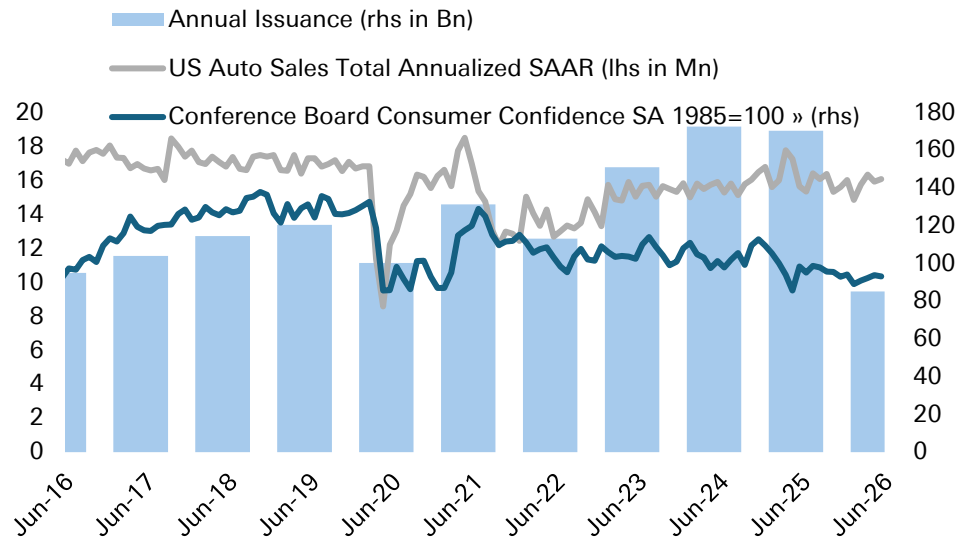


Source: Bloomberg Finance LP, Federal Reserve

- Headwinds: High gas and food prices are weighing on households, an uptick in inflation precludes rate cuts.
- Real wage growth is negative, and the personal saving rate is down, indicating that consumers are adjusting to maintain their spending.
- While the headline numbers can be misleading, consumer delinquencies are elevated, with credit card delinquencies above pre-pandemic levels.
- On balance, we think consumer ABS collateral performance will come in flat-to-weaker through year-end. A drop in gas prices and slowing inflation would help to ease some of the pressure on households.

A

New auto sales, consumer confidence, and auto ABS issuance

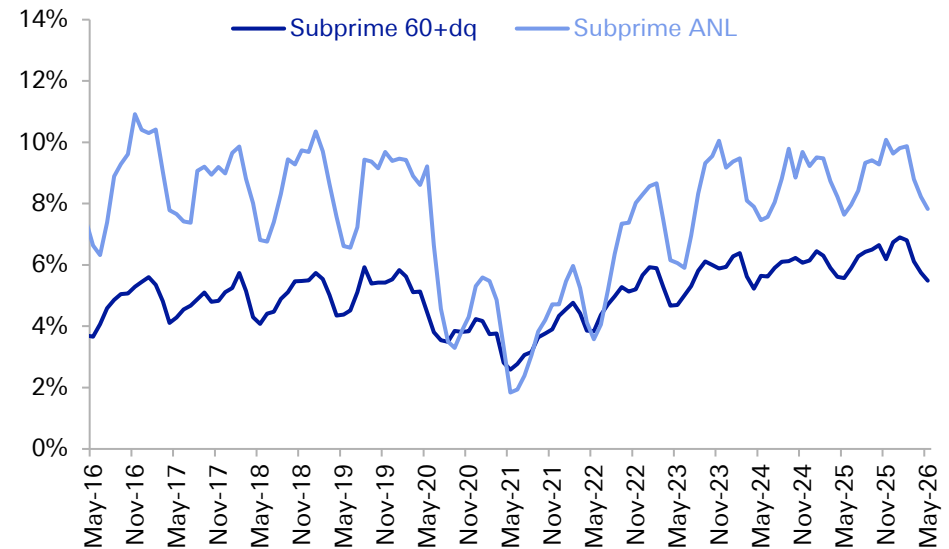


- Issuance is roughly flat to last year, and upside is limited as new vehicle sales are expected to come in below last year's total, which could directly impact prime loan and retail lease ABS supply.
- Collateral performance is not as strong as we would have hoped given high expectations for tax refund season this year. High gas and food prices are weighing on borrowers. That said, we think the deterioration in collateral performance is somewhat overstated.
- Affordability remains a major concern for lenders, as vehicle prices continue to climb and interest rates remain elevated.

likely limited this year

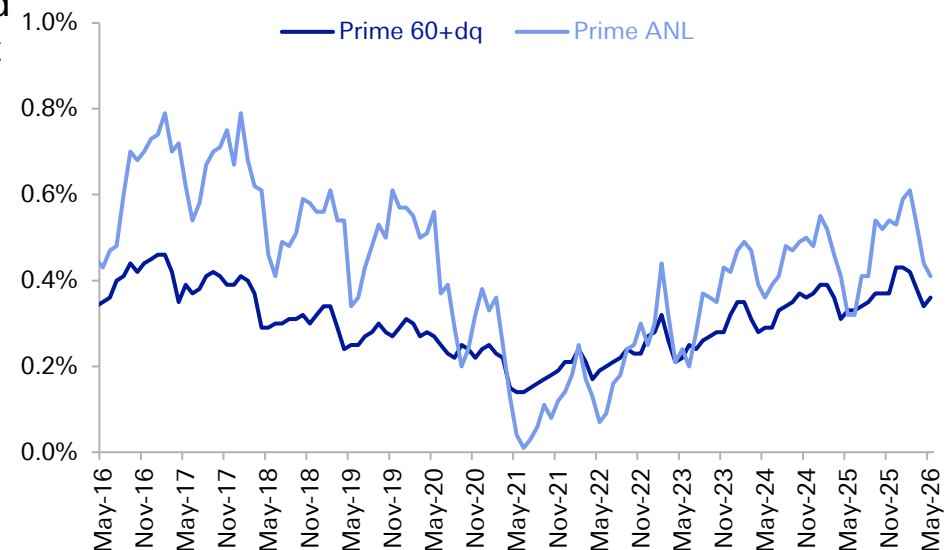


Subprime auto ABS performance



Source: FitchRatings

Prime auto ABS performance

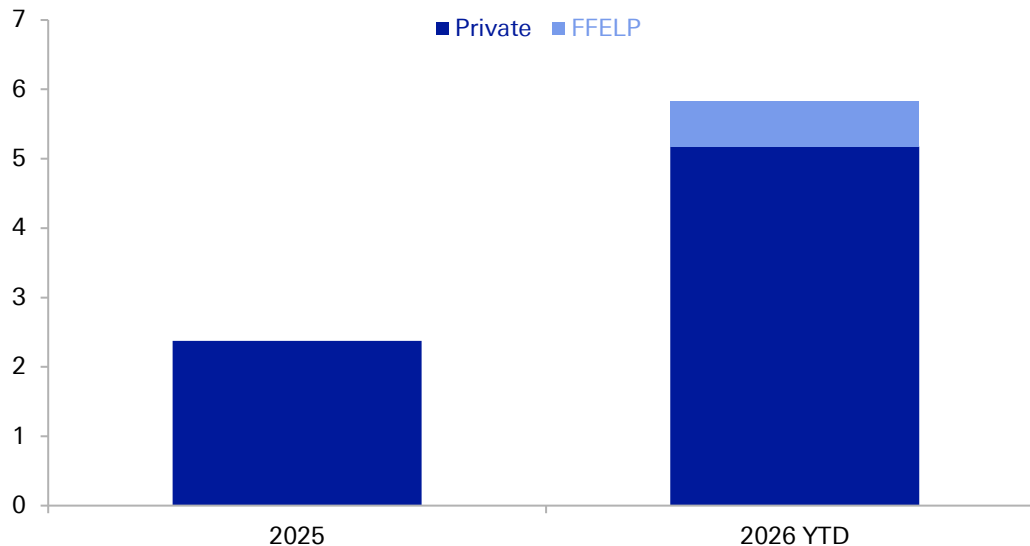


Source: FitchRatings

Consumer ABS: Key points heading in H2



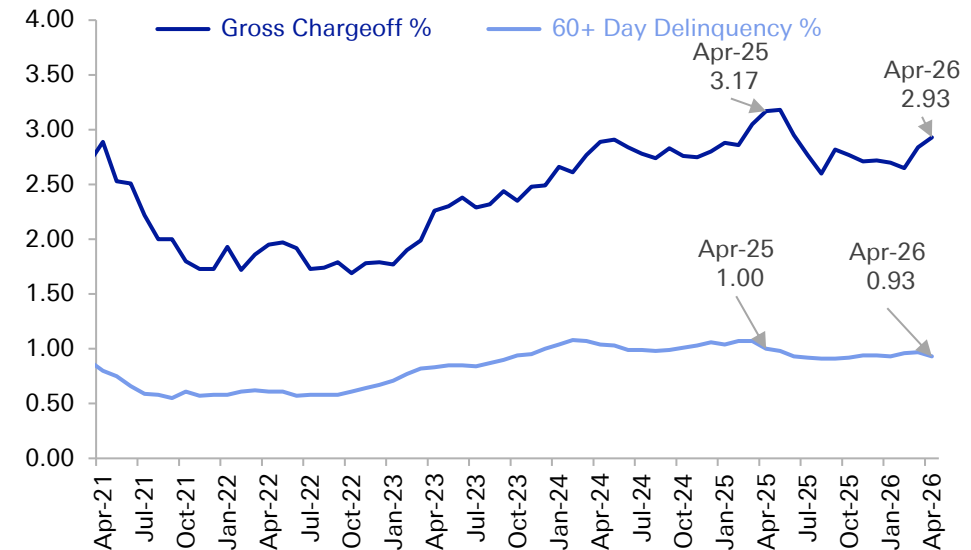
YTD SLABS issuance (\$ bn) outpacing 2025



Source: Deutsche Bank, Bloomberg Finance LP

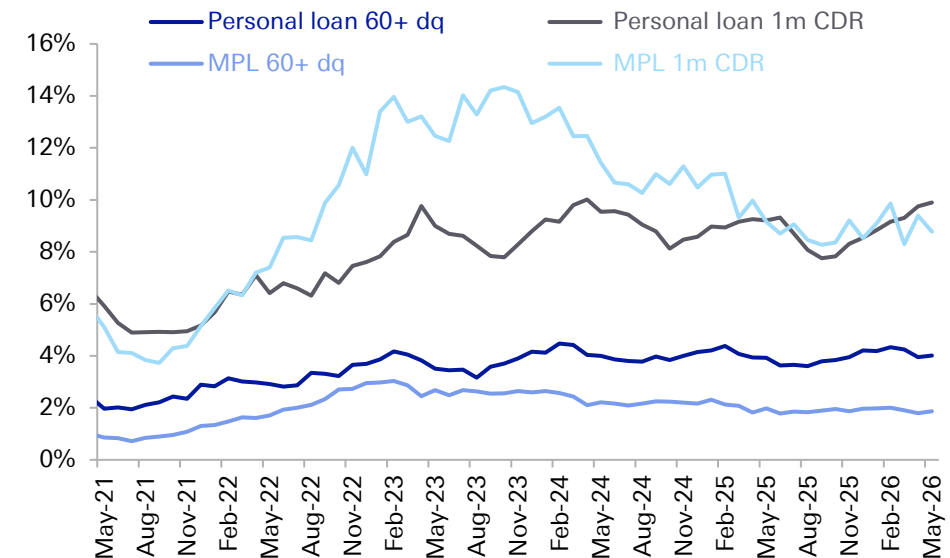
- **SLABS:** Lower limits for PLUS loans and the end of Grad PLUS for new borrowers will shift volume to private lenders and should result in additional term ABS issuance starting this year.
- **Credit card:** Strong ABS performance contrary to NY Fed headline card delinquencies. Issuance to rise through year-end as the pace of expected maturities picks up but will still come in below last year's total.
- **Consumer loan:** Performance has been mixed, but MPL-backed deals continue to show year-over-year improvement

Bankcard ABS charge-offs, dlq's down y/y



Source: FitchRatings

Consumer Loan performance is mixed



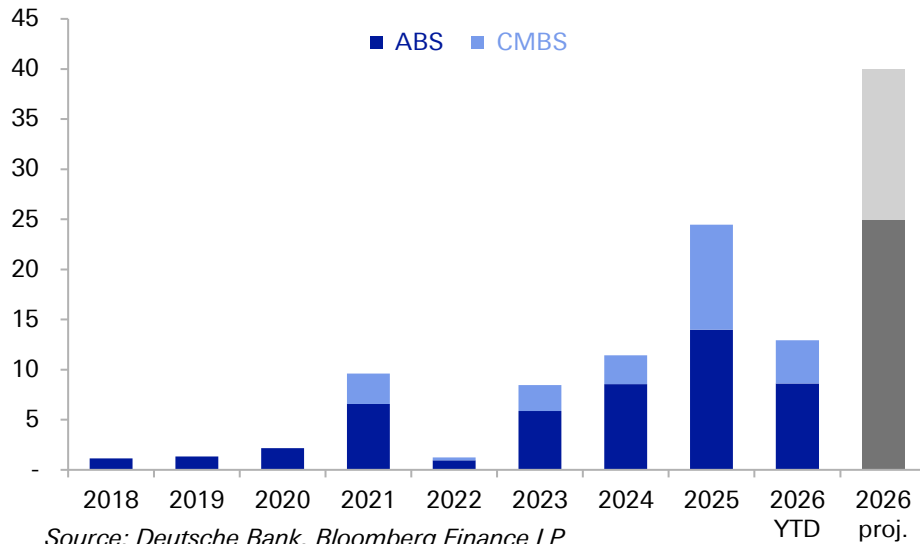
Source: Intex, Deutsche Bank

Data center come up short of projections

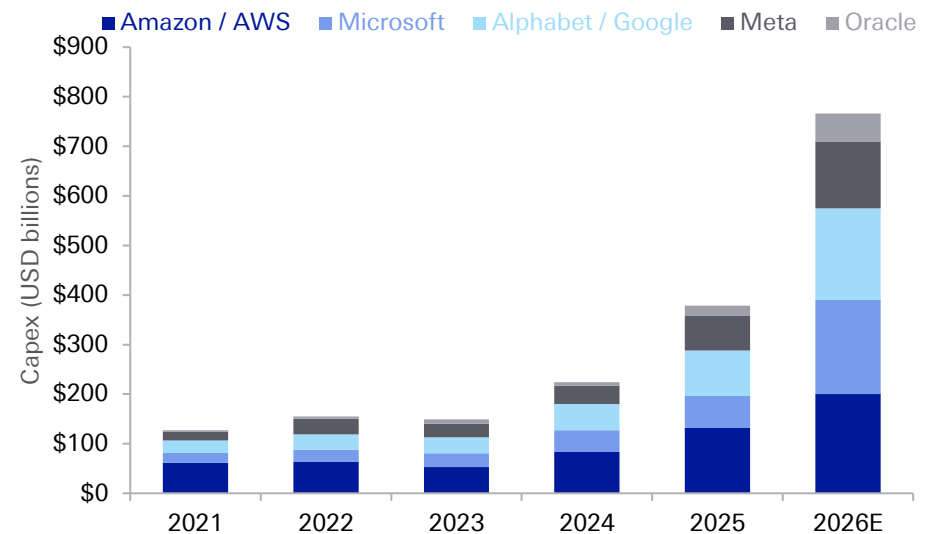
cord year, but could



Data center ABS & CMBS issuance (\$ bn)



Hyperscaler Capex(\$ bn)

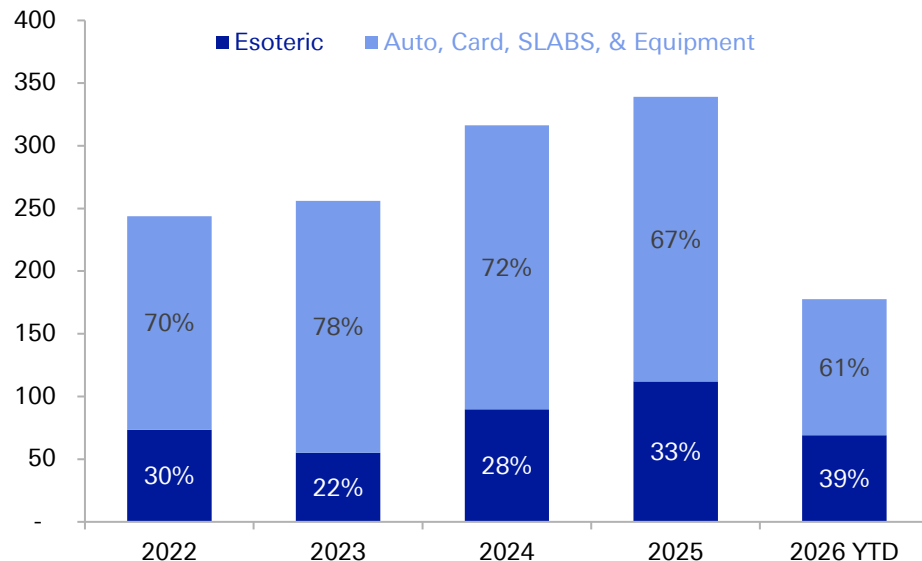


- The data center securitization sector has seen substantial growth in supply so far in 2026 but is running behind pace to reach our projected full-year total of \$40-\$50 billion across data center ABS (\$25-\$30 billion) and CMBS (\$15-\$20 billion). Our \$133 billion esoteric ABS issuance forecast, and thus the overall \$360 billion market forecast, hinges significantly on the data center ABS sector reaching its \$25 billion projection. We still believe the data center ABS forecast is reachable, however, and think the pace of issuance will pick up a bit in H2.
- While the amounts of cap ex being spent by the hyperscalers continue to be remarkable, it's important to remember that the facilities being securitized are "stabilized" – fully-constructed, energized, and leased; it takes time for this supply to become securitizable. Note that to date, securitizations have not included the mega-sized AI training facilities that are making daily headlines in the business press.
- In terms of collateral performance, data center securitizations have been stable, year-to-date, although springing amendments in some trusts have altered the trigger metrics.

Source: FitchRatings

Esoteric ABS: issuance in supply this year

Esoteric ABS vs total ABS issuance (\$ bn)

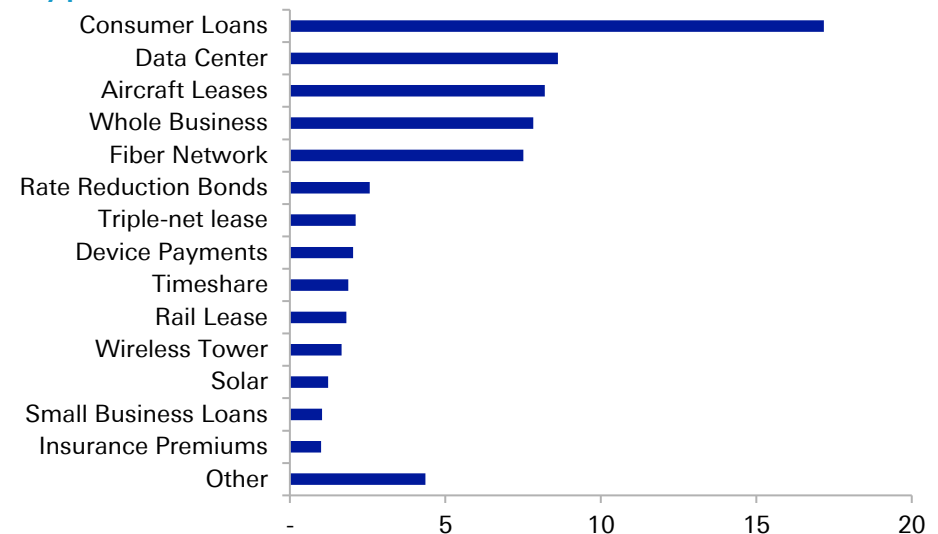


Source: Deutsche Bank, Bloomberg Finance LP

s trail only auto ABS in



Esoteric ABS YTD issuance by collateral type (\$bn)



Source: Deutsche Bank, Bloomberg Finance LP

- Esoteric ABS is growing as a percentage of overall supply, accounting for just under 40% of issuance year-to-date, trailing only auto ABS.
- On the commercial side, data center, whole business, fiber, and aircraft ABS have each seen \$7-9 billion in supply year-to-date; each exceeds current year-to-date issuance in major consumer ABS asset types such as credit card and student loan ABS.
- While there are concerns about esoteric ABS deals being able to refinance at ARD, especially with triple-net lease, we've seen multiple successful refinancings in the data center and fiber ABS space this year.



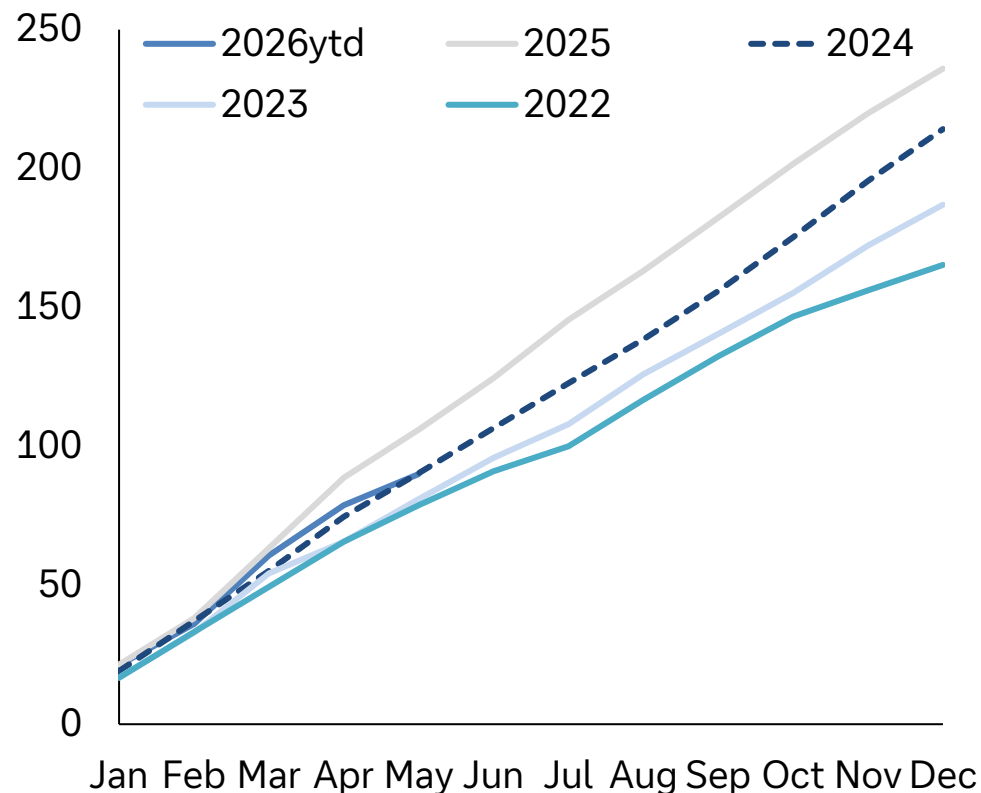
Appendix

Cu Data

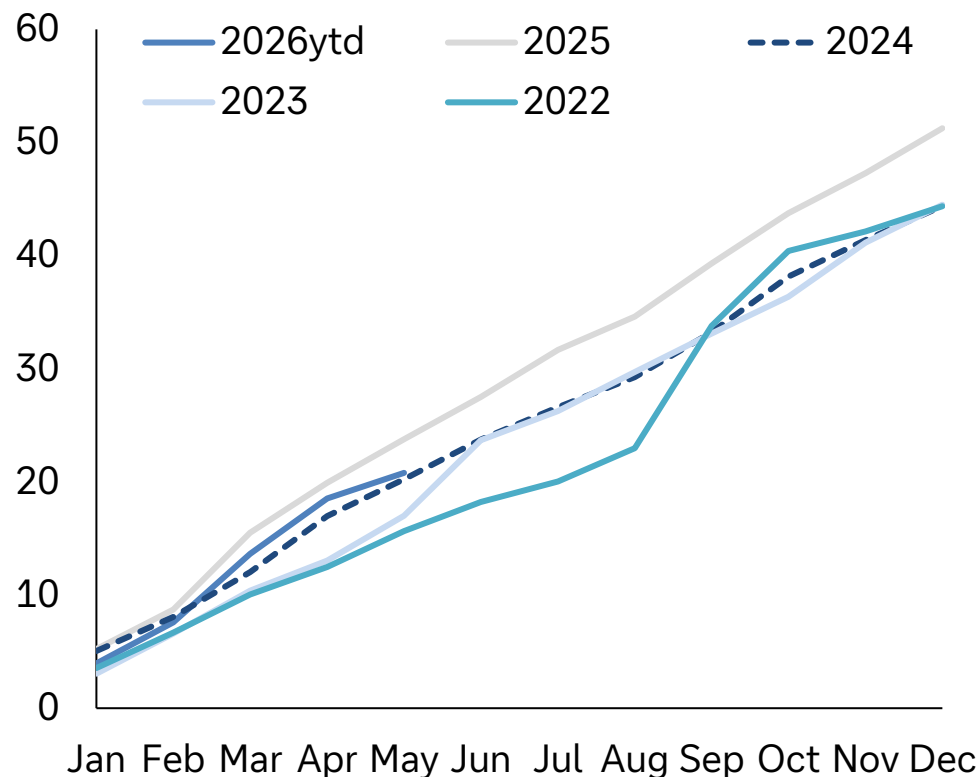
nd NIG TRACE Annual



ABS Investment Grade Annual Trading Volume, \$bn



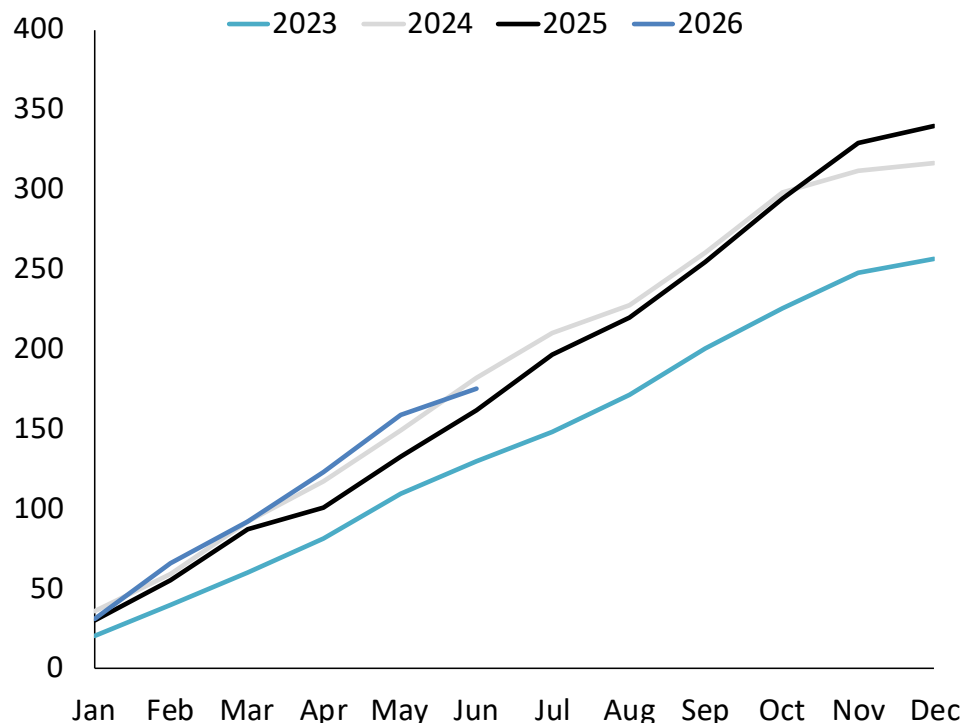
ABS Non-Investment Grade Annual Trading Volume, \$bn



Source: Finra TRACE.

Spreads and Issuance

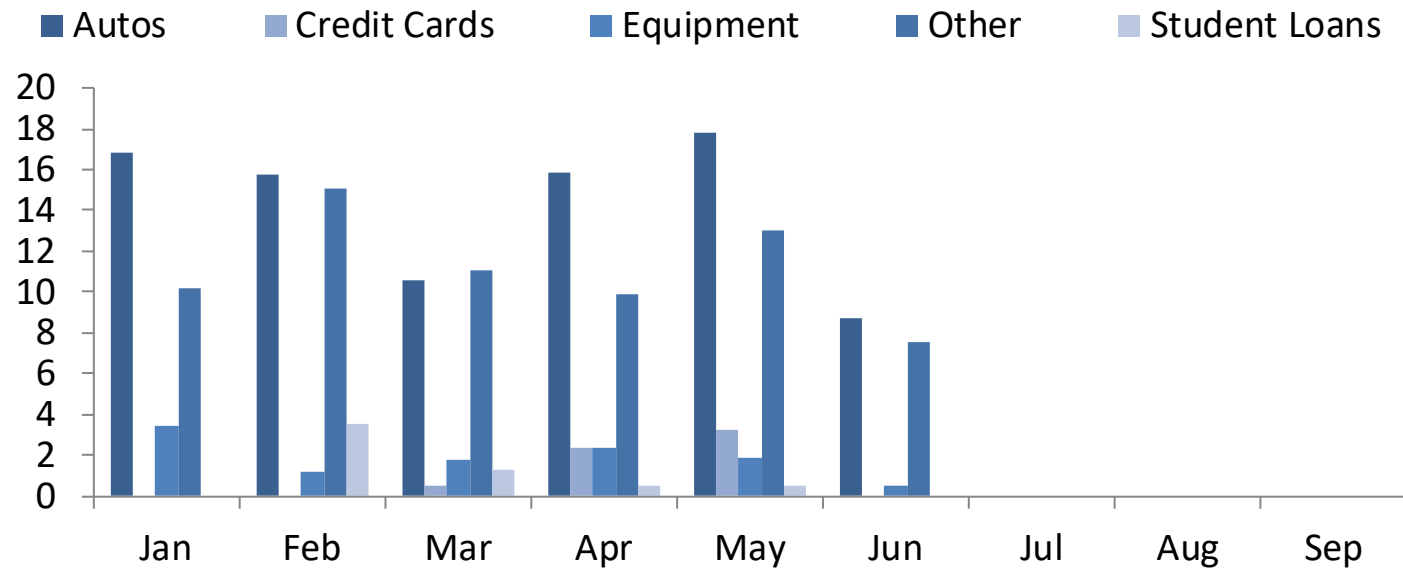
YoY new-issue comparison



ABS 'on the run' spreads

6/12/2026	3yr Auto	3yr Card	2yr SL FFELP
Current	36	28	80
1yr High	55	40	90
1yr Low	34	27	80
1yr Avg	40	32	83
6mo Avg	39	31	83
1mo Avg	36	29	80
YOY change	-9	-10	-10
1wk change	0	0	0
4wk Change	0	-2	0

ABS new-issue supply by month (YTD, \$bn)

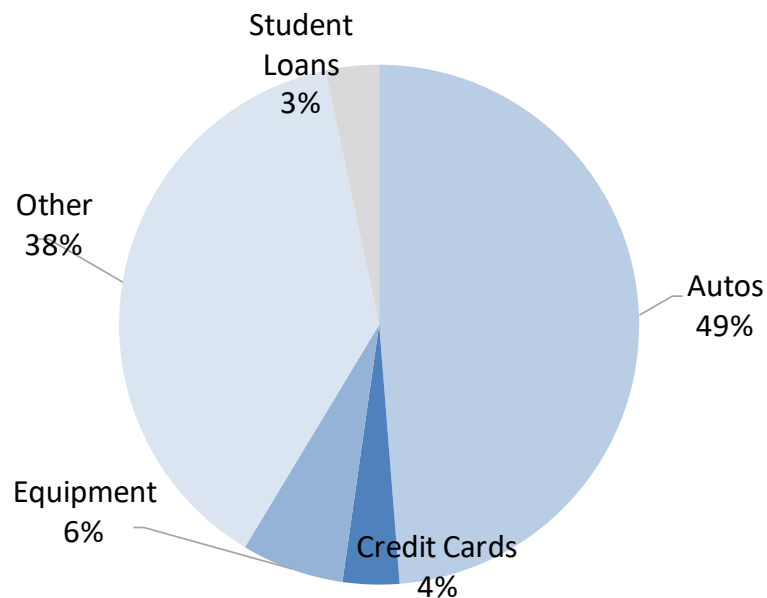


ABS new-issue supply (\$bn)

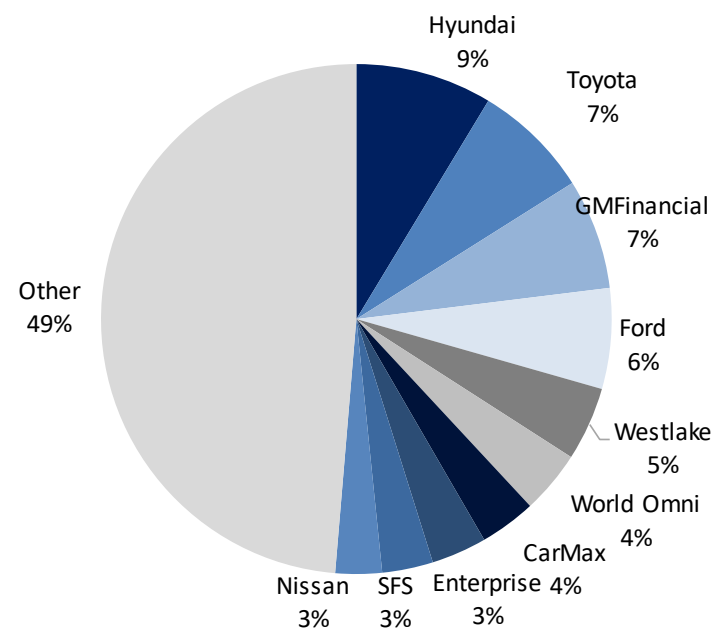
	YTD 2026	YTD 2025	YTD 2024	Δ% YTD 26'25	Δ% YTD 26'24
Autos	85.6	85.2	96.6	0.4%	-11.4%
Credit Cards	6.2	9.4	11.6	-34.4%	-46.7%
Equipment	11.2	10.8	12.8	3.8%	-12.5%
Other	69.0	42.5	43.3	62.4%	59.3%
Student Loans	5.8	2.4	4.6	145.7%	25.5%
Total	177.8	150.3	168.9	18.3%	5.2%

Source: Bloomberg Finance LP.

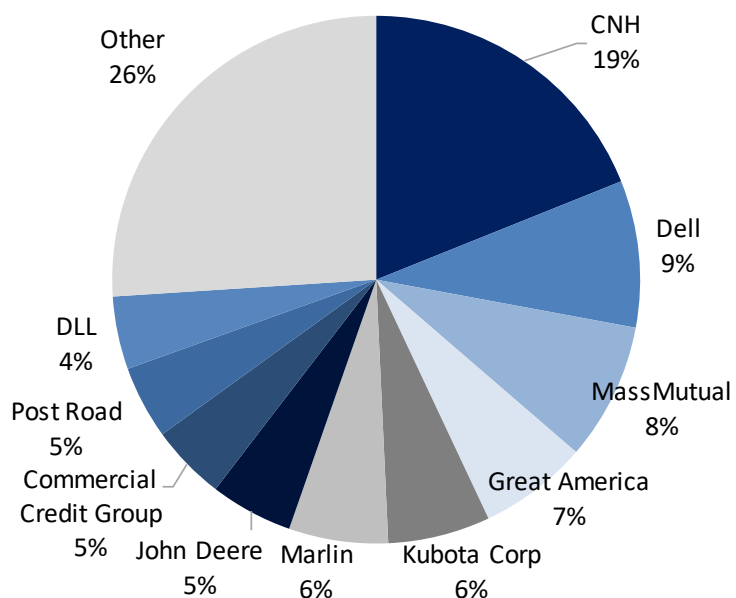
U.S. ABS issuance (YTD)



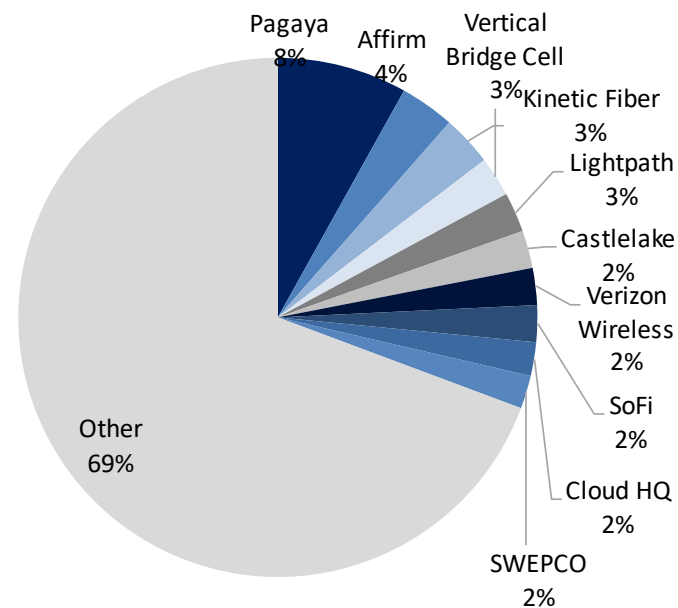
Auto ABS issuance (YTD)



Equipment ABS issuance (YTD)



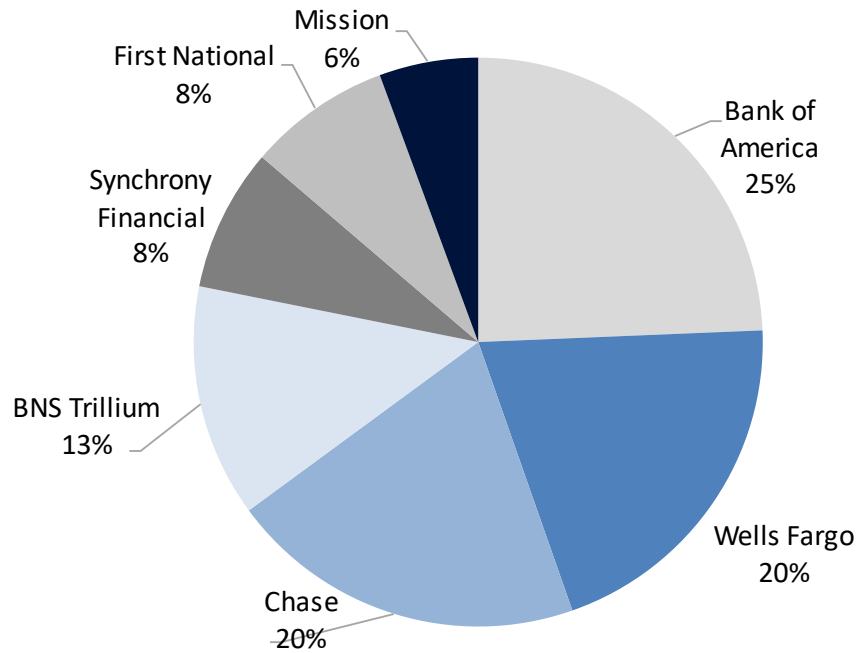
Other ABS issuance (YTD)



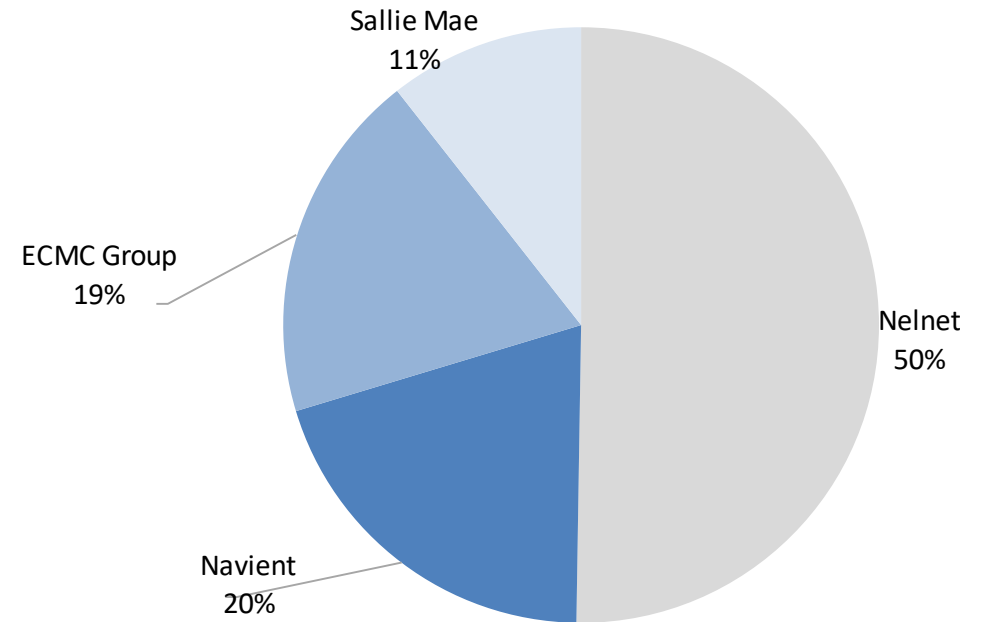
Appendix – Issuance 2026 YTD



Credit Card ABS issuance (YTD)



Student loan ABS issuance (YTD)

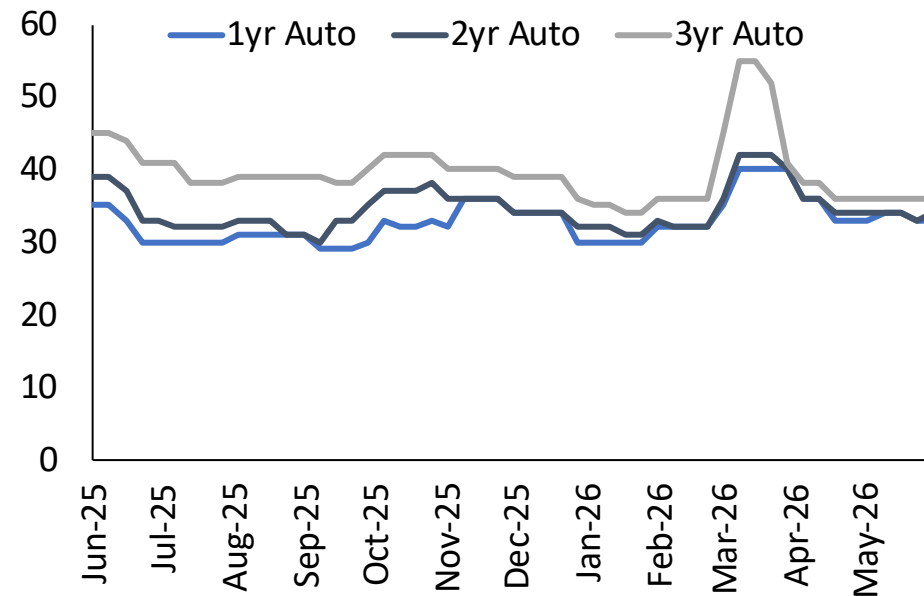


Source: Deutsche Bank.

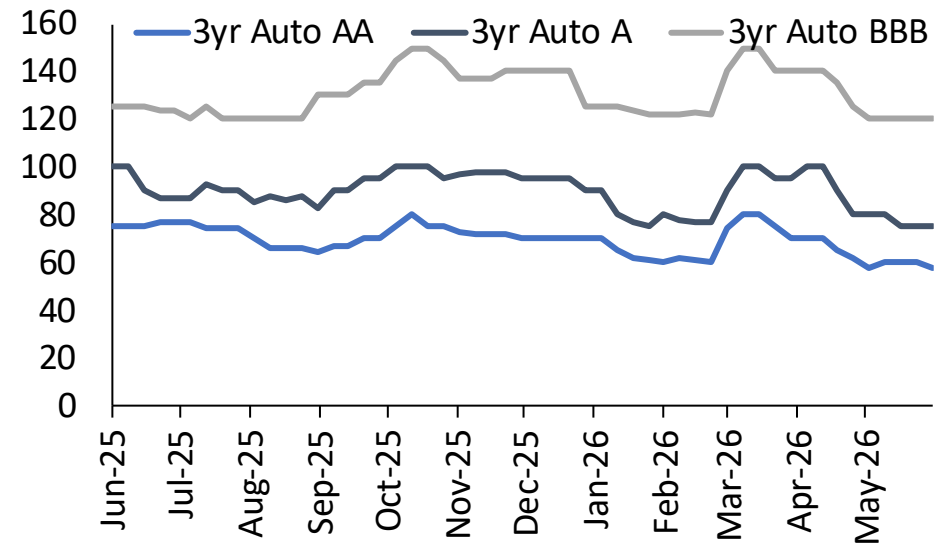


Appendix - Spreads

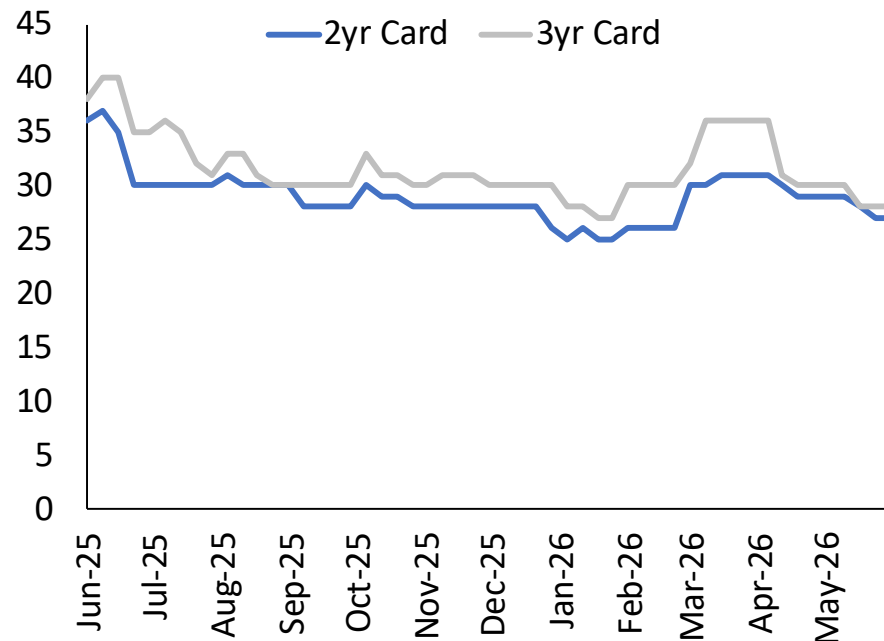
Senior prime auto ABS spreads (bp)



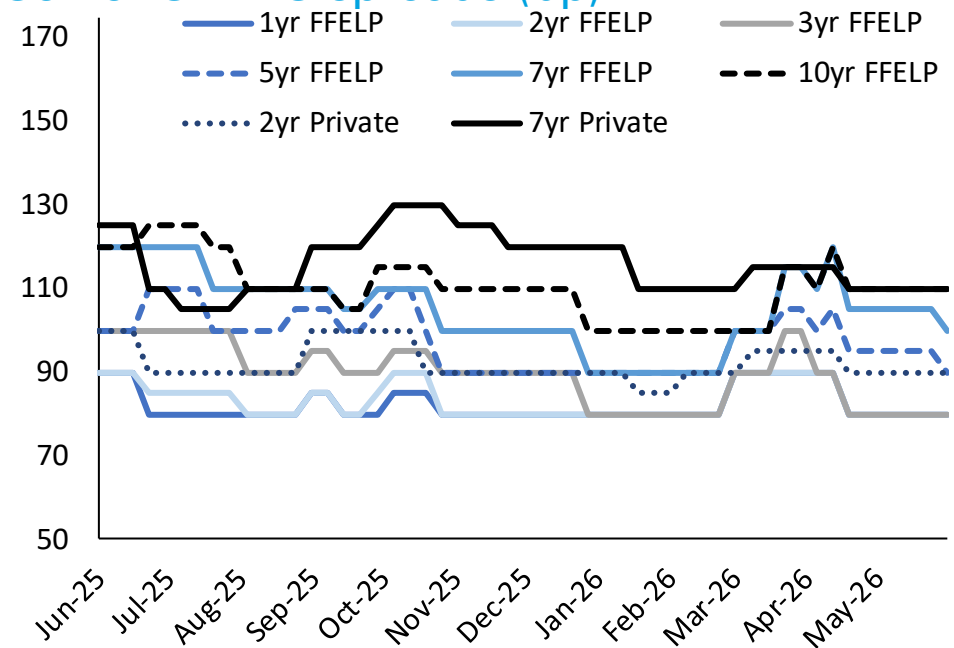
Subordinate auto ABS spreads (bp)



Senior CCABS spreads (bp)



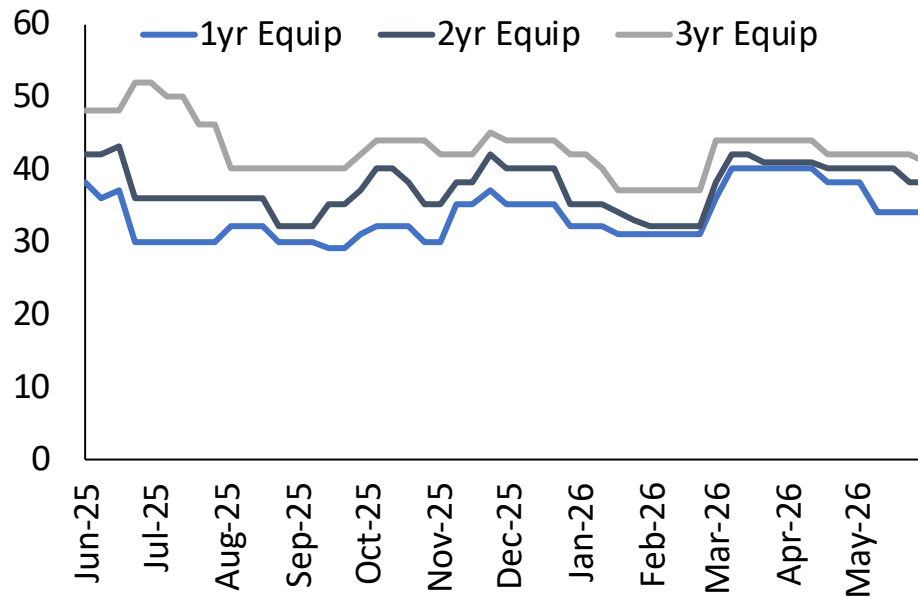
Senior SLABS spreads (bp)



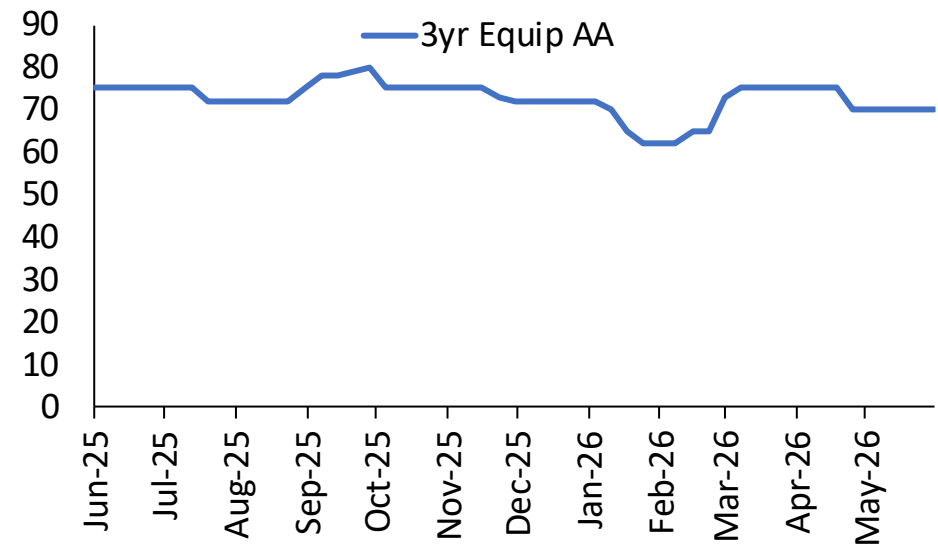
Appendix - Spreads



Senior equipment spreads (bp)



Subordinate equipment spreads (bp)



Source: Deutsche Bank.



Transportation ABS

Record aircraft ABS issuance in 2026

Douglas Runte, Managing Director

Vivek John, Associate

Airline capacity volatile with Iran War, but trends are up



Global Airlines Capacity (Y-o-Y % change)

	Dec 2024	Mar 2025	Jun 2025	Sep 2025	Dec 2025	Mar 2026	Jun 2026	Sep 2026
Global	6%	6%	4%	4%	6%	3%	-1%	4%
Global (ex-Middle East)	6%	6%	5%	3%	5%	5%	1%	5%
Brazil	13%	14%	12%	9%	8%	6%	4%	7%
China	7%	4%	5%	4%	6%	10%	1%	11%
France	3%	6%	4%	2%	5%	2%	-1%	1%
Germany	6%	5%	3%	4%	3%	-2%	-4%	1%
Hong Kong	16%	18%	17%	16%	16%	7%	5%	7%
India	11%	11%	6%	-1%	3%	-3%	-7%	2%
Japan	11%	9%	7%	5%	4%	0%	-3%	-1%
Mexico	0%	5%	2%	0%	4%	1%	-1%	1%
Qatar	2%	-1%	-1%	5%	7%	-21%	-21%	-6%
Singapore	11%	5%	3%	1%	1%	4%	1%	5%
Spain	9%	11%	6%	5%	7%	4%	6%	9%
United Arab Emirates	8%	8%	6%	7%	8%	-20%	-21%	2%
United Kingdom	4%	4%	2%	2%	4%	2%	-1%	2%
United States	3%	4%	3%	1%	3%	0%	-1%	1%

- Global air capacity has shown great volatility since the onset of the Iran War on February 28, 2026, with the Middle East showing dramatic reductions in planned capacity additions in the near term due to operational challenges. Other parts of the world, including India and parts of Asia, have seen reductions in planned capacity in 2H2026 due to the increased cost of the jet fuel, as well as, in certain isolated cases, the availability of jet fuel. In more developed markets, there has been some trimming of marginal routes because of them becoming uneconomic due to higher fuel costs, but these changes have been very modest. For 2026, we expect global capacity to be up by just over 2%, with all regions of the world adding capacity in 2026 except for the Middle East (which will likely be down 11%).
- With the seeming cessation of major hostilities in the Middle East and the reduction in jet fuel prices from a peak of more than \$4.50/gallon in certain regions to less than \$3.00./gallon today, we expect capacity growth to move higher in the 4Q2026 and demand for aircraft, both in the primary market and secondary market, to be strong.

Note: Data represent the percentage Y-o-Y %change in scheduled available seat miles "ASMs". The chart has been color coded to show the deeper declines in dark red and higher increases in dark green. Schedule data as of June 12, 2026.

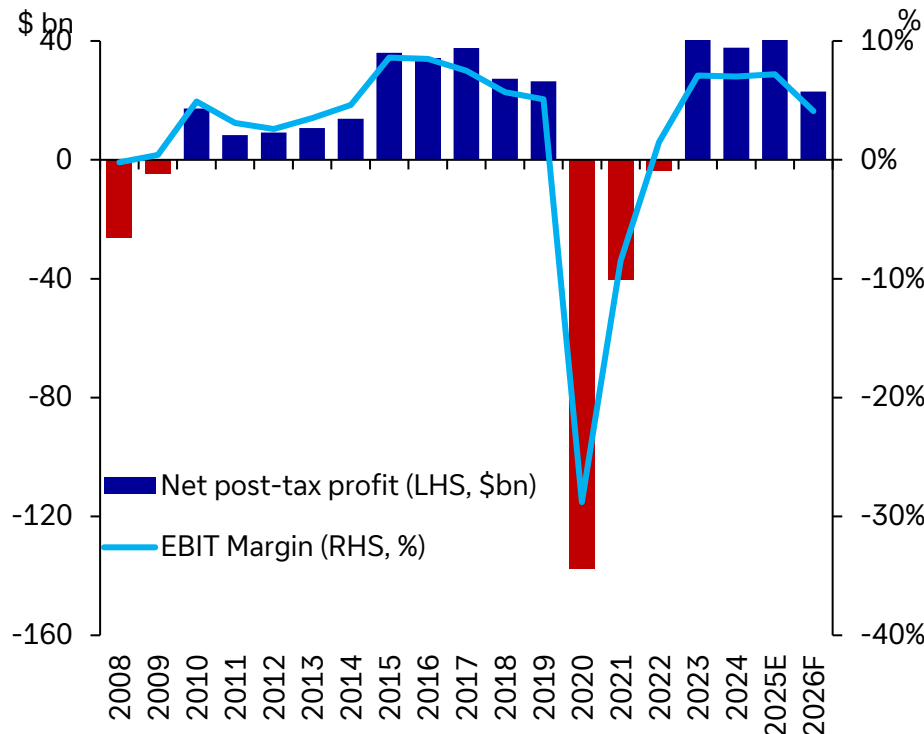
Source: Diio Mi, Deutsche Bank

Airlines poised for fourth year of profits, even with war

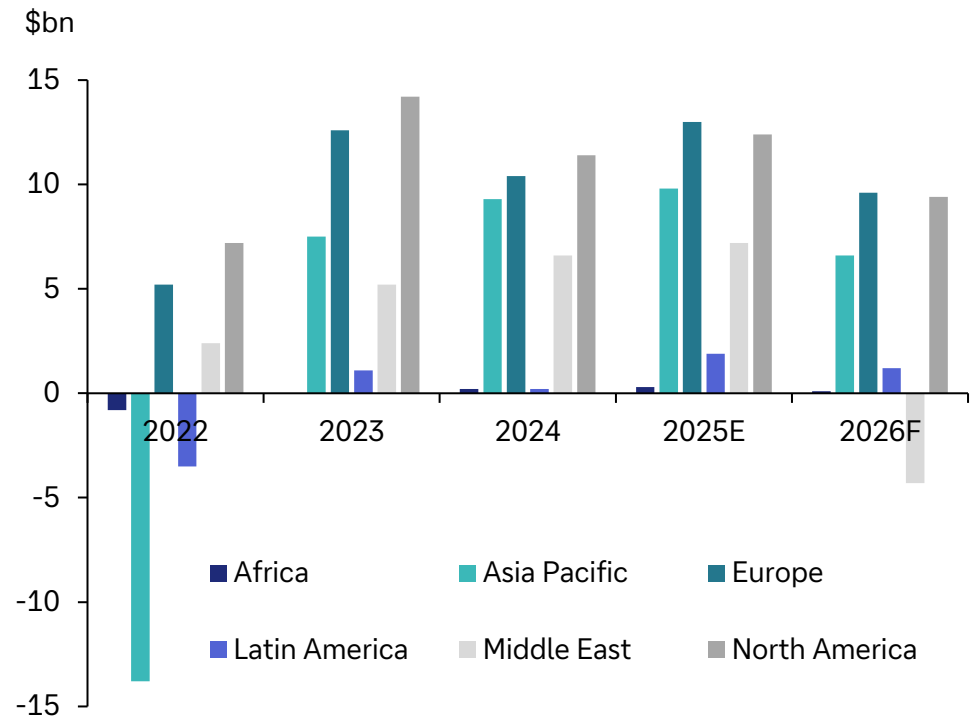


Airline profitability improves in 2024 with further improvement in 2025

Airline industry net post-tax profit, \$bn



Airline industry net profit by region, \$bn



- Global airlines are poised for their fourth straight year of profitability in 2026, aided by generally positive economic conditions in most parts of the globe and good growth in traffic in most regions, even with the disruptions caused by the onset of the Iran War. Fuel prices have come down dramatically from their post-war peak of \$4.50/gallon to just under \$3.00/gallon today, but fuel remains elevated relative to its approximately \$2.00/gallon price at the start of 2026. Fuel prices represent approximately 25-35% of an airline's expenses, so the increase in fuel prices has put a drag on previous profit estimates for the industry. But even with the rise in fuel prices, the global airline industry will be profitable overall with only the Middle East likely to report financial losses. Even at the 2026 peak of fuel prices, lessors reported very few requests for rent reductions or deferrals. With the recent easing of fuel prices, we expect that such requests will remain rare and believe that the overall airline credit environment will be favorable for aircraft ABS revenue collection.

Source: IATA Economics, Deutsche Bank

Aircraft market tightens in 2026 for most aircraft types

Parked Passenger Jets – Apr 2026 vs. Jan 2026, Apr 2025 & Apr 2019

Aircraft Age	% Narrowbody Stored				% Widebody Stored			
	Apr-26	Jan-26	Apr-25	Apr-19	Apr-26	Jan-26	Apr-25	Apr-19
0.0 - 4.9 years	8.2%	9.0%	9.6%	1.4%	1.5%	1.2%	1.6%	1.9%
5.0 - 9.9 years	10.6%	10.2%	9.6%	3.0%	2.7%	2.6%	3.0%	2.6%
10.0 - 14.9 years	4.9%	4.8%	5.0%	4.2%	8.2%	8.5%	9.4%	12.5%
15.0 - 19.9 years	10.5%	10.7%	8.8%	4.5%	21.1%	19.3%	21.9%	12.9%
≥ 20.0 years	26.2%	25.5%	23.1%	25.9%	31.3%	31.4%	30.1%	23.1%
Total Stored	11.3%	11.3%	10.6%	5.8%	11.7%	11.4%	11.6%	8.2%
Total Stored (ex-GTF)	8.9%	8.6%	7.8%	5.9%	NM	NM	NM	NM

Age Range	0.0 - 4.9 years	5.0 - 9.9 years	10.0 - 14.9 years	15.0 - 19.9 years	≥ 20.0 years	Total
Mainline Fleet:						
Widebody	1.5% (-2.2)	2.7% (-1.7)	8.2% (-3.3)	21.1% (-2.0)	31.3% (-2.5)	11.7% (-2.3)
Narrowbody	8.2% (-0.8)	10.6% (0.2)	4.9% (-0.6)	10.5% (-0.8)	26.2% (-1.8)	11.3% (-0.7)
737 Max	1.3% (-0.1)	3.6% (0.3)	0.0% (0.0)			2.1% (0.1)
A320 neo family (GTF)	22.1% (-1.4)	44.4% (-1.2)	56.3% (0.0)			31.1% (-1.3)
A220 Family (GTF)	12.7% (-0.9)	22.0% (0.1)				15.7% (-0.5)
Total Mainline Fleet	7.8% (-1.0)	9.2% (-0.2)	5.7% (-1.2)	12.3% (-1.0)	27.3% (-1.9)	11.6% (-1.0)

- Storage rates are broadly and inversely correlated with aircraft lease rates and values, and, for most aircraft classes and vintages, storage rates are down materially from levels one year ago. Storage rates of newer widebody aircraft are particularly low, with younger aircraft in acute shortage due to continuing delays by Airbus and Boeing in increasing production rates. Storage rates for newer narrowbody aircraft appear elevated, but this is due almost wholly to the forced storage due to maintenance issues of certain A320neo family narrowbody aircraft with GTF-engines. We expect that storage numbers will come down over the balance of 2026 and into 2026.

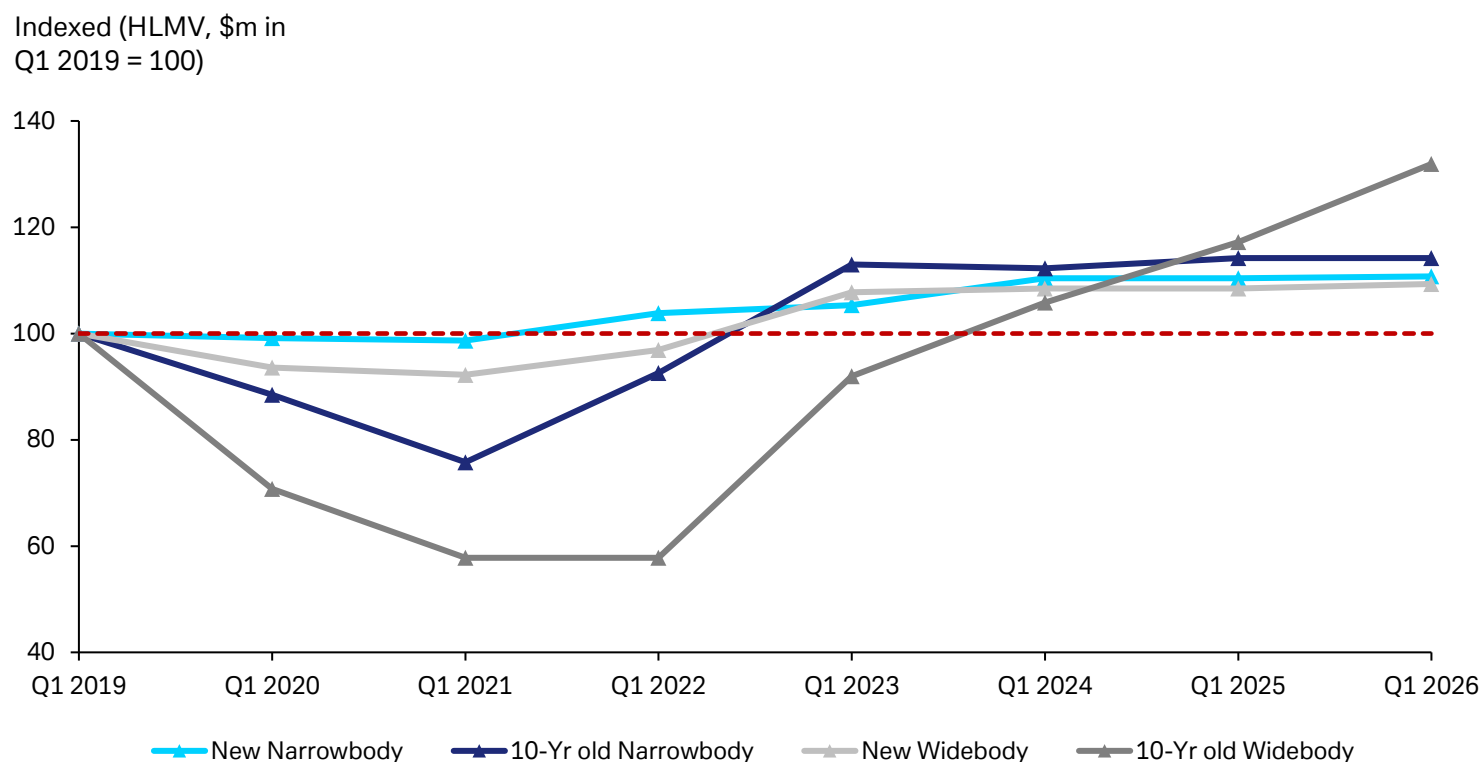
Note: Assumes all 737 MAX aircraft are in service. Heat map: Green: Y-o-Y improvement in aircraft storage; Red: Aircraft stored increased Y-o-Y.

Source: Cirium, Deutsche Bank

Passenger aircraft values well above 2019 levels



Recovery of values: Airbus and Boeing mainline passenger aircraft



- Values of both new and older passenger aircraft were stable to higher in 1Q2026 versus 4Q2025. In all cases, values of new and older narrowbody and widebody passenger aircraft are well above their values in 1Q2019 on a constant-age basis (i.e., an identically-aged aircraft in both 2019 and 2026).
- We expect the market for most aircraft types and vintages to remain tight and expect that aircraft values and lease rates will likely trend slightly upward over the balance of the year on a constant age basis. The market for new widebodies appears particularly tight.

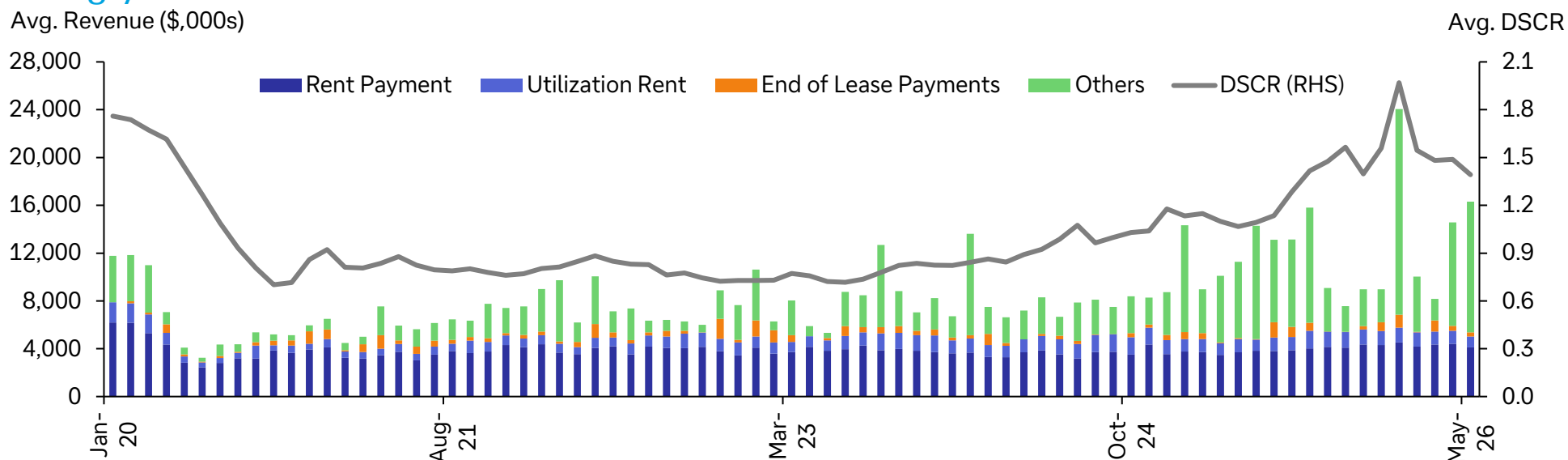
Note: Above data represents Half-Life Cirium Market Value (indexed) for following aircraft types: New Narrowbody = New ("0 Year") Airbus A321-200neo; 10-Yr old Narrowbody = 10-year-old Boeing 737 NG-800; New Widebody = New ("0 Year") Airbus A350-900; 10-Yr old Widebody = 10-year-old Airbus A330-300. Data a/o. Q1 2026.

Source: Cirium, Deutsche Bank

Aircraft ABS Financial Performance



Average rent revenue, utilization rent and DSCR fall sequentially, aircraft sales up strongly

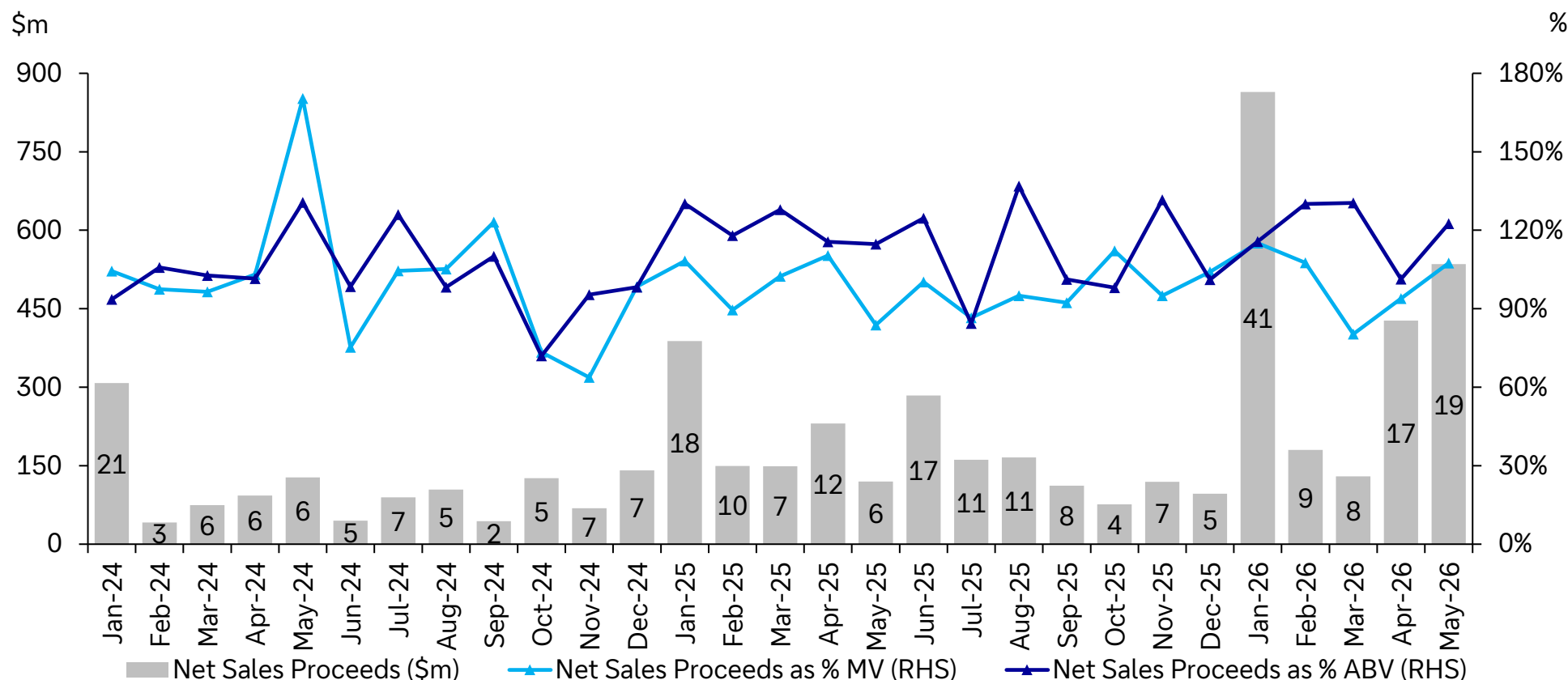


Revenue Type	Sequential			Trailing 12-months		
	Apr-26 (\$)	May-26 (\$)	% Change	Apr-26 (\$)	May-26 (\$)	% Change
Rent Payment	4,421,383	4,118,117	-6.9%	4,162,240	4,185,217	0.6%
Utilization Rent	1,077,156	917,085	-14.9%	1,187,585	1,187,678	0.0%
End of Lease Payments	422,260	343,747	-18.6%	528,488	553,047	4.6%
Others	8,656,058	10,938,238	26.4%	6,437,163	6,559,214	1.9%
Total Sources	14,561,218	16,317,187	12.1%	12,232,207	12,403,429	1.4%
Avg. DSCR (x)	1.49	1.39	-6.4%	1.45	1.48	1.7%

- Aircraft ABS aggregate performance has been generally strong in the first half of 2026 with rent payments stable and aircraft sales levels very high. End of lease payments are generally low, but these serve as a kind of contra-indicator, as airlines tend to extend leases and thus not make end of lease payments when demand is strong and the airline wishes to retain the aircraft.

Source: Company Documents, Deutsche Bank

Aircraft ABS Dispositions Analysis – Since Jan 2024

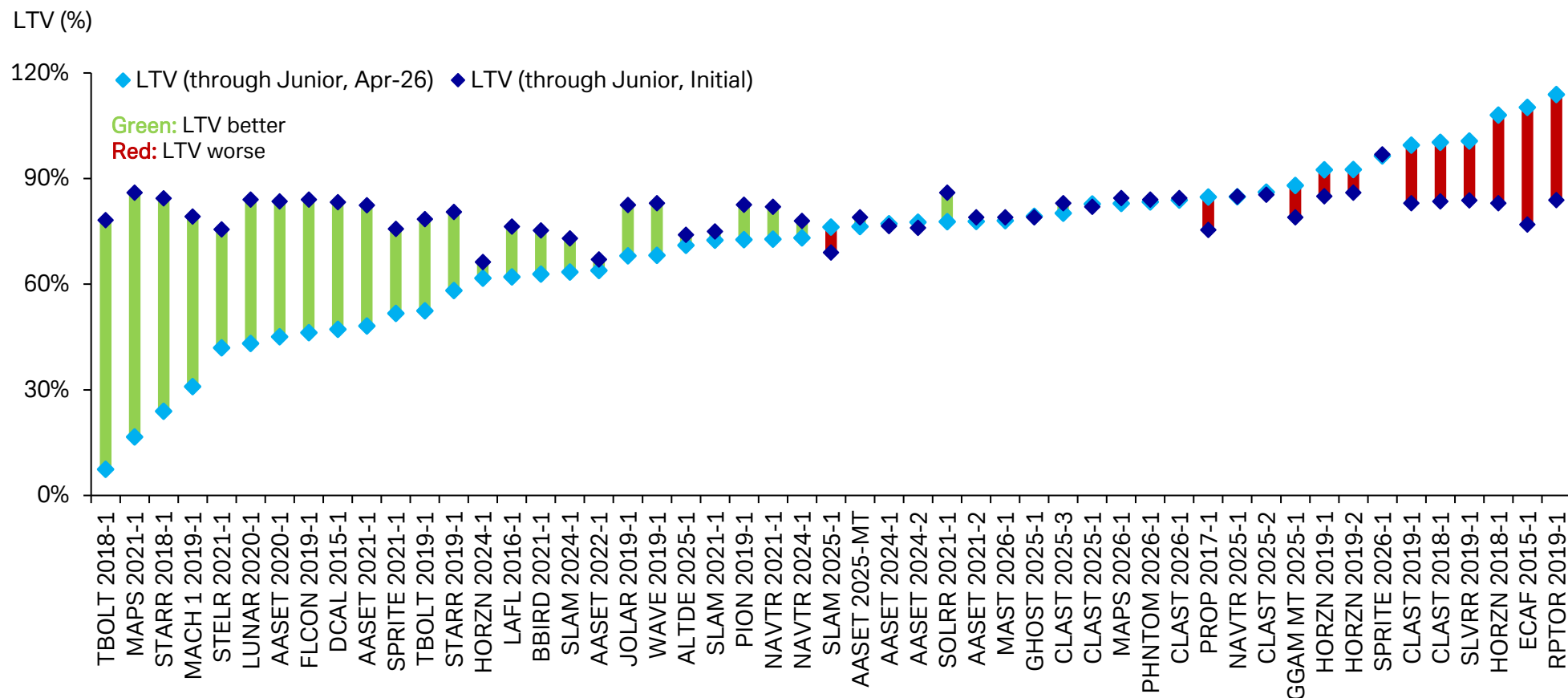


- There were 19 aircraft sales reported in May 2026 servicing reports (excluding component asset sales), the third-highest level in the last 28 months, exceeded only by the 41 aircraft sales reported in January 2026 and 21 aircraft sales reported in January 2024. Aircraft proceeds were a near record at \$535 million, exceeded only by the \$864 million reported in January 2026.
- Despite the start of the Iran War and resulting rise in fuel prices, the reported sales in May 2026 and the commentary from aircraft lessors in their 1Q2026 earnings calls indicate that the market for aircraft sales for both new generation and previous generation aircraft remains strong. We believe that aircraft sales will remain strong for the remainder of the year, although higher interest rates may start to reduce sales proceeds due to purchasers discounting contractual lease cash flows at higher rates.

Note: The table does not include component assets / part-outs.
Source: Cirium, Company Documents, Deutsche Bank

Benchmark Aircraft ABS Loan-to-Values broadly better

Adjusted Base Value Loan-to-Value (LTV) through Junior – Apr 2026 vs. Initial



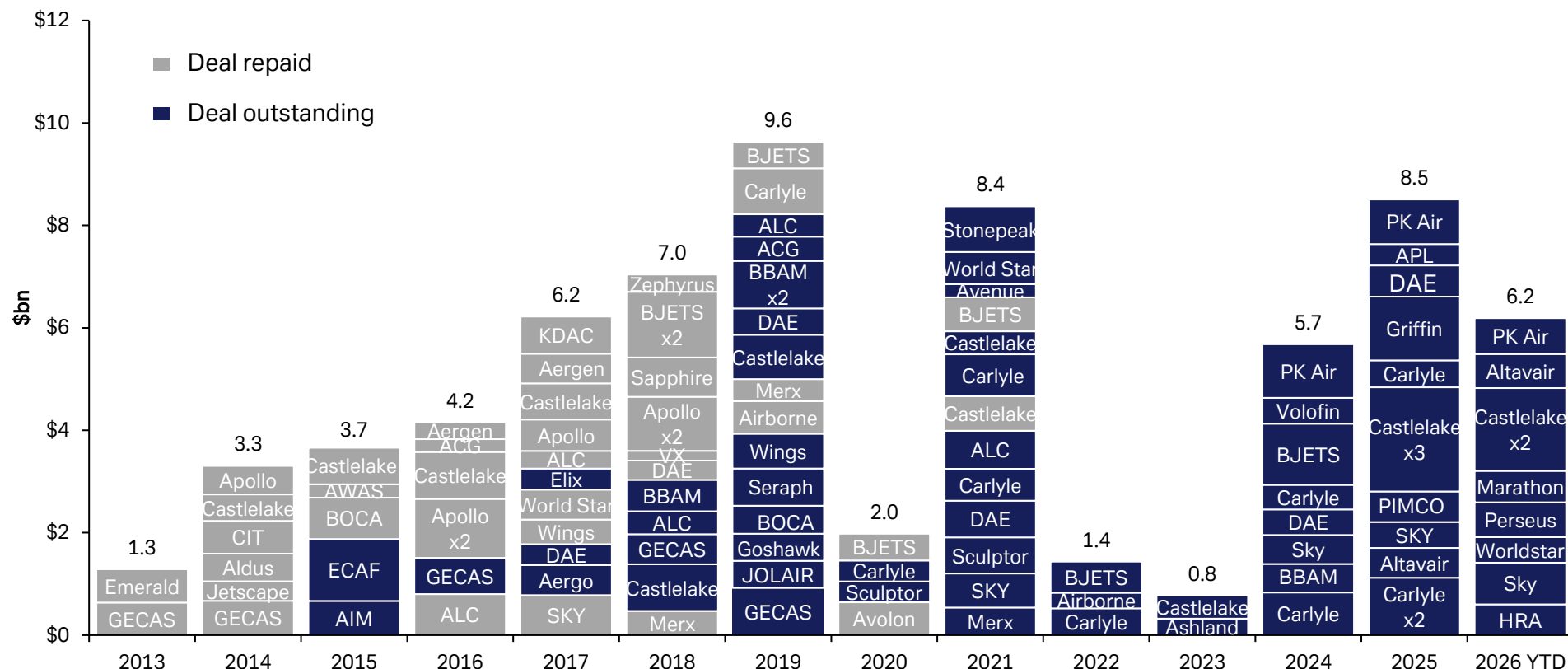
- There was broad improvement in loan-to-value through the junior-most tranche across benchmark aircraft ABS transactions in April 2026 relative to loan-to-value (with value equal to Adjusted Base Value) at issuance. Of 53 benchmark aircraft ABS transactions in our survey for which we have data, 35 transactions saw an improvement in loan-to-value in April 2026 relative to levels at issuance, with 18 transactions showing a degradation of loan-to-value since issuance. Of those transactions showing degradation, five saw a degradation of less than 6 pp, with eight showing degradation of more than 10 pp. We expect strong aircraft sales to drive continued improvement in loan-to-value across most transactions over the remainder of 2026 and into 2027.

Source: Bloomberg Finance LP, Cirium, Company Documents, Deutsche Bank

Aircraft ABS repayment since 2013



Aircraft ABS New Issue: 2013-2026 YTD (by issuer and type)



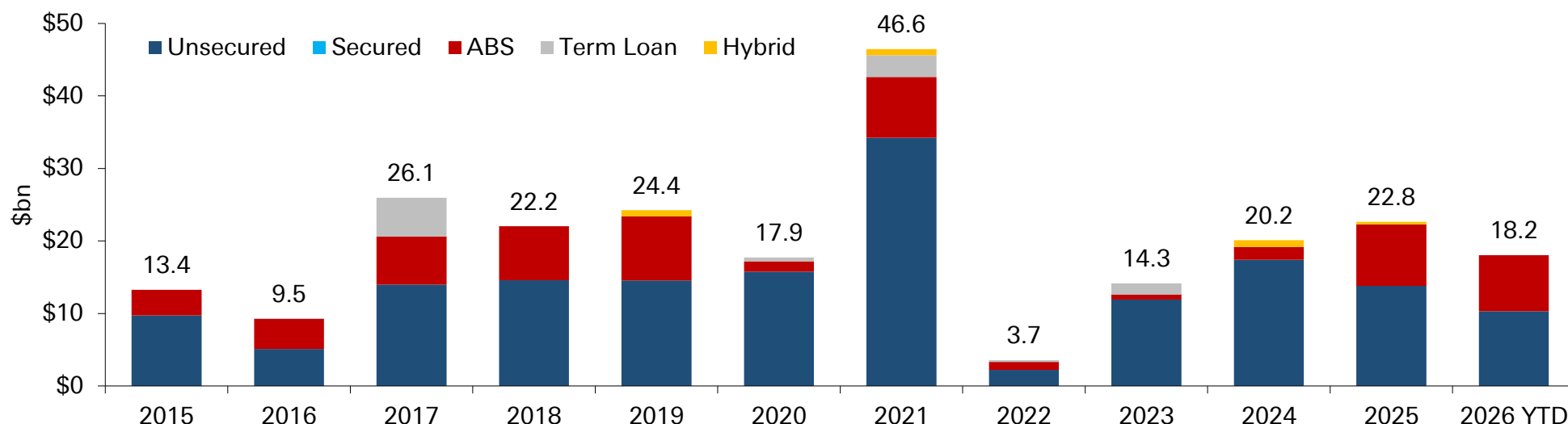
- The vast majority of aircraft ABS transactions issued since 2018 have been repaid from either aircraft sales and other sources.
- We expect that a continued strong market for aircraft sales and solid lease rates and values will allow more transactions to pay down in full over the balance of the year.
- Aircraft in aircraft ABS maintain value not only for their value as aircraft, but for the value of the “green time” on their engines, making older aircraft exceptionally valuable for parts, in most cases, even if they are not needed as intact airworthy aircraft.

Source: Bloomberg Finance LP, Cirium, Company Documents, Deutsche Bank

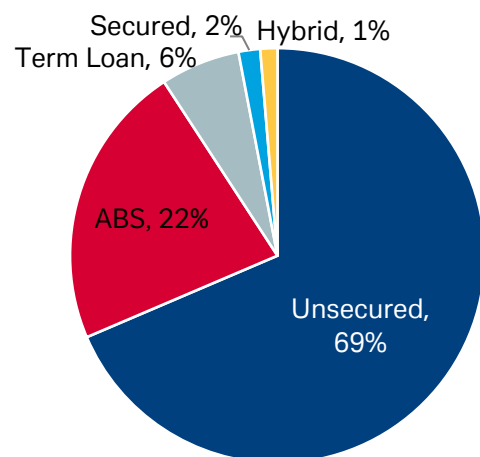
Aircraft lessor debt on track for post-2021 record



Lessor debt issuance by type (2015 – 2026 YTD)



Lessor issuance by type (2015-2026 YTD)



- Aircraft lessor debt issuance in 2026 has totaled just over \$18 billion, including approximately \$8 billion of aircraft ABS issuance and the remainder in the form of corporate recourse issuance.
- In November 2025, we projected total lessor issuance of \$25 to \$30 billion in 2026, including \$11 to \$13 billion of aircraft ABS. With aircraft ABS issuance already at \$8 billion in June 2026 and demand for new ABS issues strong and pricing tight (despite the negative effect of the Iran War on airline finances through higher fuel prices), we have increased our forecast for aircraft ABS issuance to \$15 to \$17 billion. Moreover, with new aircraft deliveries on pace to increase by 10% year-over-year in 2026, we now expect overall lessor issuance (including ABS) to increase to \$32 to \$36 billion in 2026.

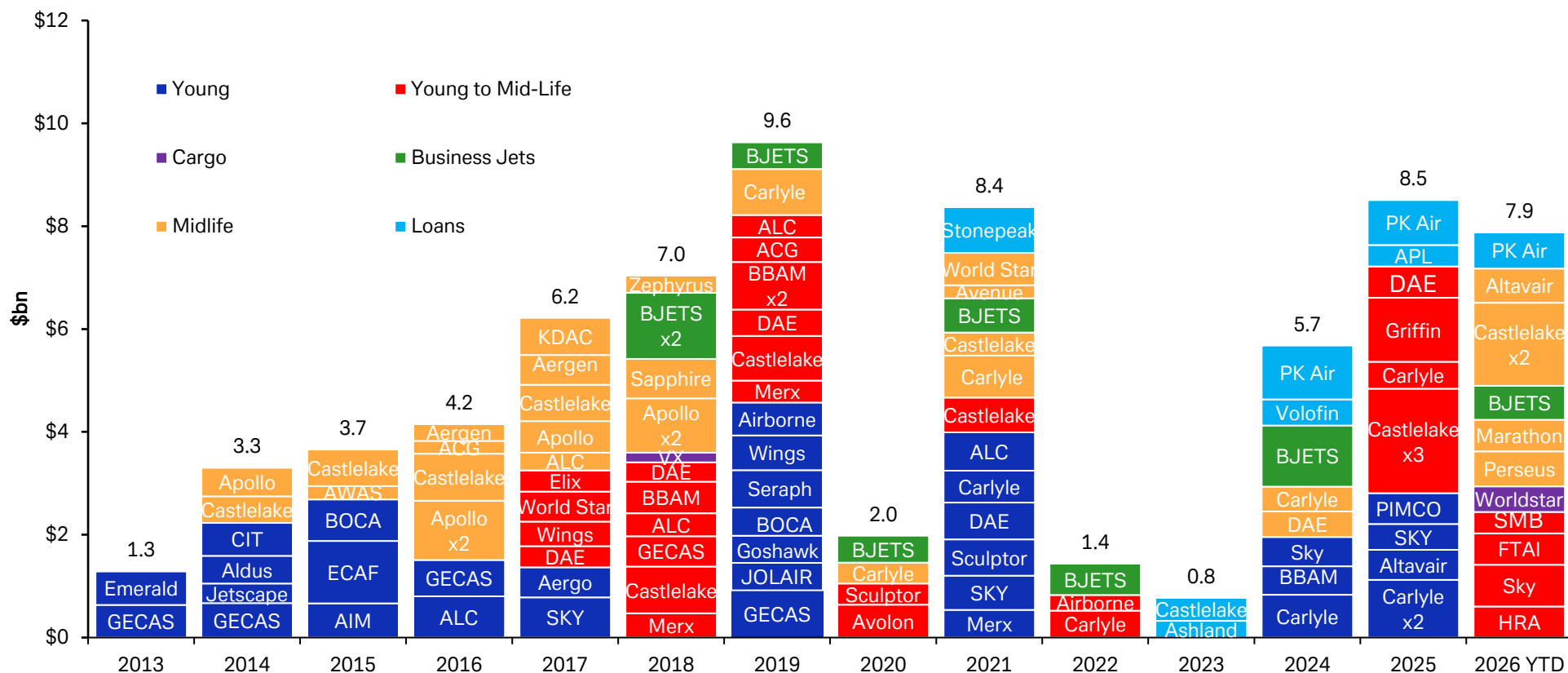
Note: Data as of June 15, 2026.

Source: Bloomberg Finance LP, Press Release, Deutsche Bank

Aircraft ABS on track for record issuance...by a lot



Aircraft ABS New Issue: 2013 – 2026 YTD (by issuer and type)



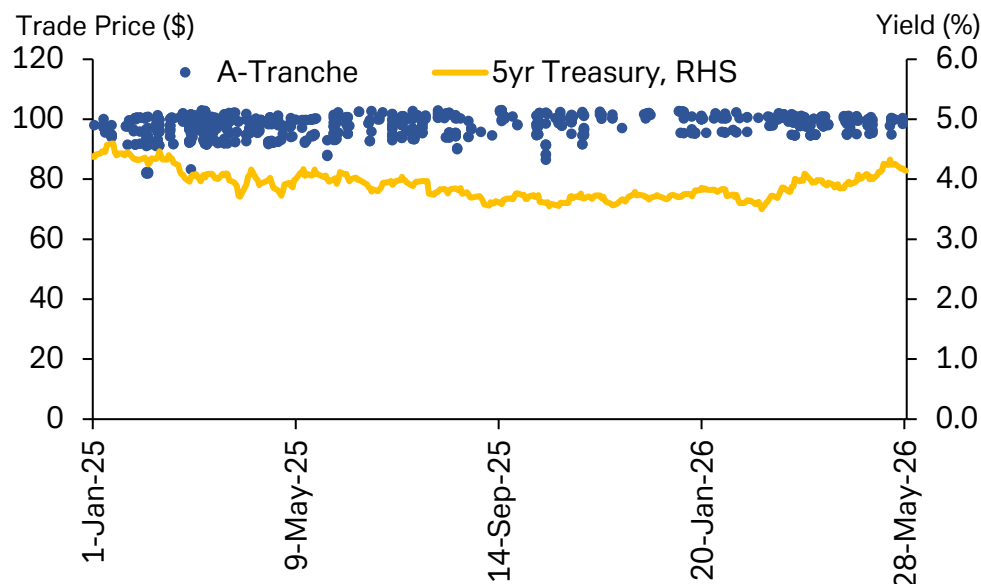
- In November 2025, we forecast that aircraft ABS issuance in 2026 would move upwards to \$11 to \$13 billion, with robust issuance from large historic participants as well as sales from newer entrants, aided by the reopening of the market for aircraft ABS equity, which will enable large portfolio sales by lessors. Despite the onset of the Iran War on February 28, 2026, and the resulting rise in fuel prices straining airline finances, the pace of aircraft ABS issuance has been running well ahead of our November forecast with pricing at tight levels. As a result, we are increasing our forecast of 2026 ABS issuance to \$15 to \$17 billion.

Note: Data as of June 15, 2026. Excludes engine transactions.

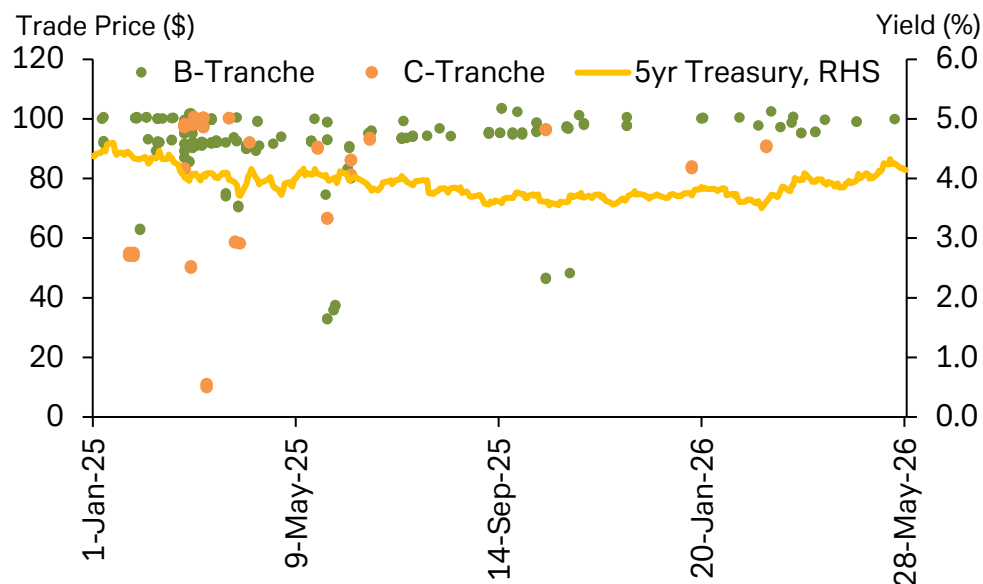
Source: Company Documents, Bloomberg Finance LP, Deutsche Bank.

Spreads tighten in '25, more tightening to date in '26

Senior A-Tranche Trade Price vs. 5yr US Tsy



Mezzanine B-Tranche & Subordinate C-Tranche vs. 5yr US Tsy



- The market for aircraft ABS has been remarkably resilient in 2026 in the face of the start of the Iran War on February 28, 2026. The subsequent rise in fuel prices and the resulting damage to airline profitability were clear negatives for the aircraft ABS sector, yet the market for both primary and secondary issues remained strong, even after the start of the war, with seemingly no pause at all in the pace of issuance except in the immediate aftermath of the conflict's start. Despite the start of the war, market participants were able to look beyond what most expected to be a temporary rise in fuel prices (seemingly proved correct with the sharp reduction in fuel prices we have seen since the post-war peak) to market fundamentals that would remain strong – airlines were likely to remain profitable in aggregate in 2026, even with higher fuel prices, traffic growth remained positive in 2026, even with the operational disruptions in the Middle East and the market for aircraft remained tight even with the demise of Spirit Airlines and manufacturers (slowly) increasing production. We believe, particularly with the announcement of a new Iran-US agreement to reopen the supply of oil from the Gulf, that fundamentals for aircraft ABS will be positive in the remainder of 2026. With spreads already at tight levels (+150-160bp for better seniors) and issuance likely at record levels, we believe that opportunities for significant aircraft ABS outperformance will be idiosyncratic rather than broad-based. Best opportunities for outperformance can most likely be found in the secondary market, we believe, particularly around sub-tranches of pre-Covid transactions trading at a discount that will likely see accelerating repayment from aircraft sales in 2026. For post-Covid transactions, we prefer relative value of senior tranches to mezz tranches as the cash flow structure introduced after Covid significantly favors the senior tranche relative to the mezz tranche in a downside scenario.

Source: Bloomberg Finance LP, Company documents, Cirium, Deutsche Bank



Registration Open



16th Annual
Aviation Forum:
Airlines, Lessors, Manufacturers

September 8 – 10, 2026

Deutsche Bank Center, New York City

Registration: [Aviation Forum](#)



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Aviation Forum: Airlines, Lessors, Manufacturers



Tuesday, September 8: Aviation Finance Workshop

- Introduction to Aviation Debt Securities
- Aircraft ABS Market Update
- Global Air Travel Market Outlook
- Aircraft Lease Rates and Value Update and Outlook
- Investing in Aircraft Engines
- Investor / Trader Roundtable – Investing in Aviation Debt

Wednesday, September 9: Aviation Lessors and Airbus – Boeing Debate

- 30+ leading aircraft lessors providing company updates with public presentations and one-on-one / small group investor meetings
- Airbus – Boeing Product Update and Debate

Thursday, September 10: Airlines and Aviation Manufacturers

- 30+ airlines and aviation manufacturers providing company updates with one-on-one / small group investor meetings

16th Annual Aviation Forum: Airlines, Lessors, Manufacturers



Confirmed participants include: September 9

Abelo Steve Gorman, Chief Executive Officer	Azorra Ron Baur, President	Marathon Aviation Finance Joseph Thorstenson, Managing Director
AerCap Aengus Kelly, Chief Executive Officer	BBAM Steve Zissis, Chief Executive Officer	Perseus Aviation Ronan Murphy, Managing Director
Aero Capital Solutions Jason Barany, Chief Executive Officer	Bellinger René Mansveld, Chief Executive Officer	SKY Leasing Austin Wiley, Chief Executive Officer
Airborne Capital Cian Dooley, Executive Director	BOC Aviation Steven Townend, Chief Executive Officer	SMBC Aviation Capital Peter Barrett, Chief Executive Officer
Aircastle Roy Chandran, Chief Financial Officer	Carlyle Aviation Partners Alexander Rasnavad, President	Stratos Gary Fitzgerald, Chief Executive Officer
AIP Capital / Phoenix Aviation Capital Mathew Adamo, Managing Partner	Castlelake Joe McConnell, Partner	Sumisho Air Lease Nori Hiruta, Chief Executive Officer
Altavair Matthew Hoesley, President	Deucalion Aviation Nathan Riggs, Chief Commercial Officer	TrueNoord Anne-Bart Tieleman, Chief Executive Officer
Avation Jeff Chatfield, Executive Chairman	Dubai Aerospace Enterprise Firoz Tarapore, Chief Executive Officer	Willis Lease Finance Corporation Austin Willis, Chief Executive Officer
Aviation Capital Group Thomas Baker, Chief Executive Officer	FTAI Aviation Joseph Adams, Chief Executive Officer	World Star Aviation Marc larchy, Partner
AviLease Ted O'Byrne, Chief Executive Officer	Genesis Karl Griffin, Chief Executive Officer	Airbus Sinead Cormican, Head of Leasing Sales
Avolon Andy Cronin, Chief Executive Officer	High Ridge Aviation Greg Conlon, Chief Executive Officer	Boeing Darren Hulst, Vice President
	Lesha Aviation Capital Stephan Sayre, Co-Chief Executive Officer	Embraer Matheus Piorino, Head of Customer Finance

16th Annual

Aviation Forum: Airlines, Lessors, Manufacturers



Confirmed participants include (but are not limited to): September 10

Air Line Pilots Association

Crane Company

Skywest Inc

Allegiant Travel Co

Deutsche Lufthansa AG

Southwest Airlines Co

American Airlines Group Inc

Frontier Group Holdings Inc

Southwest Airlines Pilots Association

Archer Aviation Inc

GE Aerospace

United Airlines Holdings Inc

ATI Materials

Grupo Aeromexico SAB de CV

Vertical Aerospace Ltd

Azul SA

HEICO Corp

Viva Aerobus

Breeze Airways

Hexcel Corp

Volaris

Carpenter Technology Corp

JetBlue Airways Corp

VSE Corp

Copa Holdings SA

LATAM Airlines Group SA

Woodward Inc

RBC Bearings Inc



RMBS

Stand and de-lever: AAAs for carry/roll, BB for de-lever/upgrade

Ed Reardon, Managing Director

Rupesh Shrivastav, Research Associate

Nick Huang, Research Associate



- Issuance. We forecast full-year \$215bn gross and \$80bn net issuance. Non-QM is the largest sector and the clear non agency benchmark.
- Housing themes.
 - Lock in effect = ongoing. Massive build-up in home equity, but insufficient housing turnover and new construction.
 - Affordability challenge. Years to save enough for down payment.
 - Home prices. Weakening, many more states seeing modest declines.
- Prepays. Modified Non-QM S curves are flat.
- Credit. Still strong. We show Non-QM default multipliers by FICO and LTV.
- Relative Value: Rolldown and De-lever.
 - BB Non-QM. BBs will still benefit from de-levering; average BB bonds look more like IG bonds in ~18 months.
 - AAA rolldown potential. Attractive carry and *some* rolldown still make Non-QM AAAs cheap.
 - SFR. Spreads are too tight due to no net issuance and a dedicated investor base, but we don't like the high leverage.

2026 full-year issuance forecast: \$215bn



Non-QM will reach ~\$95bn supply

	Full year 2025	YTD 2026	Full year 2026
Non-QM	78	51	95
Prime	43	19	40
CES	18	9	20
RPL	9	8	12
CAS/STACR	9	4	8
SFR	7	3	12
RTL	6	1	4
HELOC	10	5	10
NPL	8	0	2
HEI	2	1	2
Other	15	5	10
Total	205	106	215

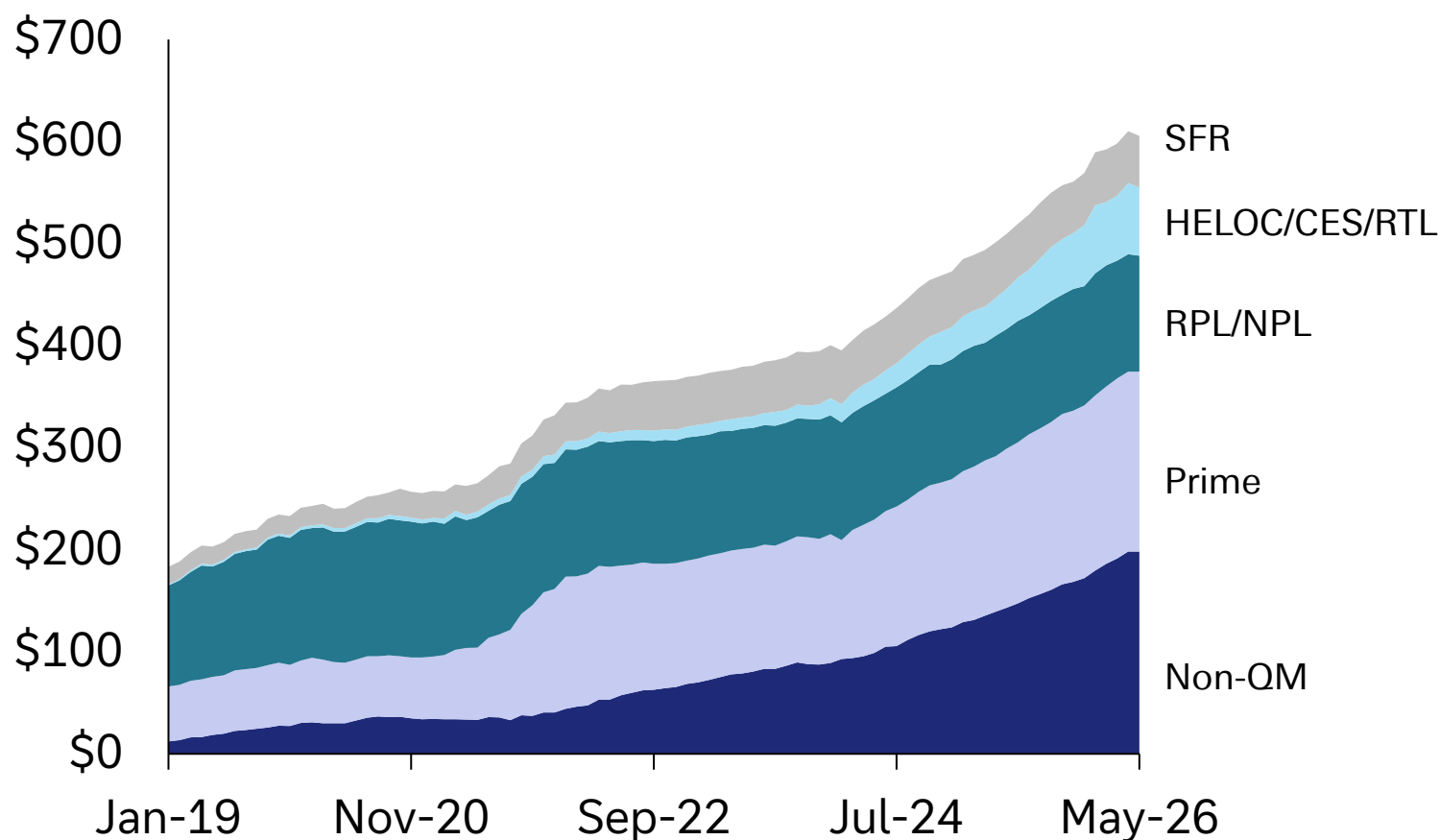
Source: Deutsche Bank, Intex.

- We forecast \$215bn supply. Only \$80bn net issuance.
- Non-QM growth drivers. Low mortgage rates vs agency conforming rates, fast prepayments of outstanding loans and deal calls.
- Growth sectors: HELOC/CES (\$34tn of US home equity); Fix and flip due to deferred housing capex.

Non-Agency RMBS Outstanding Approaches \$600bn



RMBS 2.0 Outstanding, \$bn



Note: data as of 05/31/2026

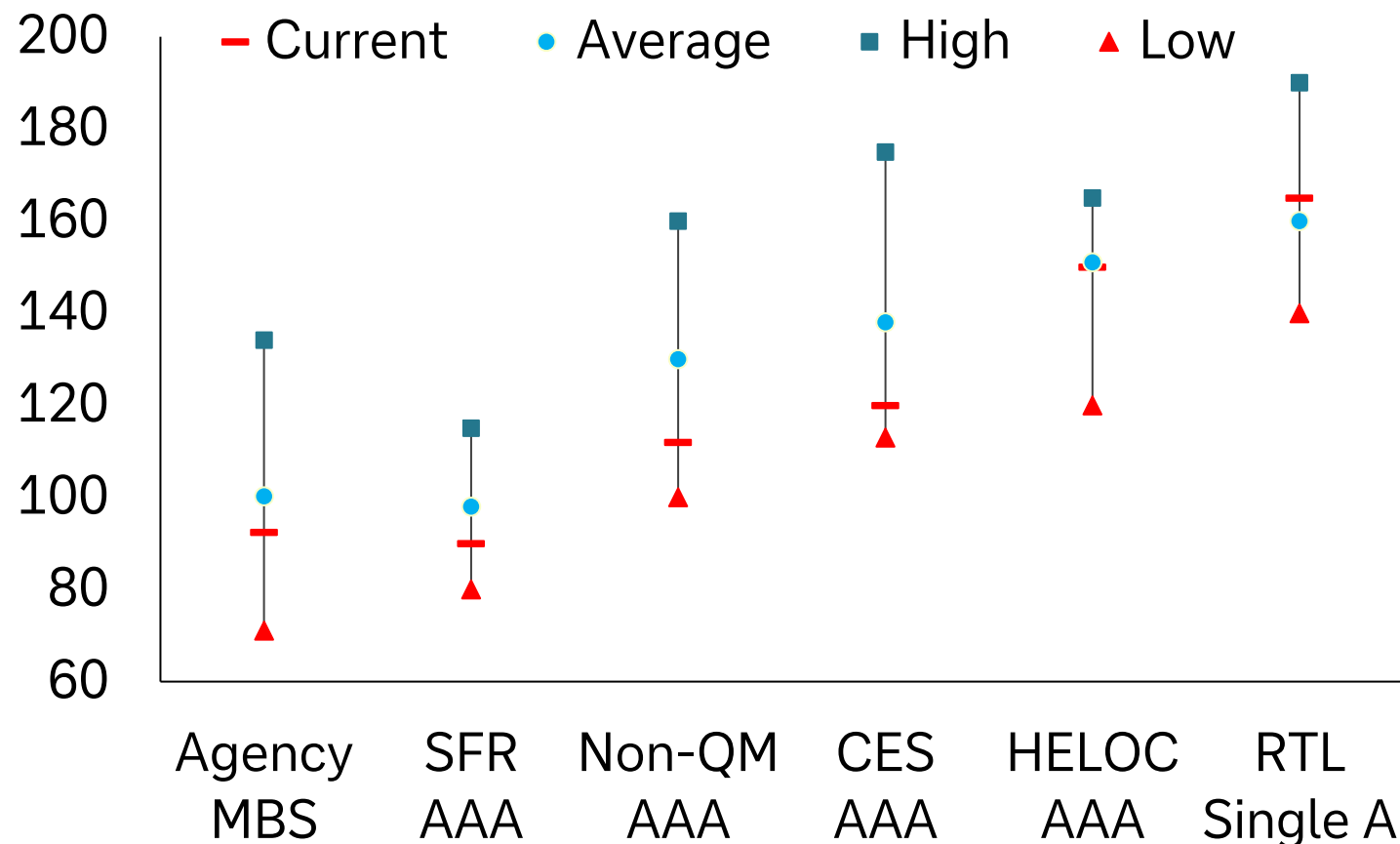
Source: Intex, Deutsche Bank

- Outstanding Non-Agency RMBS 2.0 has grown to nearly \$600bn. Growth is led by Non-QM and Prime issuance. Non-QM is now the non agency RMBS benchmark.

RMBS spreads: room for tightening



Current spreads vs 1 year range



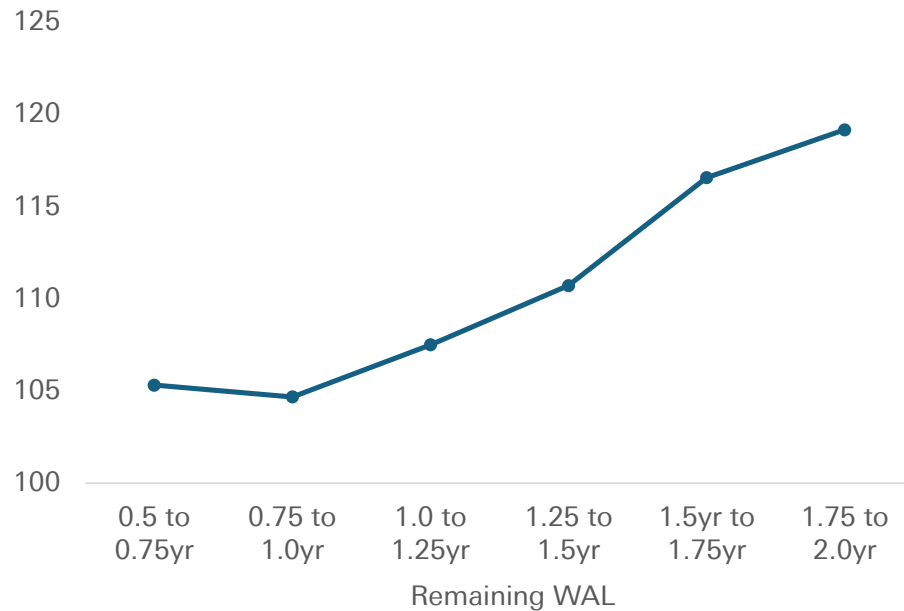
Note: For Agency MBS .MBSDV01 G Index is used. HELOC, Closed End Second (CES) and RTL (Residential Transition Loans) all use new issue pricing and the latest priced deal for Current levels. Source: Bloomberg Finance LLP, Intex, Deutsche Bank

- Most RMBS sectors are trading below 1-year average but are off their 1-year highs.
Perspective: IG Corp are within spitting distance of 25-year highs.
- Non-QM AAAs. Non-QM AAAs offer attractive carry and some rolldown, even adjusting for ~30bp convexity cost. HELOC AAAs. Attractive AAA alternative with spread pickup; strong credit profiles with low convexity.

Relative Value: AAA Rolldown and BB De-leveraging

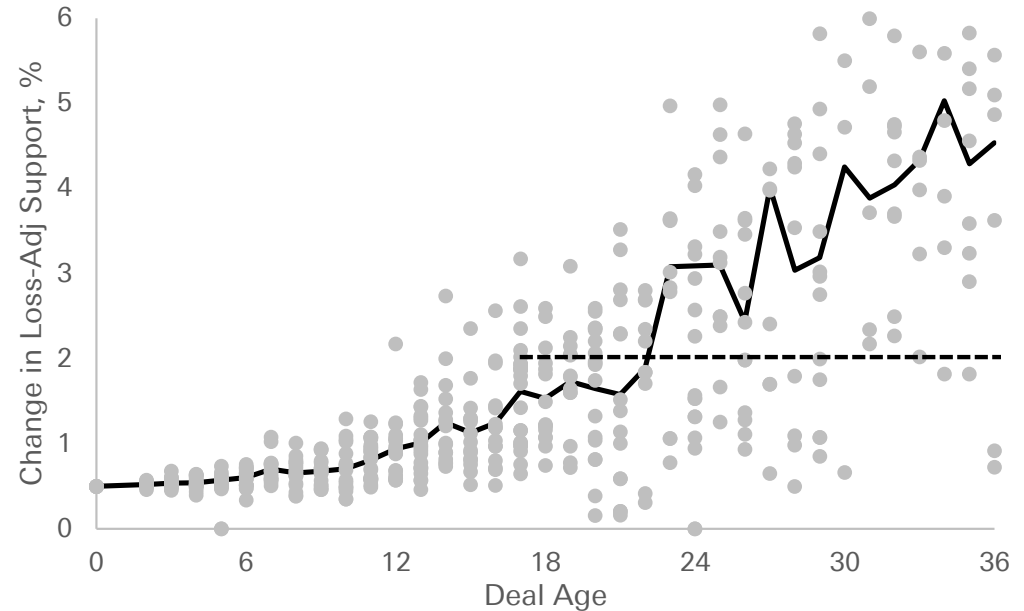


AAA Non-QM Rolldown, bp



Source: Intex, Deutsche Bank

BB de-leveraging



Note: Dotted line of ~2% increase in loss-adjusted support.

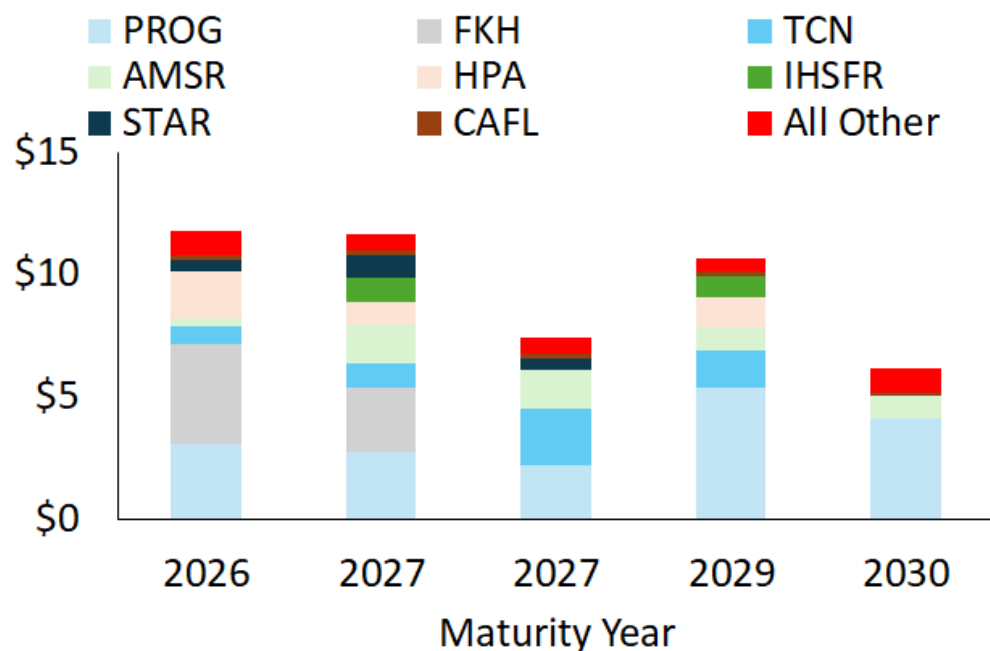
Loss-adjusted support measured as current enhancement minus projected losses, measured as 60% delinquencies x 50% roll to default and 20% loss severity

- AAA Non-QM Rolldown. AAA Non-QM have very high carry, in part due to callability. Bonds issued from 2023 also show rolldown potential.
- BB de-leveraging. Fast natural prepayments help bonds de-lever quickly and we see more downgrades occur when BB loss-adjusted support increases by ~2%. Bonds have upgrade potential by ~18 months; favor BBs with higher owner-occupied loans due to faster prepaes (see S curve on following slide).

Single Family Rental: Evolving structures



SFR Maturities, \$bn



Source: Deutsche Bank, Intex.

- ~\$50bn in SFRs outstanding. Near-term maturities: H2 2026: ~\$12bn. 2027: \$12bn.
- Evolving structure over five years. Tranche LTVs are higher across the rating spectrum. Example: AAA 30% in 2021 vs 50% today. Moody's Baa3 49% in 2021 vs Baa2 70% today.
- Zero coupon bonds. More subordinate tranches have a zero coupon to help DSCR to be above 1.0x.
- We find better relative value in other Non agency RMBS sectors.

Deal structure: 2021 vs 2026

PROG 2021-SFR8

	Orig LTV	Moody	KBRA
A	30%	Aaa	AAA
B	39%	Aa3	AA+
C	43%	A3	AA
D	49%	Baa3	A
E1	62%		BBB+
E2	70%		BBB-
F	81%		BB-
G	87%		B-
H	92%		
I	99%		

PROG 2026-SFR2

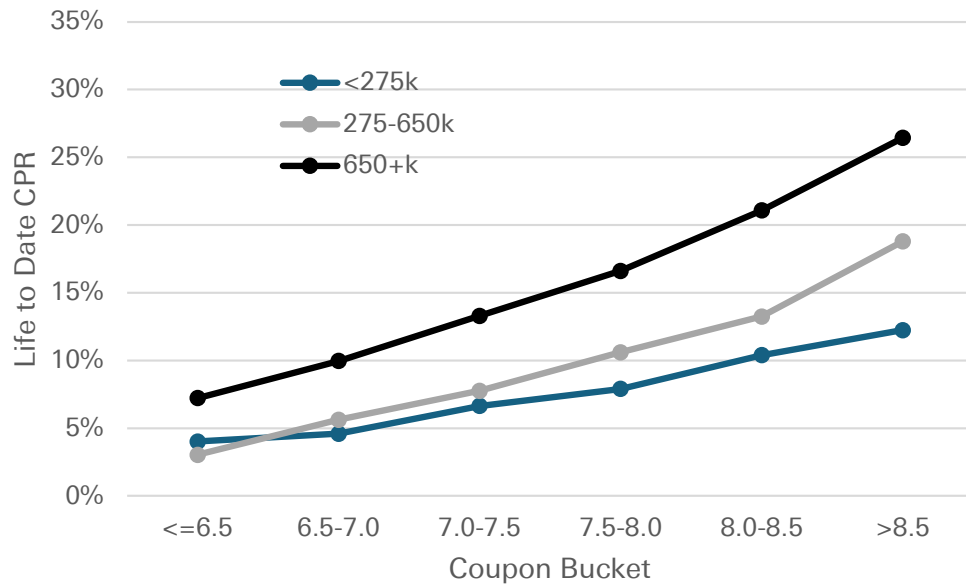
	Orig LTV	Moody	DBRS
A	50%	Aaa	AAA
B	58%	Aa3	AAL
C	64%	A3	AL
D	70%	Baa2	BBB
E	76%		BBBL
F	82%		BB
G*	90%		

Note: Bold is zero coupon tranches.

Non-QM: Modified S curve

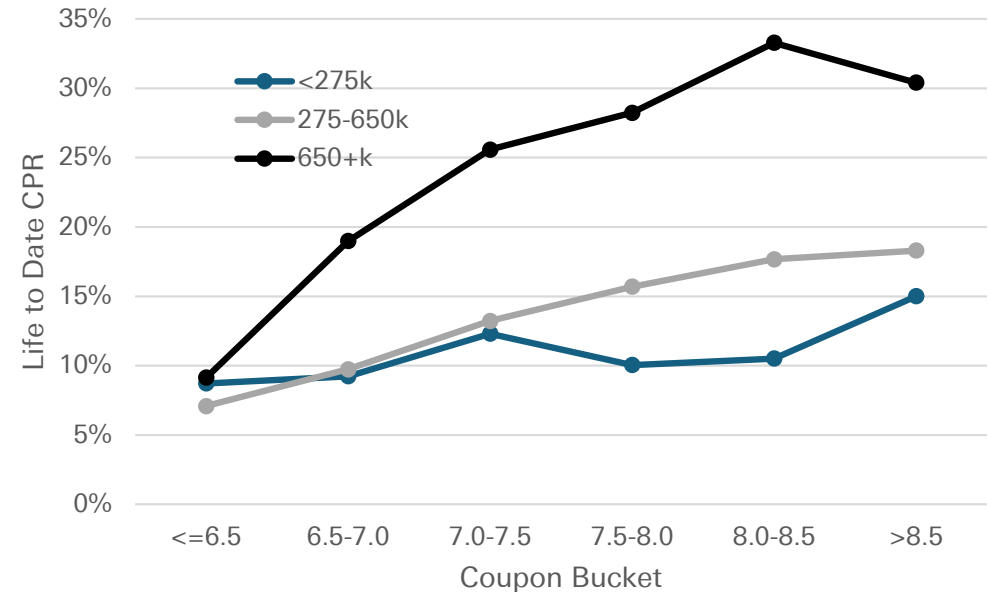


Investor Loan CPR %



Source: Deutsche Bank, Intex.

Owner-occupied CPR %



- We show 2023 vintage life to date CPRs by loan balance buckets at 2yr loan age.
- Investor loans. Slower prepaids due to penalties, all else equal. Example: 2yr life to date CPR is ~13% for the 7.0-7.5% coupon bucket and 650K+. For owner occupied with similar traits, life to date CPR was ~25%.
- Larger balance loans. Highest prepaids for 650k+ loans.

Non-QM 2.0 default risk: FICO x LTV matrix



Default risk by FICO and Original LTV

		Original LTV							Total
		0-50	50-60	60-70	70-75	75-80	80-85	85-90	
Original FICO	600-650			6.8%	7.8%	7.8%	6.9%		7.3%
	650-675	3.0%	3.7%	4.8%	5.4%	6.4%	5.7%		5.4%
	675-700	1.7%	2.7%	4.0%	4.6%	4.9%	4.1%	6.8%	4.2%
	700-725	1.2%	2.1%	2.7%	2.9%	3.3%	2.9%	4.3%	3.0%
	725-750	0.8%	1.1%	2.1%	2.1%	2.7%	2.2%	3.2%	2.2%
	750-775	0.6%	1.0%	1.3%	1.3%	1.6%	1.2%	2.4%	1.3%
	775+	0.2%	0.6%	0.7%	0.6%	0.9%	0.7%	0.8%	0.7%
Grand Total		0.9%	1.5%	2.1%	2.2%	2.5%	2.0%	3.7%	2.1%

Note: Boxed area shows where most loans are underwritten. Represents 62% of total. White area is insufficient data to show results.

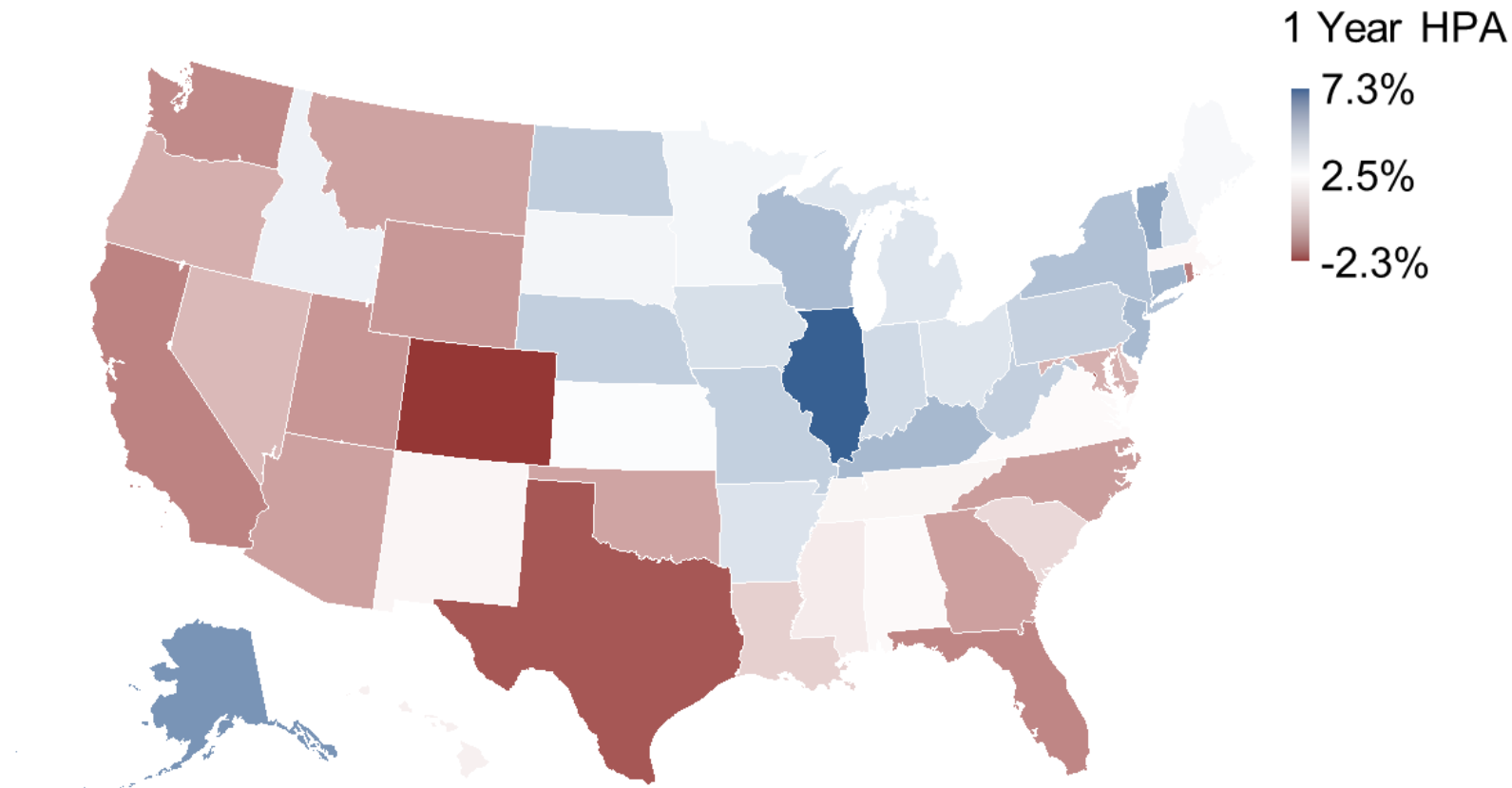
Source: Deutsche Bank, FHFA, SIFMA.

- To measure default risk, we use the most recent loan status or final status. We define “defaults” as: 60+ delinquencies, loans classified as REO Sold or FC Sold and Loans that have a loss. This measure is quite broad, especially since many loans sold from foreclosure and REO experienced no loss.
- We further weight this default risk by delinquency status, using assumed roll rates. For example, a loan that is 60-89 delinquent clearly has a lower default likelihood than a foreclosed loan.
- Non-QM 2.0 default risk. Our results are intuitive. Lower FICOs and higher LTVs have higher risks, and they scale consistently across most buckets. The data above approximates the actual probability of default.

Red states vs Blue states: Is California turning red?



1-Year Home Price Appreciation



Note: FHFA data through Q1 2026. Source: FHFA Quarterly All-Transactions Index

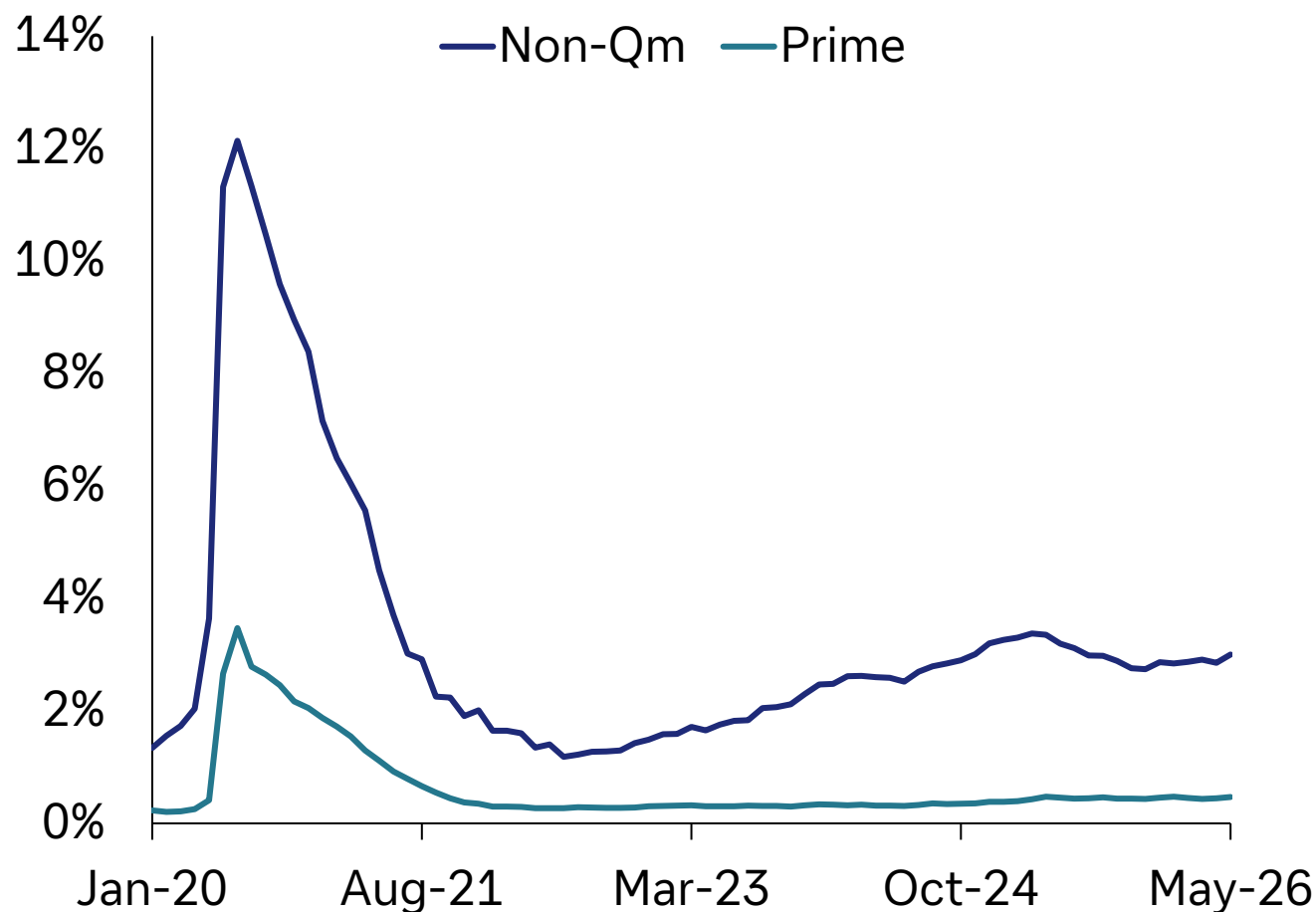
- Down from peak: Hawaii (-7%), Texas (-2%), Colorado (-3%), Delaware (-3%)
- 19 states are still at their all time high; 24 states are within 2% of their all-time high



Appendix

May 2026 Remits: Credit Performance

60+ Delinquency, %



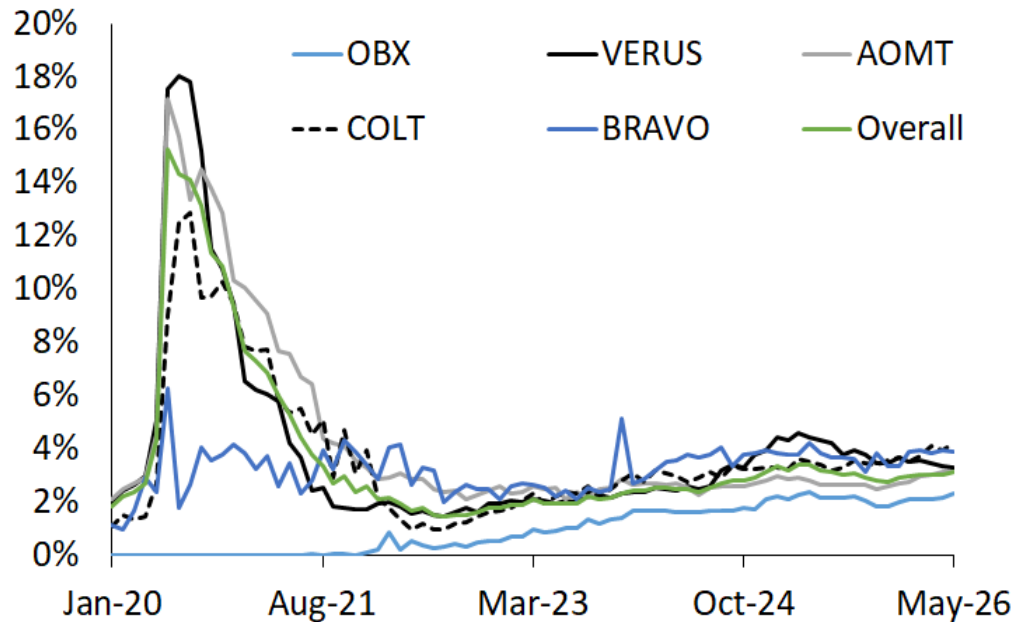
Source: Deutsche Bank, Intex.

- **Non-QM:** Overall 60+dlq are 3%. The 2023 vintage is highest at 6.7%. 2023 60+ delinquencies include: VERUS (9.3%), COLT (9.2%) and ADMT (9.4%).
- **Prime:** Prime Collateral remains exceptionally resilient, 60+ delinquencies are 0.5%. In Prime RMBS, the 2023 vintage also has the highest 60+ delinquencies, 1.5%.

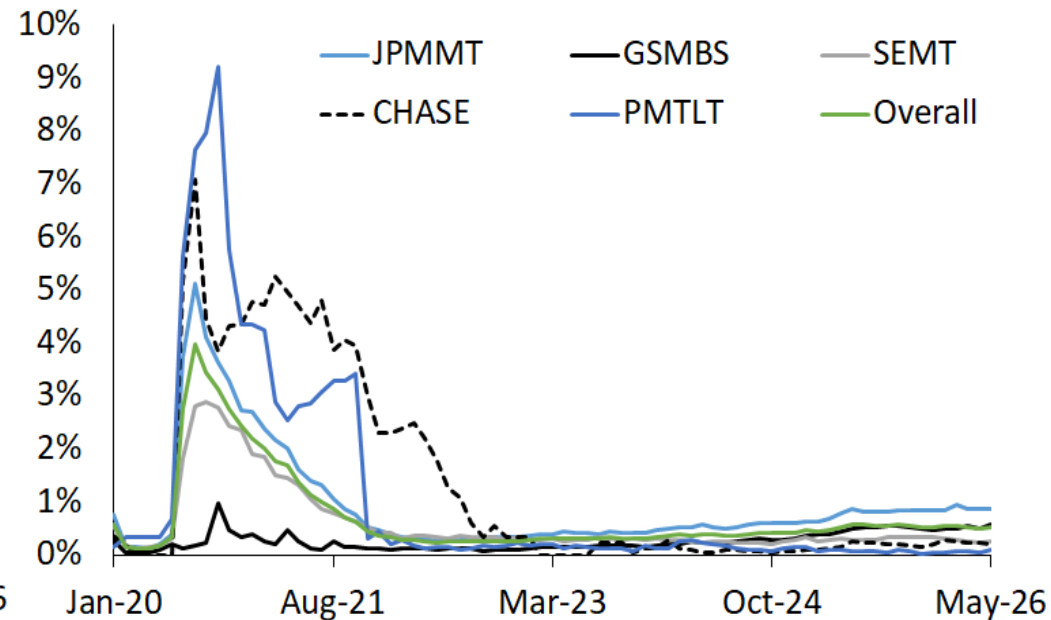
May 2026 Remits: Top 5 Shelves performance



Non-QM 60+ dlq, %



Prime 60+ dlq, %



Source: Intex, Deutsche Bank

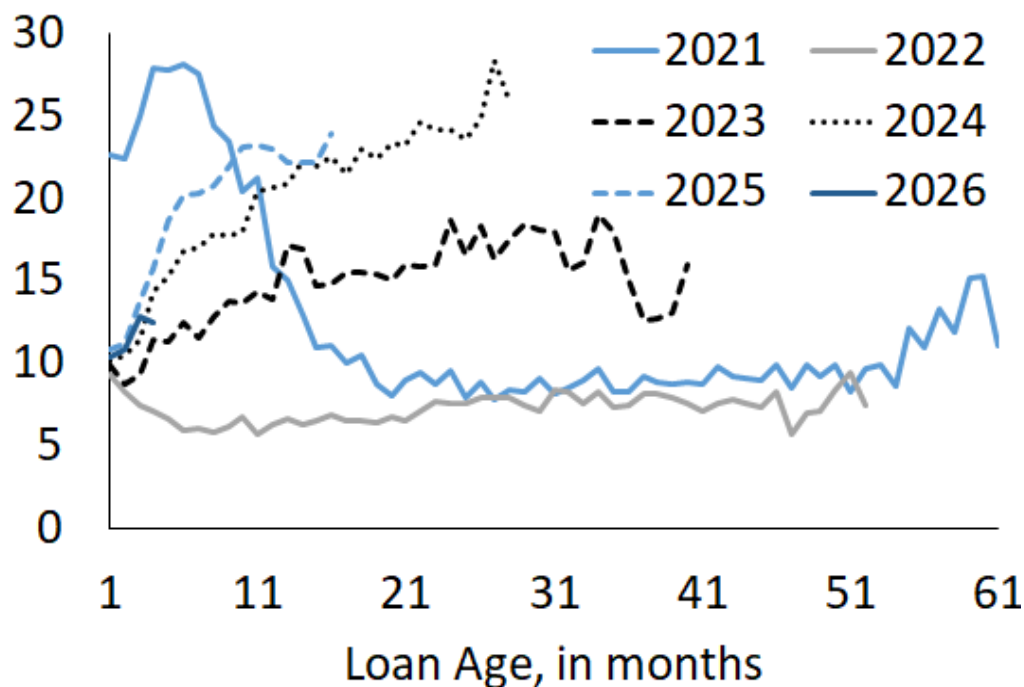
Non-QM: VERUS and AOMT demonstrated the highest vulnerability, peaking above 18% in mid-2020. Other Non-QM shelves also saw significant, though slightly lower, peaks.

Prime: Prime shelves showed much milder delinquency increases during the 2020 shock, with even the highest (PMTLT) peaking below 10%. They achieved rapid and sustained recovery to exceptionally low levels by late 2021.

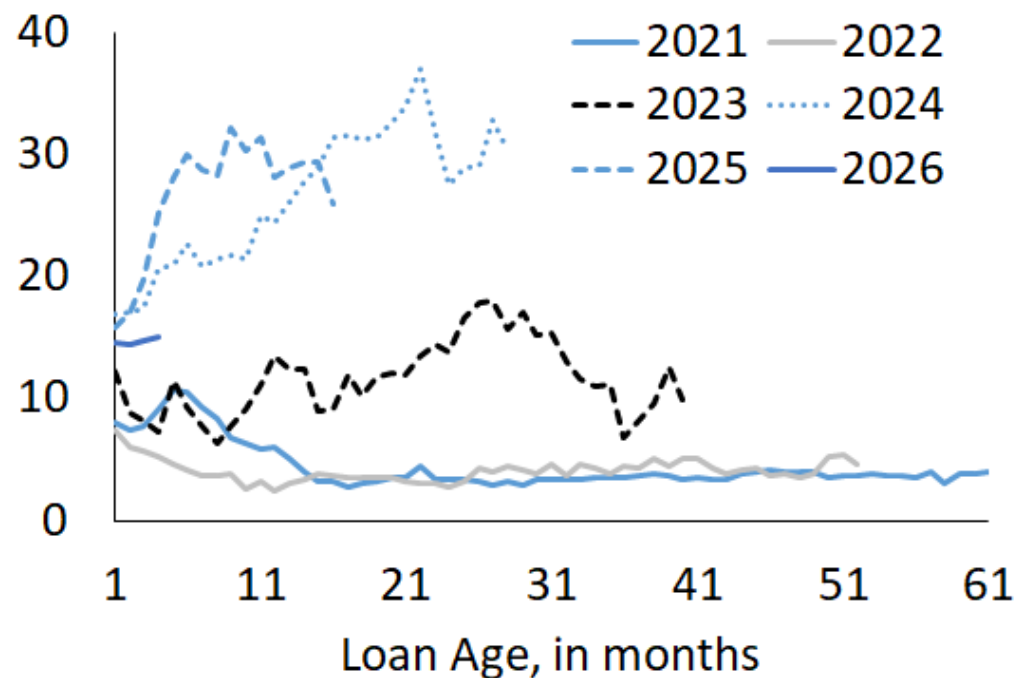
May 2026 Remits: Prepays



1mo-CPR, Non-QM



1mo-CPR, Prime



Source: Intex, Deutsche Bank

- **Prepays. Non-QM:** 2024 vintage non-QM 1-month CPRs reach the mid 20% range by 2 years; 2025 CPRs have tracked 2024, starting at around ~10% and ramping higher with seasoning (~25% today). 2026 Vintage is at ~12% today.
- **Prime RMBS:** 2024 vintage 1mo CPRs are now in 30% area. 2025 Vintage is in Mid 20's and 2026 started at ~15% speed.



Appendix 1

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